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"Gujarat State Fertilizers & Chemicals Ltd. Q1 FY22-23 Earnings Conference Call"

July 26, 2022

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MODERATOR : M R. NITESH VAGHELA – ANURAG SERVICES LLP

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Moderator: Ladies and gentlemen, good day and welcome to the GSFC Conference Call to discuss the Q1 FY22-23 financial performance.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sign al the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitesh Vaghela from Anurag Services LLP. Thank you, and over to you, sir.

Nitesh Vaghela: Thank you. Good afternoon, and welcome to the First Quarter Earnings Conference Call of Gujarat State Fertilizers & Chemicals Ltd., hosted by Anurag Services LLP.

From the management, we have Mr. V.D. Nanavaty – Executive Director, Finance and CFO and Mr. Vishvesh Vachhrajani – Company Secretary and Senior Vice President (Legal). I would like to thank the manage ment for giving us the opportunity to host this call.

We will begin the call with opening remarks from the management, post which we will have a question-and-answer session. Thank you, and over to you, sir.

V.D. Nanavaty: Good afternoon, and welcome to all the partic ipants for the GSFC Q1 post results Con Call.

You must have all studied and seen the good results declared by the company and the volume performance has been uploaded on our website which you can see for the price number.

As you know, the quarter was good financially, though there were some hiccups in the production of fertilizers at Sikka due to rising price of all type of input cost for the Phos Acid, Ammonia, Sulphur and so the production were off and on at Sikka Unit during the quarter.

However, Baroda unit consistently had regular and normal production. In fact, we had shutdown of few plants in the last Q1 which was not there. So, you will see the high production of Baroda products in fertilizer as well as in chemical segment.

Last year Methanol price were very regulative as compared to natural gas price. So, we had some production in the sale of Methanol, but thereafter, as you know, gas prices have gone up sufficiently high, but Methanol prices have no t risen commensurately. So, Methanol plant was also stopped in the later part of '21 - '22.

Recently, we had, you might have noticed some short shutdown in urea plant because of some equipment failure, which we are correcting, and shortly it will be restarted.

As far as the revenue is concerned, due to high natural gas price, the urea subsidy went up substantially high based on the cost through terminal. So, urea prices also went up. Similarly, Gujarat State Fertilizers & Chemicals Ltd.

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government declared good subsidy for P&K fertilizers also. So, on the back of rising subsidy, the realization in fertilizers went up substantially high and government has tried to see that farmers are not impacted by the rising input cost and the fertilizer prices. So, MRP is hardly

increased compared to last year and most of the input cost has been absorbed by the higher subsidies supported by Government of India.

Otherwise, all the raw materials were at considerably high level in Q1. Benzene, naphtha, natural gas, Sulphur, Ammonia, Rock phosphate all were up compared to Q1 of last year. But, of course, now prices have started to soften. So, as you can see in the chemical segment, the realizations are down compared to last year and some of the input cost are also coming down like Sulphur, in particular, has come down substantially and ammonia is also reduced a little bit in line with the coal prices.

Fertilizer performance, as you can see, it was very, very good or abnormally high right from element of one-time income in that, because when the subsidies are increased from one quarter to other w

ith the cutoff year coming, so everything that is sold through POS gets higher subsidy and one-time impact is immediately seen in such a situation. So, that is seen here in the fertilizer results. IP margins were down, but it has started increasing from August and for Capro Benzene, we expect \$1,000 spent to be maintained on an average basis throughout the year.

As you know government has substantially provided for subsidy support of more than 2 trillion Indian rupees, and accordingly, government is realizing the subsidy. We have almost received full subsidy of urea up to the month of June and for Sikka DAP and also almost third week of June has been covered by the subsidy payment. So, as promised by the government and as supported by budgetary support, the subsidy cash flow has been maintained like recent past.

As we said during the financial year ending Con Call, we see at least 25% rise in the revenue during the year, mainly headed by the cost worthy segment and with the different projects that we discussed last time on hand, GSFC will keep growing. So, we request all of you to keep your interest in GSFC year-over-year and that with this I will conclude my short overview of the quarter. Thank you.

A. M. Lodha: Sir, I have two queries. One is for fertilizer division. Another is for chemical division. And coming to the number one fertilizer division, sir, the sales in the year-on-year Quarter 1 of the last year was 1,267 crores and the Quarter 1 of this year, sale is 2322 crores whereas the EBITDA has gone up from 8500 crores to 500 crores. Can you just put some light on this?

What may be the reason of this extraordinary jump in the EBITDA? And can it be continue for the rest of the nine months?

V.D. Nanavaty: Yes, these numbers are you know were eye-catching compared to the jump it is showing. Yes, as I said because of pricing subsidy, the turnover as well as cost stability has increased and then as I said, one time effect also for some facts because as you may be knowing subsidies Gujarat State Fertilizers & Chemicals Ltd.

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sell on the basis of point of sales terminal loans since that happens at the retail level when farmer actually buys the fertilizer. So, the subsidy claim which government of India is lodged when the farmer buys the fertilizer. So, whatever we have physically, it's along 10 years you maybe knowing that fertilizer companies will be selling to dealer. Dealer will be selling to retailer. Retailer will be selling to farmer. So, there is a timeline between when a company like a factory makes sales and when actually POS sale happen. So, in between if there is a change in subsidy, then the POS sale rate are taken as per the subsidy calculation and payment.

So, suppose something I've sold within the March '22, but actually farmer buys it in June '22 and in between the subsidy rate changes, like DAP last year rate was 33,000. This year it is 50,000. So, immediately anyone who sells DAP like this gets Rs. 17,000 per ton more. So, like this in all the P&K fertilizers the subsidies had been increased substantially. So, when this type of situation arises, there is a higher collection of subsidy. And as I explained, suppose something is sold by the factory in March say DAP, then DAP revenue is put as per 33,000 subsidy, but then we are entitled to say 50,000 subsidy, immediately 17,000 extra is booked as a revenue as well as it goes in the profit. So, that is how the 85 crores goes up to 500 crores.

A. M. Lodha: Can you put some light on the remaining nine months? Can we expect good performance? Which is a big quarter for us? Second quarter?

V.D. Nanavaty: Yes, second quarter is a rainy season, second and third, because in third quarter also for Rabi crop, the farmer buys the fertilizer up to say December or end of November kind of thing. So, second and third quarters are good.

A. M. Lodha: You mean to say that second quar

ter and third quarter will be better then and then so far shares are concerned in quantity one, it will be better compared to first quarter?

V.D. Nanavaty: Yes. If you remove the one-time effect, it will be like what you say. Barring one-time effect, it will be good quarter.

A. M. Lodha: Regarding chemical division, sir, then, again, sales during the quarter, a year ago was 650 crores and while in this quarter it is 738 crores. The sales have not decreased, whereas the profit from 96, a year ago in the quarter last year, it has come down to 31 crores only.

V.D. Nanavaty: Right. So, as I explained the input cost have gone up like crude prices, as you know, went up substantially above \$100 and up to \$115 or \$120. With this crude price now all the crude varieties price don't increase like we buy Benzene, which is made out of crude, but Benzene prices goes up, but Caprolactam price don't go up so high. So, there is a pressure on the margin. So, natural gas, ammonia, crude, Benzene, Sulphur, these inputs have gone up substantially. It's not supporting rise in our finished goods prices. So, this pressure on margin is there, but as I said some improvements we see going forward in this.

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A. M. Lodha: Sir, this, my last question is regarding the investors. I am an investor. I am a shareholder of the company. As an investor, I expect that our company, nine to 10,000 crore company, it is neat and clean as the Navratna of the State Government of Gujarat. And our Prime Minister Mr. Modi says, 'Sabka Saath, Sabka Vikas'. But GSFC's management does not believe in 'Sabka Saath, Sabka Vikas'. Your payout which was 21% last year, you have reduced it to 11%.

V.D. Nanavaty: As you can see, we believe in consistent dividend. So, if there is a one-time profit so we would distribute and if there is no profit we would say you won't get the payout. So, that policy we don't believe. We want to maintain consistency in dividend so that even in lean years we don't have to backtackle from shareholder for lower dividend. Then you will know I have briefed through new projects and I mean, good performance aided by good share price. So, that will be the real growth for the shareholder monetarily.

A. M. Lodha: But sir, my EPS was Rs. 10 in March '21 and the EPS gone to Rs. 22 in the March '22 and at that time payout was 21%, which is reduced to 11%. Our company is the debt free company and we don't have that much of expansion that you have to borrow the money from the outsider. So, at least shareholders, number one.

Number two, sir, no presentation, no press release, nothing else. What type of a company or how that this 10,000-crore company was the Navratna of the Gujarat government is being managed by the bureaucrats, sir? It should fall to unrated. That's my point of view. You just give a message to your Chairman, MD, whoever will be there, shareholders are requesting for the consistently press release and the presentation. Without press release and without presentation, we are in dark. We cannot ask any question, sir.

V.D. Nanavaty: Yes, we will convey your feelings to the Board about rise in dividend expectation. And now by nature, we are a very conservative company.

A. M. Lodha: Sir, my request is time has changed and we should also change with the changing of the time, sir. Not that, sir, when we are earning the 22 rupees, you are issuing only Rs. 2.50. We should have given the Rs. 5 plus you will be getting the dividend from GNFC, other company where the investment. You are the grandfather of the other Gujarat government promoted company, sir. Then you will be getting a handsome dividend this year also. So, that is our viewpoint. Kindly convey our grievances to the Board from the AGM shareholders, sir.

Ankur Kanwal: I would like to know the timeframe of execution of various expansion project which we are undertaking.

V.D. Nanavaty: So, right now as we discussed last time, Sulphuric Acid fifth plant is under implementation. So, that is likely to be completed in '24, early '24 and then we have Ammonium Sulphate fourth plant that is expected by December '23. Then we have I think fifth plant that is also expected by December '23. Then we are setting up solar power plant 15 Megawatts. That is also expected by middle of June '23 next year. And then we have various proposals on hand

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which are under different stages of discussion and deliberation. So, right now timelines for that is difficult to give, but these are all what I said is under implementation. So, all the work is going on.

Ankur Kanwal: Sir, what kind of sales realizations can we have from Sulphuric Acid and Ammonium Sulphate after they are executed? And the production will be used in-house or will also sell outside?

V.D. Nanavaty: Sulphuric Acid will be for our in-house consumption that is to support Ammonium Sulphate. So, as we want say the Ammonium sulphate to Sulphuric Acid is a part of Ammonium Sulphate, so that will be in-house and Ammonium sulphate that will be sold. We already have two to three plants working. So, that will bring turnover of around Rs. 400 to 500 crore. HS Crystal will bring turnover of around Rs. 125 crore, enough solar is for saving the power cost. So, right now these are the numbers for turnover.

Saket Kapoor: Sir, firstly about the industrial product margins part. So, currently, sir, what is the outlook for the current month? And how are the price trends been? If you could give some more color on how IP margins will fair for the coming month?

V.D. Nanavaty: So, Capro Benzene sale on an average we expect to be \$1,000. Sometimes it may go up. Sometimes it may go down. But on an average, we expect it to be in that range. And Melamine as we saw the prices have reduced in the domestic market. We are trying to sell more Melamine in European market to export. So, that way we have time to increase the realization. Melamine nylon fix is being sold locally, I mean, in India only. So, price keeps fluctuating. So, these are the major industrial products, which form part of the majority of the margin. But on an overall basis, considering the crude prices and the natural gas prices, which are unprecedented and they are therein by something else like usually European demand because of the Russian embargo on their gas and all the things. So, this input size keeps increasing, but then there is no corresponding rise in our industrial product prices. So, I think this year will be the year for fertilizer support to be profit in large rate. We can say overall like this.

Saket Kapoor: Sir, do we have any seasonality factors for the IP sales also? If you look at the volume data, are the volume data for the preceding quarter, Q4 of '21 - '22 comparable with what we did for Q1 wherein, sir, we find that volume for Melamine and nylon fix have gone down considerably from 8,400 tons to 6,700?

V.D. Nanavaty: There is nothing like seasonality, but the whole economy, not only Indian economy, the whole world economies are affected by the high inflation and all the central banks are increasing the interest rate. So, growth and doing new business with borrowing is becoming unexpecting. So, it is impacting the economies world over. So, India is also impacted. So, sometimes the volumes come down but there is no long-term impact like this. It will pick up. When Melamine Europe is facing the highest gas price frequently, so with those kind of gas price, Melamine is not viable. So, few plants are shutting down in Europe. So, there we will be sending our Gujarat State Fertilizers & Chemicals Ltd.

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Melamine because Chennai is dumping lot of Melamine in India. So, we will be selling out of India. But these kind of

changing the year sometimes takes time to show the effect. So, it will pick up. There is no volume problem in IP.

Saket Kapoor: And sir, about the backward integration part, where are we in midst of the CAPEX which we were envisaging earlier for backward integration for rock phosphate to be the forward integration? And also, about the right issues or application we have done for a company, I think, so some 31 crores is on that point you could explain what are the benefits that we have derived as of now? I think we hold the considerable stake in the company. Is there any optic agreement? What are the benefits and how are we seeing going forward?

V.D. Nanavaty: So, that what you were talking is about the Potash. So, you may be knowing that India is 100% dependent on imports for Potash. There is no local source of Potash and Potash is a primary nutrient, NPK. So, this is the basic nutrient required for fertilizers. So, since we don't have any source in India as in the interest of the wall of the country, we invested in Canada, which is having the highest Potash resource in the world and they are a democratic country and they are much higher in the ease of doing business all over the world. They are in the first five countries in the ease of doing. So, like Russia no, even if you have mine, you cannot do anything if you have stake in Russia. But considering all this, we invested in Karnalyte

Resources for Potash and we have uptake agreement for 3,50,000 tons of Potash from the first sale with some discount and these are the Potash mine. So, mines will last for many, many years, maybe say 70 years to 100 years. So, initially, some problems will come before start of the mine, but when it starts, then you have long-term benefits available. So, we expect that with good Potash prices prevailing, that's why we tell that mines will improve and we will have some partners joining in step for starting the project. So, we expect some result in say around six months maybe by March '23 some progress in this matter should occur.

Saket Kapoor: Sir, currently, these are non-operational?

V.D. Nanavaty: Yes.

Saket Kapoor: The asset is completely non-operational.

V.D. Nanavaty: Right. Right now, it is non-operational. Whatever environment clearance, production clearance approve on to this that means all the permits and everything is in place. So, with good Potash prices, we are awaiting for finance tie up.

Saket Kapoor: Sir, in 2013, as per your release, we have made the first tranche of investment. So, from 2013 to 2022, for over the 8-9 years it has not yielded anything for us and now it is the time when we will start with the right issue, they would be able to do the mining activity, then the uptick will come. Is this the story, sir?

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V.D. Nanavaty: Yes. Some more fund will be required because if you see from 2013 to 2021, Potash prices were highly subdued. So, right now it is \$590 in India, but last year it was at \$280. So, before that it was \$221. So, with this kind of price, no mine can work. It is very low price.

Saket Kapoor: Even in the mix for the fertilizer part, we find that the DAP sales were the highest for this quarter, 700, I think. So, 300 crores for what purposes? So, it forms the raw material there, sir, for the DAP?

Sir, what I was saying that, for this, what is the reason for increase in the sales of DAP in this quarter? On quarter-on-quarter the basis the mix has gone up from Rs. 50 crores to Rs. 700 crores and does the rock phosphate comes under the raw material for this?

V.D. Nanavaty: No, as I have said the subsidy for DAP has increased so the impact of that is there and second we sold some DAP which was produced last year, in this year. So, DAP sales is more. Baroda

Sikka we want to do a plant project taking up the DAP. That discussion is going on. That work is going on. So, when we will award the contract, we will announce it. So, that will make a huge difference in overall turnover and profitability.

Saket Kapoor: Sir, two small points and then I come in the queue. First point is about the capital allocation policy for the company, but as you have told that about the different part, we are believing more on the absolute number rather than the profitability metrics. We have just one of the earlier learned participants mentioned and I second his view. But anyway, that is the Board call and investor's points should also be put on place. Coming to the raw material basket how is it shaping up? Kindly throw some more light on the same? And then coming to this volume data part, sir, this volume data which has been uploaded on the website was uploaded today. I think so two, three days, the post the number. So, we'd request that volume data to be a part of our numbers so that all investors get the benefit of reading it rather than looking at the website when the same are uploaded, and also a request not to remove the previous data so that we can compare the same on how the last quarter numbers have been. These are two requests and sir, lastly, on the investor presentation and press release, sir, kindly look into the aspects, sir.

Companies like I've been naming them GNFC, Gujarat Alkali, everybody is coming up with the presentation. None of them are non-conservative or aggressive companies. All companies are conservative and part of the 80-fold so why are we walking separating? There has to be some reason that we are finding it difficult to adapt so if we can discuss with the investors and where you are finding it difficult to implement? We should get a proper answer then we would stop asking questions. My short point is conservative or aggressive should not be the barometer to decide whether the investor presentation or press release to be a part? And please make us understand how the raw material basket is shaping up and going forward is it the base of industrial products profitability or we expect lower margin than this?

V.D. Nanavaty: No, it will not decrease, it will increase. So, in raw material like the crude is getting softer and sulfur also gotten pretty soft from August. Otherwise for Q1-Q2 Phos Acid prices we will increase from Rs. 1530 to Rs. 1715 and this will be ongoing till September. Ammonia will get Gujarat State Fertilizers & Chemicals Ltd.

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a little less but it will not be much because you want so much gas and the raw material of ammonia is gas. So there is a lot of demand of gas so ammonia's cost also gets increased, particularly for imported ammonia. And the cost of rock phosphate cost is also not decreasing. As I said it keep fluctuating, plus minus and sulfur also decrease and except that prices have not decreased much of the raw material.

Falguni Dutta: I just had two questions. One is on this fertilizer profit that you said that they are higher because they contain that higher subsidy due to later on POS sales. So, sir, will you be able to quantify that amount? Any broadly, what would be the impact of that?

V.D. Nanavaty: I would say 150 crore.

Falguni Dutta: 150 crore?

V.D. Nanavaty: Correct.

Falguni Dutta: And sir, secondly on this, I just missed your answer. Phos-Acid price in Q1 you said was \$15.30.

V.D. Nanavaty: Yes. Not Q1. Q4. Sorry.

Falguni Dutta: Q4. And Q1, how much was it?

V.D. Nanavaty: 17.15.

Falguni Dutta: And Q2, has it been finalized?

V.D. Nanavaty: Yes. It is same for Q2 also.

Falguni Dutta: And Ammonia price if you can tell me, the current one, current rate?

V.D. Nanavaty: It's between \$900 to \$1,000 in import for Ammonia.

Falguni Dutta: Sorry?

V.D. Nanavaty: Imported ammonia price.

Falguni Dutta: Imported ammonia. And sir, how much of imported ammonia do we use?

V.D. Nanavaty: It is mainly used in Sikka unit. Here we get natural gas and from their gas we

e have ammonia

plants. So, we make our own ammonia but our product costing is not revealed except on segment basis.

Falguni Dutta: No, like broadly of your total ammonia requirement, how much would be imported?

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V.D. Nanavaty: No, Baroda is totally captive production and Sikka is totally imported. So, Sikka maybe 1 to 2 lakh metric ton we bring depending upon the cost economics of running Sikka plant.

Falguni Dutta: Can you just tell me about the current DAP realization and current subsidy?

V.D. Nanavaty: Current subsidy is Rs. 50,000 and realization is Rs. 26,000.

Falguni Dutta: Realization is 26,000 a ton?

V.D. Nanavaty: Correct and subsidy is 50,000.

Falguni Dutta: Broadly, how are you seeing the demand this season?

V.D. Nanavaty: Due to the rainfall all over, demand is going to be there. So, good demand will be there like any year.

Falguni Dutta: So, we see broadly the fertilizer volumes will be same or higher?

V.D. Nanavaty: I think with Sikka, the economics changing with input cost prices, I think volumes will be compared to almost like last year.

Guneet Singh: Sir, my question is regarding the margins. If we look at the margins for the last two quarters, they have been around 21 and 18%, but for the previous quarter before them, margins have been hovering between 10% to 15% and also if we look at the yearly margins, the margins have suddenly improved from around 9 to 10% before 2021 and after 2021 for the years FY22 and for the trailing 12 months, the margins are around 15 to 16%. So, I would like to know whether we can continue the margins that we are seeing right now around 18 to 20% for the coming quarters and the coming years? And what can be the steady-state margin that we can expect? And I also want the main reason for this increase in margins that we saw in FY22?

V.D. Nanavaty: Margin because there are broad two segments, fertilizers and industrial products, so as a steady state, we can say that fertilizer will be at around 5% and the chemical between 10 to 15%. That is the normal margins. Of course, fertilizer is showing abnormal margins this time, but this is not a steady-state margin we can say. So, this is mainly because of higher subsidy declared by government and the GSFC being efficient unit, while subsidies are fixed now considering all the players in the field. So, those who are efficient, they get disproportionate benefit. So, that is what is seen in this quarter fertilizer margin. So, this is probably the thing and mainly the chemicals are internationally quality price linked product. So, we don't have our own pricing policy because imports are free and the custom duties are down in line with WTO requirements. So, if you price your products higher, then people will import and you will have

a huge inventory. So, you have to be real of global player although you are selling it in India.

So, that is how the prices of chemicals are decided and with China having large volume of every chemical that we produce, be it is Caprolactam or Melamine or Nylon. So, they

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dominate the pricing in the international market. So, with large economies of scale and other benefits they have in their country, they will fit in the price. So, there is hardly any windfall gain in the chemicals. Barring maybe some occurrence like COVID that happened last year, it went up the price substantially. Otherwise, it is a quite kind of commodity cycle. So, there is a steady state. Sometimes you go up. Sometimes you go down. But chemicals bring 10 to 15% margin and fertilizers as you know are highly controlled by government. So, how do they look at protecting the farmers' interest, that decides the MRP and subsidy. So, on an average 5% is a normal margin there.

Guneet Singh: So, for the coming quarters, right no

w we are looking at 20% or 18% margins. So, for the coming quarter or for the coming years, a steady state of around 12 to 15% is a good number or do you think that is that?

V.D. Nanavaty: That is a good number.

Vipul Shah: So, what is our annual requirement of Phos- acid and Phos-acid is mainly we are using for production of which product, sir?

V.D. Nanavaty: Phos-acid we import are used at Sikka unit where DAP and NPK products are made. So, if we run the plant at normal capacity, we produce 7 to 8 lakh tons of DAP and NPK fertilizers and that requires 3 to 4 lakh ton of Phos-acid per year.

Vipul Shah: Previously, I think we had a joint venture with Coromandel for procurement of Phosphoric Acid?

V.D. Nanavaty: Yes, that is at the Tunisia TIFERT. It provides some support for the supply, but their production is...

Vipul Shah: So, from that venture, how much quantity we get?

V.D. Nanavaty: The plant is for 4 lakh, I mean, 3,60,000 metric ton. So, we are supposed to get 50%, say maybe 1,80,000 metric ton. But that plant is having some socially unrest in the country. So, it is running at some 30, 40% only right now. So, we are trying to revive it and bring it to 70, 80%, but it will take some time. So, we get some support, maybe 40,000, 50,000 tons actually we get from there. There is no price advantage there. It is only supply assurance.

Vipul Shah: So, we get only market price.

V.D. Nanavaty: Yes. We pay market price only for that Phos-acid.

Vipul Shah: When I search our website, we don't have any transcripts of previous calls or any, this volume data which you have put for this quarter. So, for previous quarter, I don't find any data. So, why don't we keep the transcript of all calls which were previously done on our website and

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this volume data plus we should also have a presentation with the result every quarter just like all good companies are doing. So, these are few suggestions if you can act upon it.

V.D. Nanavaty: Yes, definitely.

Anurag Patil: Sir, how is the demand scenario for the Caprolactam currently?

V.D. Nanavaty: No, it is good. There is no problem in demand. Sometimes, as I said, it fluctuates between quarter-to-quarter due to one reason or the other. Otherwise, all our plants are having capacities which are much smaller compared to Indian requirements. So, apart from what we produce, lot of imports take place in India. So, with good quality materials provided by us, so all our customers prefer to buy from us at the first instance and balance quantity that we import. So, there is no question of any demand destruction or demand falling suddenly and with a lot of inventory, those situations hardly arises.

Anurag Patil: And, sir, what was the Caprolactam Benzene's spread in Q1? And what is it currently?

V.D. Nanavaty: It was around some \$950 and as I said, it is improving from say August. It will go above \$1,000, I think, in August.

Anurag Patil: What was the Q1 average? Q1 FY23?

V.D. Nanavaty: I told no Q1 is 950, around \$950 and it is likely to increase from July was not so high, but August it is high. It will improve.

Jatin Damania: Sir, you just, initially, you stated that you have taken a shutdown in the urea plant due to the equipment failure. So, sir, when can we expect this plant to be operational?

V.D. Nanavaty: Yes, it was from some 12, 15 days. So, maybe in this week or maybe in early August it will be operational. Not a major thing.

Jatin Damania: And sir, you said there were few other plants were also shut in the last quarter. So, can you state which were the plants which were shut other than the Methanol?

V.D. Nanavaty: No, that I had said about last year's Q1. So, there are some fertilizer and chemical plants were having normal shutdown. So, because of that production last year was less. If you see the volume data uploaded by us some like ure

a and all products are now higher in this quarter as compared to last year. So, last year they were having shutdown, normal shutdown.

Jatin Damania: In terms of Methanol now since because of the increase in the gas prices, the unit is not (Inaudible) 49:14, but at what level we will revisit to think that we can start the plant again, at what breakeven points?

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V.D. Nanavaty: No, right now gas prices are prohibiting. So, unthinkable to start Methanol because spot gas prices are above Rs. 120 per f.m.q or Rs. 130 per f.m.q for Rs. 40 per Kg or 35,000, 40,000 per ton. There is a huge difference of maybe Rs. 1 lakh negative gap between revenue and cost we can say, a negative spread of Rs. 1 lakh per ton.

Jatin Damania: In terms of the expansion that you mentioned about Sulphuric Acid plant, Ammonia and Sulphur setup and then solar power plant of 15 Megawatts, what is the CAPEX that we are incurring for that?

V.D. Nanavaty: Solar is about 85 crore and Sulphuric Acid plant is about 250 crore and Ammonium Sulphate is 110 crores and HS crystal is 100 crores.

Jatin Damania: So, we are almost spending over 500 odd crores around for the expansion.

V.D. Nanavaty: you

Jatin Damania: And the incremental revenue that we will be generating will be in the range of 400 to 500 crore, that's only through Ammonium Sulphate, right?

V.D. Nanavaty: Mainly through Ammonium Sulphate, yes.

Jatin Damania: So, on the asset turnover, it will be one-on-one, but, sir, what additional incremental benefit that we can get from Sulphuric Acid? Can you basically highlight what will be the

improvement in the operational efficiency in margin once the Sulphuric Acid get commissioned?

V.D. Nanavaty: So, we are the largest buyer of Sulphur in the country in the fertilizers industry. So, we have the most fertilizer based on Sulphur. No company is having Sulphur-based so much variety of fertilizers. Hence, we get the Sulphur at the cheapest cost in the country. We make Sulphuric Acid out of that cheap Sulphur and that Sulphuric Acid goes in the Ammonium Sulphate. So, it improves our profitability much more compared to others and Ammonium Sulphate is made by FACT and GSFC only in India. So, there are not much suppliers and there is no fertilizer subsidy on the imported Ammonium Sulphate. So, they are the two suppliers who service now all India basis. So, with this kind of a good costing, Ammonium Sulphate gives us a good margin.

Jatin Damania: Sir, one last question, as you said that we would see a better volumes in terms of second quarter and third quarter. So, that will be driven by the chemical segment or we have some room to increase the production in fertilizer also?

V.D. Nanavaty: This is a good quarter, good volume mainly will be in the fertilizer, but the overall for the year we don't see much volume growth because of the Sikka production fluctuation. So, quarter is good from rainy season itself.

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Jatin Damania: For the full year FY23, our volume will be flat as compared to FY22, but because of the hard subsidy and hard realization, our revenue will grow at 25%.

V.D. Nanavaty: Correct.

Pratham Shah: Sir, I had a question that last quarter you had given a guidance of revenue topline growth of around 20 to 25% and margins to be 5 to 10% in the fertilizer segment. Is that yet on track?

V.D. Nanavaty: Yes, but growth as you saw in the first quarter, turnover is much more than 25%. But on yearly basis, we believe that 25% on overall receipt is in turnover will be definitely there and with margin percentage what you repeated. Yes, we believe that has to be maintained.

Pratham Shah: So, you think you will maintain it, not increasing the guidance or anything?

V.D. Nanavaty: No, right now because it is too early and the government

has declared the subsidy up to

September end. So, maybe one or two month they will take up the review of whether to continue this kind of subsidy from 1st October or to reduce. So, that will affect my revenue and margin.

Pratham Shah: So, for next quarter, the subsidy will yet be there no?

V.D. Nanavaty: Yes, this will be there. That is a notification, subsidy notification mentions the period up to 30th September '22. So, till then there is no change.

Pratham Shah: Also, how do you plan to counter the increase in gas prices? Or you have to take the market price?

V.D. Nanavaty: No, we have a long-term tie up for gas. So we are not so much affected, but spot prices are very high. So, those who don't have long-term tie ups, they are badly impacted. But fortunately, as I said about Sulphur, so for natural gas, we are the first user of natural gas in the country in the fertilizer sector. So, we understand natural gas from 1966. So, nobody has so much knowledge in this field which GSFC has. So, we have that advantage and taking that long experience, we have some good tie up for gas supplies and that helps in keeping the gas cost low compared to others.

Pratham Shah: So, basically you'll have fixed prices, no, for that price and for some amount, of course?

V.D. Nanavaty: No, prices are not fixed, but we have good formula for pricing which are not available now. So, the early mover advantage along with good volume of natural gas that we buy, that helps us in better negotiation and better contracts.

Pratham Shah: Also, the urea compliance by the government for the urea plant for one plant last time you have checked, there is some debottlenecking compliance from the government. Is that done?

Gujarat State Fertilizers & Chemicals Ltd.
July 26, 2022

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V.D. Nanavaty: Yes. So, we are requesting government to help us because that urea plant revamping to meet new energy norms, that CAPEX is more than 400 crores. So, we are requesting that some support should be there because the government is taking the advantage of more energy in terms of low subsidy and then asking to incur CAPEX for which we will not have any advantage. So, we are requesting that government should not take over both the things. At least one part should be kept with us. And that they provide us some CAPEX support and then they take over the energy saving or we spend on CAPEX but allow us to keep energy saving with us. Either of this one should be done. If the government will do something, they are thinking over on this.

Pratham Shah: So, you think this request will be taken?

V.D. Nanavaty: Yes. I think government is sensitive because we are saying that in '21 - '22, governments spend highest price of imported urea to the tune of \$1,000, while our urea hardly costs \$400. So, if you have foreign suppliers enjoying all the benefits of now rising urea prices, but local manufacturers are given all these challenges of reducing energy and spending 400 crore CAPEX and so this is not fair. So, to encourage local urea manufacturer, some support should be there instead of giving all the huge subsidy to the urea exporter to India, some cushion for Indian manufacturers should be there with government, I believe that yes, something should be done. So, let us hope some support comes.

V.D. Nanavaty: Thanks everybody for analyzing our results in detail and suggesting some good step for investors' communication and enlightenment. We will request Company Secretary to preserve the archives in the Investors section so that data about past years are readily available and feedback also we will convey your feelings about adding them to the Board next time. So, that is well taken.

Otherwise, as we discussed, the GSFC story remains intact and the company will keep on growing and probably more under the Atmanirbhar initiative of Government of India, we will be doing all the support that we can do, of course,

subject to viability of new projects that you can take for sure. No compulsions from any sector about undertaking any unviable project. So, that is for sure. So, we have good pipeline of projects that will unfold as and when the time matures and as I said earlier, we have a good tract of land at Dahej. So, the next phase of development will come in Dahej as well as in Sikka and it will be almost like a Baroda Investors Application over a period of time. So, company will keep growing. Thank you for all the efforts and looking forward to see you after the Q2 Results. Thank you.

Call: Nov 2022

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED
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NO.SEC/2(J22Fertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : 199999GJL962PLCO0LLZL

14th November, 2022

SCRIP CODE: 500690 SYMBOL: GSFC

Dear Sirs/Madam,

Sub: Transcription of conference call held on 10th November' 2022'

With reference to our letter dated 3'd November, 2022 regarding Conference Call scheduled on 10th November, 2022, post declaration of Unaudited Financial Results for the Second Quarter ended 30th September, 2022, we are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take the same in your records

Thanking you,

Yours faithfully,

For Gujarat Fertilizers & Chemicals Ltd.,

cs v.v. rajani

ry& Company

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"Gujarat State Fertilizer s & Chemicals Limited
Q2 FY 23 Earnings Conference Call"

November 10, 2022

MANAGEMENT : M R. V.D. NANA VATY - EXECUTIVE DIRECTOR ,
FINANCE AND CFO

MR. VISHVESH VACHHRAJANI - COMPANY

SECRETARY AND SENIOR VICE PRESIDENT , LEGAL

MODERATOR : MR. NITESH VAGHELA - ANURAG SERVICES LLP

Gujarat State Fertilizers & Chemicals Limited
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Nitesh Vaghela: Thank you. Good afternoon, and welcome to the second quarter earnings conference call of Gujarat State Fertilizers & Chemicals Limited, hosted by Anurag Services LLP. From the management, we have Mr. V.D. Nanavaty, Executive Director, Finance and CFO; and Mr. Vishvesh Vachhrajani, Company Secretary and Senior Vice President, Legal and Investor Relations and senior dignitaries from the management.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from the management, post which we will have a question-and-answer session. Thank you, and over to you, sir.

Vishvesh Nanavaty: Thank you. Good afternoon, ladies and gentlemen, and welcome to the GSFC quarter 2 post-results con call. As you are closely tracking the GSFC, I hope you have seen the results published yesterday. So there has been consistent growth in sales and profit in this financial year, quarter 1, quarter 2. And for the full year also, as we discussed, we hope that more than 20% revenue growth is expected in this financial year.

Similarly, the actual results also show the profit highlights. So we hope that at least in Fertilizer, the same trend will continue. However, we see some pressure in the Industrial Products segment going forward also. Capro-benzene spread has been less than our expectation of \$1,000. So we expect it to be around \$900 going forward.

Fertilizer segment has done very well on the support of very good subsidy from government of India. As you know, input prices have continuously been rising. However, to protect farmers from the vagaries of this price rise, and government is constantly upgrading or increasing their subsidy budget for this financial year. And right now, it is historically at a high

of more than INR2.5 lakh crore from the originally projected of INR1 lakh crore. The government seems to be committed to protect the farmers and the fertilizers MRP will be kept around the same price that has been prevailing almost from the beginning of the year. With GSFC being well managed and very efficient company, we hope that in this fluctuating time, we will have a good day in the Fertilizer segment.

As some of the shareholders have requested, we have uploaded the data of last year, also quarter-wise volume of production, sales and rupee figure of sales. So the last year, full year data is available on our website as well as the data for the current quarter and comparable quarters that are part of the published results. So you can take advantage of it and do the analysis required.

Inventory and subsidies have gone up, mainly because for inventory, fincos inventory, we had procured 2 DAP vessels of around 1,10,000 metric tonnes. So those just arrived in September and for those purchases. So they are reflecting as inventory. We assure you that this will be sold out before the close of the season and by December end. Subsidy has been higher because of the VVD, value of all the fertilizer products have gone up substantially, otherwise volume-wise, there is no such huge blockage of subsidy. Because of these 2 factors, higher inventory and higher subsidy pending, the working capital requirement has slightly gone up and in fact, some of the deposits that were showing in March end have come down to some extent, we hope by again Gujarat State Fertilizers & Chemicals Limited
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Page 3 of 7 by this March '23, which really was subsiding time, we'll be able to have the comfortable deposit position by year-end. Otherwise, the projects are going on as per earlier discussion. And company will be conscious of the growth trajectory going forward and we'll keep on flying back the whatever investment or the results we have in more and more projects to serve the Atmanirbhar Bharat and to take the company forward.

With this, I complete my summary of the working. And now we can take the questions from the participants one by one. Thank you.

Saket Kapoor: Many thanks for uploading the volume and the production and sales data on a comparative basis also. And last year also, that's very helpful, and we hope for the continuity of the same. Sir, if we look into that DAP part of the story sir, out of this total inventory on a stand-alone basis of INR1,552 crores. How much would be attributable to the DAP part, sir?

Vishvesh Nanavaty: That is around INR450 crore.

Saket Kapoor: INR450 crore. And sir, first quarter, we have done sales of INR 700 crore on DAP. And I think this time, there is negligible sale of only INR5 crore.

Vishvesh Nanavaty: Correct. Because the DAP economics were not favorable. So we had to curtail DAP production at Sikka Unit. And because government has not allowed the DAP MRP to be more than INR1,200 per bag. And the subsidy was also not remunerative considering the P205 and ammonia prices. So we had to stop the production of DAP at Sikka. And when the things improve at the latter part of the quarter, at least for the imported DAP, we order for these 2 vessels. However, from October onwards, the P205 prices have substantially come down from \$17.15 to \$11.75. So it's a huge number, so with this kind of lower prices, now the DAP production has become viable, and we already started the plant from November 1. And we hope at least 50% planned capacity utilization until March '23 for DAP and MTP at Sikka unit. So hope these things will turn around in the H2.

Saket Kapoor: And sir, what should be the likely margin in the trading business

for DAP? The 2

vessels and INR450 crore investment in inventory, which they are carrying?

Vishvesh Nanavaty: It varies because the DAP price also varies substantially. So the margin varies between INR1,000 per tonne to, say, INR5,000 per tonne.

Saket Kapoor: Okay. But still on a blended basis, sir, when we have booked the vessel, we have also planned out the selling part of it? Or how does it work?

Vishvesh Nanavaty: Yes, yes, definitely because DAP season is there till 15th of December or so. So by that time, the 1,10,000 metric tonnes will be sold because if we don't sell it by that time, then it will be sold in say, in the next May or June only, we can't afford say 6 months' inventory pileup. So accordingly, it is planned that everything will be sold by this mid December.

Saket Kapoor: Right, sir. Sir, when we look at this quarter numbers, on a comparative basis, for Q1 versus Q2, in the Fertilizer segment, we have done less business because of the DAP part. But if we take the power and fuel cost, that has gone off significantly. So sir, going ahead, what is the outlook on the same sir?

Vishvesh Nanavaty: I mean, the mainly power and fuel cost rise is mainly because of natural gas used for power generation. So I mean, if native costs have consistently gone up, but obsoletely they started coming down. So there will be some worsening of the retail Gujarat State Fertilizers & Chemicals Limited
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Page 4 of 7 gas cost in this quarter and the Q4 also. So we see some downward trend in that cost. As far as urea is concerned, overall energy costs are a pass-through. So even if the natural gas cost is high, we are able to get it back in form of subsidy. So to that extent, whatever rise is there in the form of higher revenue in the turnover part.

Saket Kapoor: Sir, going ahead also, we can maintain these margins for the Fertilizer segment, is the Fertilizer segment going to be a steady state number, both in terms of turnover and the bottom line for the second half also?

Vishvesh Nanavaty: Yes, yes. So not be percentage exactly maintainable in that form, but it will have a good margin as well as a good turnover also because we expect INR10,000 crores to INR11,000 crore turnover on annual basis. where Fertilizer turnover will be having almost 50% rise compared to last year. So last year was around INR6,000, we expect INR9,000 crore Fertilizer turnover and overall around INR11,000 crores. And as I said, margin is also not percentage wise, but it will be a good number going forward also because let's say probably H2 is already declared with some reduction of 3% to

4%. So that will not have a major impact on the margin and MRP also is not scale. So with short-term realization more or less remaining the same. And as I said, input cost for P205 has gone down, ammonia has not increase and sulfur and rock, et cetera, is steady. So we don't see much rise in the input cost also in the Fertilizer segment.

Saket Kapoor: Right, sir. So because when we look at the margin profile, just to drill more on the Fertilizer segment, the margin has significantly improved for the quarter and also for the first half on a top line of INR4,100 crores, we are doing the PBT number of INR933 crore. So you are trying to explain that these margins are not sustainable. The margins may be slightly lower for H2 going there.

Vishvesh Nanavaty: Yes, slightly lower but not something the tables are not going to turn.

Saket Kapoor: Like in Industrial Chemicals.

Vishvesh Nanavaty: Yes. Yes, that way.

Saket Kapoor: And sir, now coming to the industrial chemicals part, sir, what's the outlook there, sir and what has happened in this segment that we posted loss of around INR80 crore.

And is there any one-off item in this MDA inventory write-down, which you took?

Vishvesh Nanavaty: No. So the selling price of the finished good price is not included in line with the input cost increases. So that is why it had to be in the red. So particularly in melamine, the antidumping duty has not been renewed by government of India and broadly they are taking the same stand for various products. So the Chinese import into India at a much lower prices coming in a large way in the case of melamine. So we have to more or less make the price. So to avoid this, we are increasing the export for melamine in European and U.S. where we get better realization so that way we are trying to improve the margins in industrial products.

And though we are doing the segment breakup as per the accounting standard and other regulations, and so the ammonium sulfate fertilizer is a product coming out of caprolactam plant only. So on a stand-alone basis, if I see caprolactam not showing profit and if we shut down the plant. There will be a huge loss in the Fertilizer segment also. So for an integrated plant like GSFC, these segments are kind of artificial bifurcation, so to say and industrial product plants support fertilizer and fertilizer plant support industrial products. So on the case of it, IP is showing up but the whole ammonium sulfate is coming out of caprolactam plant only. So that way, we see internal for decision-making, which is the holistic picture and continue or Gujarat State Fertilizers & Chemicals Limited
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Page 5 of 7 stop loss making products. So caprolactam or melamine was not stopped because of this holistic reasons.

Saket Kapoor: Right. Correct. And sir, on the CapEx front sir and on the subsidy front, what's your take, there is an increase in subsidy to INR2,000 crores. So what are we in terms of how much have been the receivables for the month of October, if any? And what's the outlook, sir, how is this going to get trimmed down?

Vishvesh Nanavaty: Government is as through budgetary support also, they are increasing the subsidy allocation and with a good fund coming to government to good DAP and tax collection. They are seriously wanting to pay in time. And in fact, subsidiary up to third week of September has already been paid. So it is just a month and or so to say 5 weeks' subsidy is pending.

But on the book, it is showing higher figure because we book subsidy on the cost point of sales, while government releases subsidy after post-sale is happening, and then we are able to lodge subsidy claims then only liability on government side arises. So there is a timing gap between these 2 events. And as per in the off season like January to March, this gap is 3 to 4 months away. So even if I sell something in January, my post-sale is going to happen in, say, May, June or April only. So till then, it will show up as an outstanding subsidy because my sales comprise MRP as well as subsidy. But there is no liability to government because the post-sale has not happened. So on the balance sheet is with outstanding, but from government side, this much of subsidy payable is not there. So this is showing main thing.

Saket Kapoor: Okay. So what figure should we look at today out of this INR2,086 crore or the INR2,162 crores, if you take the standalone numbers? What portion should be attributable to the actual sales? And what have been the receivables for the month of October, sir in terms of subsidy received?

Vishvesh Nanavaty: Subsidy, for being lodged with government and not paid by them is less than INR500 crore. While my book shows INR2,100 crores. So that is the kind of difference.

Saket Kapoor: Right, sir. And sir, for the CapEx part, if

you could give some more color, how much

CapEx have we done for H1? What have envisaged for H2 and the year ahead? And also on the projects where we were contemplating some backward integration. And however, our investment in our JV performed, sir, for the foreign JVs, I think so we have also invested some money and applied in the rights issue. If you could throw some more light on that.

Vishvesh Nanavaty: Yes. So the CapEx, as we discussed about sulfuric acid fifth plant, ammonium sulfate plant, HX crystal then chrome, which is organic fertilizer, then solar plant for reduction of power cost, green hydrogen for green ammonia, then melamine 4 plant, urea revamp for reduction of energy. All these CapEx are going on. They are at different stages of implementation. So right now, no major CapEx has been capitalized so far in the H1. So as and when it is done, it will be notified through stock exchange, and it will also come in the notes to the quarterly results. But they are at different stages, and most of them will be capitalized in '23 and '24. So that should help into our turnover or reduce our cost or like HX crystal is a niche product used in the pharma industry. So right now, it is imported 100% from China. So we will have some Indian supplies from GSFC for different form of CapEx are underway, and we'll declare as and when it is done.

Saket Kapoor: So you are explaining that no substantial amount has been spent as on H1. And

neither do we contemplate any big CapEx for H2 as of now, only when things will crystallize, we would be on the drawing board only.

Gujarat State Fertilizers & Chemicals Limited

November 10, 2022

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Vishvesh Nanavaty: Right. And if you look at our balance sheet, it will show up in the net asset because it includes the capital work in progress also. So whatever changes are there, they are because of whatever CWIP has been done or any capitalization that has been affected. So this show up in seasons also.

Saket Kapoor: And sir, lastly, sir, you have a long tenure at GSFC. So just to understand, sir, what is the succession planning at the end? And when is your retirement due, sir, you have been managing and answering us investor for a very long time, just to understand how is the succession planned there?

Vishvesh Vachhrajani: Mr. Nanavaty has still long way to go.

Vishvesh Nanavaty: All my successors are sitting in this room only. So don't worry. Yes. So GSFC has been working since last 60 years, and we have sufficient experienced people at different levels. So nothing to worry about the company's future.

Saket Kapoor: Sir. Okay. So we'll hope for how the value creation has been done to investors since everything that was discussed last quarter will get how the Board looked into our request for creating shareholder value. So that's another aspect, and we'll wait for how the Board looks and deliberate on the same. And a lot of things have been spoken at length last quarter also. So it won't be repeated. We will wait how the Board replies to our question.

Vishvesh Nanavaty: Listening to what we are saying.

Saket Kapoor: On the dividend distribution policy and also on the buyback policy on all other aspects, which will create shareholder values and create awareness for investors.

Ankul Sanwal: The fertilizer subsidiary is on the historical high end. This may not continue forever. And our industrial segment is not working up to the mark since last many quarters. So how we are planning to sustain profitability in the future?

Vishvesh Nanavaty: No. GSFC, these 2 segments, has each other, when one is down, the other is up that

is how we have been consistently making profit. So maybe in the

last 2 quarters, the

industrial product is not doing up to the mark, but that is not going to be the picture forever. And in fact, we have earned a huge margin in IP also. So nothing to worry as a company as a whole. However, as I explained, we are trying to have more export of the melamine so that we have a better price realization. And the capro nylon also if the Indian price continues to be like this, we will focus more on the export also so that we have better realization and better profit. And as you know, no government can ignore farmers interest and make fertilizer costly. So consistently, government whatever party is in power they have been giving good subsidy on the fertilizers to protect farmers from price vagaries. So a company like GSFC, which is efficiently working, you will always have a chance to make good margins whenever the opportunity arises.

And as I said, 1 of the project that we are undertaking for urea events for reducing the energy. So apart from the increasing the income side, you also focus on the cost side by reducing the power cost by setting up solar and wind power plants as well as reducing the energy in old technology plants so that either they get more subsidy for the same amount of energy or our energy bill goes down when gas and power are costly. So we see both the cost and income side consistently. And in the advantage of the situation and when things don't move in given situation like we go also for the export because the quality of all the products that we manufacture are of international standards. So we don't have any problem in setting overseas market

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Page 7 of 7 also when need arises. But since it is not good to be sitting in India and not meeting local demand and exporting our products that is not our philosophy. So we were mostly selling our products in domestic market only. But now when because of dumping or other consent, we don't get the desired price then we don't mind going abroad also.

So depending on the situation, we will be taking the steps, apart from going for the new projects, so that gives new product or gives economy of scale or helps in making higher market share in the domestic market for all these various considerations, and we go for the new project to maintain the profitability and to improve top line, bottom line.

Vishvesh Nanavaty: Yes. So thank you, all the participants. And as we discussed, we'll continue to take steps to take the company ahead in the growth path. And which is even there are consistent profit as some shareholders have feeling, they work and then think of higher dividend or other forms of compensating the shareholders. So the time will tell the story, but till then do continue to report confidence in GSFC. Thank you.

Call: May 2023

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

Fertilizernagar - 39L 750. Vadodara, Gujarat, INDIA.

CIN : 199999CJ1962P1C00112 1

NO.SEC/2023 29th May t 202g

SCRIP CODE: 500690 SYMBOL: GSFC

Dear Sirs/Madam,

Sub. : Transcription of Conference Call held on 26th May,2023.

with reference to our Letter dated 22"d May, 2023 regarding conference callscheduled on 26th May, 2023, post declaration of Audited Finaniial Results of theCompany for the Year ended on 31't March, 2023, we are enclosing a copy of thetranscription of conference call. The aforesaid information is also disclosed onthe website of the Company at [www.qsFclimited .com](http://www.qsFclimited.com).

Kindly take the same in your records.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

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Sr. Manager (Legat)

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V.D. Nandani
or:
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Please note
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Thank you
March 20
Limited has
From the senior di
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you, sir.
Yes. Good
GSFC. I have
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And the good

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Pnd gentlemen,
GSFC, Investo r
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to you, Nitesh V
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hosted by Anur a
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Page 2 of 14good day, an d
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31 March 20 2
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Vaghela.
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Nitesh Vaghela
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opportunity, we would
be going to be producing
things at a very
crop output in the
government
received subsidy from
March end. So far & Chemical
May
Fertilizers &
performance of Four
days Conference
there will be an opportunity
you need assistance
from a touchstone
Services LLP. The
financial year
Fertilizers &
Director and CFO
management for
opening remarks
in. Thank you, a
learning conference
ear FY '23. I would
we have mentioned
now and the hope
to give a glimpse
fertilizer sector, as
this performance
of farmers from
materials during
year, so that the Ministry
how the subsidy
took up the same
possible in this year
high pace. Across
this country.
also paid the subsidy
for almost third
unlike earlier years Limited
May 26, 2023

Chemicals
Fourth Quarter
Call. As an
opportunity
arose during
one phone.
Thank you,
ended 31
Chemicals
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is giving us
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mentioned in our
highest PBT

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Page 3 of 14gaps between r e
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and we have grown
comfortable situation
and are also making
capex plans. So
this year, we expect
of INR 4,000 crore
of urea during
affected our volume
market policy of
ident, we have
after a Board meeting
to time.
performance and so
thank you.
making perform a
caprolactam, with State Fertilizer
subsidy claim and
is declared by
we are glad to find
dividend, it would
but prices are low
raw phosphate,
course, government
And now for continuation
seen further reduced
a profitable
once crash during
, and we expect
related to income
of deferred tax liability
of 20%. A strong
good cash reservation.
mentioning shareholders
So right now, we
expect to spend INR
on proceeds,
FY '23. So based
on some encouraging
we already declared
resolution or Board
some few highlights
of this quarter
that is the project & Chemical
May
and receipt of subsidy
from the Board. This
will fulfill that. And
it will be paid to
bringing down subsidy
on all the prices
management has also
current financial
reduced based on
operation with
this year and high
cost capro-benzen
e tax. We adopt

ability, and that as you are all known. So our capex holders present we are in the NR600 crores that we have tied up on that, we are not in a position to pay higher dividend. And other board decisions ought to be taken. Now we cannot do that. My first question of this proposal Limited by 26, 2023

subsidy from the government is also as you are the eligible substantially. are down, reduced the 1 year from the lower this lower had a very wide spread to the new at helped to know, we explain will tations that process of to INR700 up for the also had a might have and other proposals on this, the can take up question is product in the

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Page 4 of 14good. As you w

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 Page 5 of 14e of your com p
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Dahej and which sometimes, we n. So slowly go into DAP and in long-term, they reduce our dependence on chemicals more Gujarat State 4 petitioners are getting national DAP. So our conventional open-run stage. In fact, as yet to prove if all DAP demand is also slightly low Nano DAP. So will be more suitable as a challenge? adopted the technology, urea has come forward, we are just waiting into something technology? a right now. of IFFCO's Nano channels as a t. And sir, just our investor is planning on a ministry, and then capex well, all of them in Dahej, which is focus on are dependent going to move urea along with chemical fertiliser dependence on them and more. State Fertiliser going to Nano DAP So I'm trying to national DAP? fact, many things itself on the field. under compared to from government able and government technology for production for last 1.5 years going for its acceptance like that for a non-urea? a seeding program lastly, can you presentation uploaded ammonium sulphate cyanuric, phosphorus along with the more now Baroda in chemicals being put heavily on going away from fertiliser the organic fertiliser may have the fertilizers for & Chemical May

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y 26, 2023

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 things have cooled
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 Page 6 of 14
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 you want to spend
 to spend INR 6
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 4,000 crores. So
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 subsidiary effective
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 So they have
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May
for '24 and '25
that will be kind
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Generally, sir, with
high-cost inventory
the GSFC?
to understand, sir
it will be manufacturing
or imported
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in a wide range
of. So at this time
ammonia prices,
after Q4?
any way. When
the right MRP. So
2023, which was
fertilizer company
a very good international
successfully, stills Limited
on 26, 2023

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probably our margins right.
 maximum allowance only the non-ferrous as you might see at the start of dipping.
 who imported a quantity. Similarly in 2000. So with this, just as we said in the club sale producing at Baroda as well as offers, I mean, I'm importing nitric acid, sulfuric acid and offer to government is a very, very better, or one should say, so the broad conclusion. And sir, we are aware of the gas cost which is falling. So what is the Page 7 of 14 in the flexibility, there are no government prime factors are comfortable. Roughly close to 300 per bag, if per ton at 12%, on margin at P that.
 bers, right? Because margins at PBT including 12% at PBT normality of the see -- if you see pricing on end of at higher prices, early, ammonia is kind of things, and, average in products produced as well as Sikka, if mean, details of ammonia [nitric acid, so the government for cost broad kind of a that would not very, very counter is like that also have our own. If you were enjoying the gas cost as a Gujarat State subsidiary. A one of your fellow agrees that common. So I believe -- I mean, in conclusion I'm not wrong, it means that PBT level, which cause you just level are close level. It is what a profit. That do

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Page 8 of 14ound INR45 p e
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Page 10 of 1n somebody is

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 Page 11 of 1They have take
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Page 12 of 1DA margin for

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Page 13 of 1ikka unit, we could.

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Call: Nov 2023

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

Fertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : 199999GJL962P1C001121

NO.SEC/202310tr November,2023

SCRIP CODE: 500690

Dear Sirs/Adam,SYMBOL: GSFC

sub. : Transcript of investor concall held on Wednesday, 08 Nov 2023

We refer our submission vide letter dated 1st November 2023 wherein the intimation was made that the Conference Call with Analysts is scheduled on 08th November, 2023 at 03:30 pM IST.

[We are enclosing a copy of the transcription of conference call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: AISI4f,-

E-mail : nidhi.pillai@gsfcld.com

Ph. : (O) +91 -265-2242451, 2242651, 22427 51, 2242641

Fax: +91-265-2240966-2240119oEmail: ho@gsfcld.comWebsite: www.gsfcld.com

ISO 9001, ISO 14001, ISO 48001e ISO 26000 Certified Company The Corporate Relationship Department

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Rotunda Bldg., P.J.Towers, Dalal Street

MUMBAI - 400 001The Manager, Listing Department

National Stock Exchange of India Ltd.

'Exchange Plaza', C/1, Block G

Bandra-Kurla Complex

Bandra MUMBAI - 400 051

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"Gujarat State Fertilizers & Chemicals Limited
Q2 FY-24 Earnings Conference Call"

November 08, 2023

MANAGEMENT : MR. V. D. NANAVALY – EXECUTIVE DIRECTOR
FINANCE & CFO.

MR. SANJEEV VARMA – EXECUTIVE DIRECTOR,
MARKETING AGRIBUSINESS .

MODERATOR : MR. NITESH VAGHELA – ANURAG SERVICES LLP.

Gujarat State Fertilizers & Chemicals Limited

November 08, 2023

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V. D. Nanavaty: Good afternoon and welcome to all the participants, thank you for joining this GSFC Q2 Post-Results Concall.

To give some brief about the agriculture and economic scenario prevailing in context of the Q2 performance. I would request our Executive Director, Marketing Agribusiness to summarize the

situation please.

Sanjeev Varma: Good afternoon all just to give a brief on the agriculture, the monsoon was onset a little delayed by a weeks' time. But the sowing is same as last year the area of sowing is the same as last year this year also. We saw a dry spell in August where the rainfall is very scanty, this is the driest spell in last five years' time. Our business stage where the rainfall that was part of Bihar, UP, West Bengal and Karnataka. In Gujarat which is our prime market we were fortunate to have 18% excess rain. So, there was no dry spell, but August was a concern which resulted into shifting of the crop to soybean. And agriculture started, the Kharif started on a positive note of agriculture with MSP increase by 7% to 10% of a difference across by government. And MRP of most the fertilizer remains as last year except where in case of Ammonium Phosphorus Sulfate which is again a prime product for GSFC where the MRP went down to Rs.1200 which was lower than the DAP, MRP or Rs.13.50 and for all of the sowing I already said was nearly the same as last year only 1% change, but there were change in the cropping pattern both across the country and in our primary market of Gujarat.

In Gujarat we have a shift to soya bean from Bajara because these two things which need rain, dry spell can sustain these crops. Pulses have got reduced, there was a slight increase in cotton also 5%. So, consumption of fertilizer also remained the same during this period, like for GSFC so we were producing Phosphate, APF, Urea and Ammonium Sulfate of Baroda and the plants were running at capacity and our Sikka plant was also running and producing DAP and APF we also have imported DAP to fulfill the need of the country. The prices were stable till late August. Thereafter there was sudden rise in the international prices of fertilizers like DAP went up from \$450 to \$590 and even Urea went from \$280 to \$400 which has resulted into hike in prices, net prices to all the company because raw material has also increased like this phosphoric acid has increased from 850 to 970 and \$985. And ammonia today is at \$540 which was in the range of \$280 to \$370 in August. So, in this scenario we could perform better because of the good rain and support to agriculture from the government. Over to you Nanavaty sir.

V. D. Nanavaty: Thank you. With this background now we will have a company specific summary. So, have you have you seen the numbers there was a ever highest quarter growth in of 3000 crores and fertilizer also sales was at the highest level. If we talk about the volumes in Q2, or Q2 last year 52% rise in volume terms apart production that was backed by the higher production also in our plant. In value terms also the fertilizer sales increased by 35%. Reduction in all major raw materials during Q1 and Q2 like phosphoric acid, ammonia, sulphur, natural gas all this thing has been improving was sustaining our margin. So, they were seen less compared to last year, but as we have said number of times last year was a highest result for the GSFC historical year. Gujarat State Fertilizers & Chemicals Limited
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So, sustaining that kind of performance is difficult, so there was expected to be some reduction in turnover and margin.

As far as subsidy collection is concerned, there are government is regular in providing the subsidy support, we have received subsidy up to September 23. Fertilizer volume as far as we are concerned, you have seen the H1 volume for the next H2, and over

all, for the year as a whole

we hope that we'll touch 15% growth in volume as compared to last year, supported by higher production at Sikka unit and some trading as and when the opportunity arises for another fertilizers. You must have seen the balance sheet and cash flow. Cash and bank balances are at around Rs.2300 crore and this is after the dividend payment of Rs.400 crore in late September, early October.

Capro-benzene trade remain low during the quarter, but it has started some improvement more than \$700 from October onwards and on yearly basis, we see \$700 to \$750 of average spell throughout the year. As you might have noted in the notes to our accounts that reduction in subsidy from October onwards has been provided by the company so, that H2 roll support because of the stock that was laying with us on 30th September. We have also provided Rs.100 crore for salary reversal which was due from 1st January 23. So, this quarter has accommodated a large provisions still the results are comparatively good. As you are aware government, as per government of Gujarat, GAR company they have increased their dividend. So, we had a good dividend income in Q2 of Rs.147 crore which is almost 95 crore higher than last year.

Similarly, with the comfortable cash position, we will continue to have better interest income in H2 also. So, that will be additional support for the profitability of the company. CAPEX we have been talking regularly, so, we have total CAPEX of around 4000 crores at different stages and that will give whenever they will be working at 100% capacity. They will provide good top line and bottom line in support going forward. Thereafter we also plan for expansion at Dahej for which DPR is underway and we hope that this detailed project reports will be available by March 24 with some technology, identification of technology supplier and all. So, we will take the matter followed in a concrete way thereafter. So, the growth story of GSFC remains intact and

we are poised to grow in top line and bottom line together for years to come. Thank you.

Vaibhav Sheth: I'm Vaibhav Sheth from Jamnagar, Gujarat. I would like to ask two questions. First question is that, after the announcement of GR of Gujarat government in the month of April, there are rumors in market that looking at the case of GSFC and standalone company. GSFC can give holding company plus GSFC alone case GSFC can give Rs.35 to Rs.50 per share dividend whether it is correct or not, over a period of time. And second question is, in the AGM Mr. Chairman sir has informed that Board is looking for various actions as per the GR of Gujarat Government what is the status for the same. Thank you.

V. D. Nanavaty: Yes, so as you heard him during AGM also and he was saying that Gujarat Narmada Valley Fertilizers for which we are promoters GSFC, is having Board meeting today to deliberate on the buyback offer by the company. So, that was the first PSU to start the exercising the option Gujarat State Fertilizers & Chemicals Limited
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of mention is here so, they have already decided business good dividend and paid in September. Now, they are deliberating the buyback offer today. So, all the PSUs will be taking up this exercise at the appropriate time. So, GSFC will also be doing that exercise. So, what GSFC goes through will be kind of a torchbearer for us and let's assure that we are here to follow government here for higher dividend and other capital restructuring options. Dividend as you said, we are maintaining a formula for dividend distribution minimum dividend distributions so that we will be following in any case. So, as far as we are making profits, the network will keep on increasing. So, the 5% of network is one criterion. So, you can assume some dividend going forward, rest is rumor as you rightly you said.

Vaibhav Sheth: I am sorry to interrupt you sir, I would like to add somet

hing. As you said at the appropriate time

all the conversation will be coming. So, can we expect by this financial year we can expect it?

V. D. Nanavaty: I do not know but, there has to be some time bound exercise. One cannot say that I will think over it after three years kind of thing, so it will be taken up one-by-one. So, unnecessary time will be spent delaying it.

Mayur Liman: Sir, I just want to understand about the market share about the chemical fertilizers. Could you please help me in that?

V. D. Nanavaty: For different product we have different share, like fertilizer as far as urea is concern, we are a very small player. So, more than three crore tonne of urea is sold in the country, while we produce 3,70,000 tonnes so it is around 1% in the country's demand. But we have a good all over ammonium sulfate which is produced by FACT that is based in Cochin and GSFC only two producers and government don't give subsidy on imported ammonium sulfate. So, there our market share is more than 60% market is by GSFC. For DAP and NPK we have around 8% market share in the whole country. Of course, we have strong share in our primary market of Gujarat, Maharashtra, Madhya Pradesh but taking the demand for the country as a whole. So, this is the share, chemicals also we produce monopoly or oligopoly type of production. So caprolactam, GSFC and FACT are only two producers, most of the market is enjoyed by us and it is import from various countries. Similarly, melamine we are the only producers. So, we cater to 40% of the Indian demand, rest is imported and other domestic also we are the only producer in the country. After we sell out our quantities the rest is imported into India. So, from market perspective, we enjoy a good share, and we don't have any problem from the demand side.

Mayur Liman: Okay, sir. And now the government is moved to the Nano urea side. So, what do you think about it, I just want to understand the company perspective about the government initiatives?

V. D. Nanavaty: Just to answer your question, yes government is promoting Nano fertilizers, Nano urea and Nano DAP they are still in the market development stages because as the country is a large country large agricultural base. And these are the thing which can be sprayed only once you have the leaves with limited usage, time will just tell the usage because in the basin still the normal fertilizer, liquid fertilizer goes away. But yes, it is a good move going ahead and let's see how Gujarat State Fertilizers & Chemicals Limited
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the market takes away this thing. As far as GSFC is concerned, GSFC is currently not in Nano but in many other liquid fertilizers. So, we have quite a good hold in the market on liquid fertilizer. Thank you.

Mayur Liman: Okay sir. And my next question is about the El Nino. Now that we are seeing the huge effect of both about the El Nino. Now, there is some rumors going on the Super El Nino which will come next year. What do you think about it, is the do some effect on the company performance?

V. D. Nanavaty: As you said the Indian agricultural economy which highly depends on the rainfall. Last year also similar rumors was there and today the rainfall is normal as a whole across the country except depreciated some of the states fortunately Gujarat being our prime market it's 18% higher and

our share in Gujarat has also increased during H1 and we are hoping to maintain the same in the coming quarter also. As rightly said, it is a rumor at present, yes there is a delayed monsoon, delayed by the, also the cropping pattern has changes, but we are prepared because we have a basket of product which helps in all the cases.

Shrenik Mehta: Mr. Nanavaty, myself Shrenik Mehta, senior citizen from port city of Jamnagar, by profession an advocate and I earn my bread and butter from dividend income from the share market that is my short introduction. Nanavaty

sir, I'm the founder shareholder since the inception of our company. And at present I am presiding over as the Chairman of Expert Committee on Capital Market, Jamnagar Chamber of Commerce Industry. So, sir shall I ask all the questions at a time, or shall I ask first question then you reply, and I will ask second question, what will you prefer sir?

V. D. Nanavaty: No, I would like to reply one by one.

Shrenik Mehta: I will also like that. Sir, first of all, I would like to know what is the network per share of our company GSFC please let me know.

V. D. Nanavaty: The total net worth as on March 23 was around 7800 crores and we have some 40 crore shares outstanding. So, for simplification we can say 8000 crores divided by 40 crores, so it is Rs.200 per share that is the net worth.

Shrenik Mehta: Good. My next question is sir, there are major changes in fertilizer subsidy policy of the central government, actually what are the changes and how negatively it will impact on the profitability of your company and how we shall meet with it please throw some light.

V. D. Nanavaty: Yes, so government for urea it is a pass through subsidy mechanism. So, all cost are borne by the government and just some profit is allowed to fertilizer companies for making urea there is no danger or any problem with up and down in the input cost. But phosphate and potash fertilizers are all under nutrient base subsidy scheme. So, for them they declare subsidy at the beginning of financial year. And it is mostly fix for six month or one year so whatever price changes happened during the year subsidy remains the same. And they also control the MRP of Gujarat State Fertilizers & Chemicals Limited

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fertilizers so that the farmer don't have to pay more. So, any increase in the input cost has to be borne by the fertilizer companies most of the time. So, this time also from October they have reduced the subsidy because they look at the part import and cost data. So, during April 23 to September 23 input cost like Ammonia, Phosphoric acid, natural gas, Sulfur, they were quite low. So, using that data, they reduce the subsidy from October 23. But really, price of all these products have increase from October 23. So, government will have to think something going forward say from January 24 let us have to increase the subsidy or input prices should come down, something or the other should happen otherwise in this election year, the government cannot afford shortage of fertilizers. So, if the companies don't make looking to the cost economics, government can be in trouble and government has already saved a huge subsidy as compared to last year their subsidy budget their actual spending in 2022-23 was around Rs.2.5 lakh crore. Now, they may wind up this year, I would say 1,50,000 crore or 1,75,000 crore.

Already saving of Rs.75,000 crore to Rs.1 lakh crore is expected by government. But their revenues are rising as you must be reading GST collection highest, then income tax highest. So, government has a double benefit their revenues are rising, and their subsidies are coming down. Shrenik Mehta: So, sir what is the future expansion plan of GSFC, you have mentioned 4000 crore, some newspaper say expansion plan is about 8000 crores, so what is correct and when it is going to start and when it will get completed sir?

V. D. Nanavaty: Yes, so 4000 crores will happen in three, four years those projects are at various stages of implementation or technology tie up or within states like that, so they are kind of a firm projects 4000 crores. And another 4000 crores is planned at Dahej because in Vadodara most of the land are now occupied. And it is in the city, so no more expansion is possible. Another 4000 crores will come in Dahej for which detailed project report work is going on. And in March 24 it will be submitted, then Board will take a further call which product are profitable and s

ould be taken

up for setting up this plant. So, this is how the two 4000 crores of each are different stages.

Shrenik Mehta: Sir, now regarding finance. September 22 profit was about say 285 crore, September 23 profit is around 309 crore, profit during June 23 quarter was 112 crore, so there is wide variation in the profitability so, market since last four days price of our company, share company in market are going down and down. So, can you throw some light on it sir?

V. D. Nanavaty: So, we explained during the quarter one, this post result concall that this was not a normal performance, it was kind of lower performance for GSFC than normal, we had some plant shut down then subsidy reduction effect and all those together, so we promised at that time that Q2 would be much more higher performance better in terms of top line, bottom line that we have

already achieved. So, due to kind of performance is normal 106 PBT in Q1, PAT of Q1 was not a, it was a lesser performance I would say exception kind of thing.

Shrenik Mehta: And sir GNFC is about to declare a buyback today, it has not yet come. So, is our company going to participate in buyback or GSFC is not going to participate in buyback?

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V. D. Nanavaty: So, once the GNFC Board meeting is over, they will declare that to SEBI. We have our one Board Mand in GNFC Board, our MD is in GNFC Board, looking to the deliberation because GNFC has not so far declared at what price they will do buyback, how much they are offering. So, before that GSFC also cannot decide whether to participate or not. So, both things will come together what GNFC share price, quantity of shares, promoters' participation all answers will come together by evening.

Shrenik Mehta: By evening can we get these answer sir?

V. D. Nanavaty: Yes, they will have to submit to SEBI and Stock Exchanges, isn't it.

Shrenik Mehta: Yes, correct. And sir last, when can a shareholder of GSFC expect buyback, split, bonus?

Shrenik Mehta: Now GNFC is taking the lead in buyback, so, other companies will have to examine either buyback or bonus because our share was Rs.100, it was split to Rs.10, then it was again split to Rs.2. Now much scope is not there for splitting. But bonus and buyback could be on the table maybe going forward.

Shrenik Mehta: Nanavaty sir, thank you very much for the nice reply and as a minority shareholder, I'm quite satisfied with your answer and sir wish you best of luck and as a shareholder we expect our value of share to go up as and when our performance grow up. Thank you, sir.

V. D. Nanavaty: Our Company Secretary is ready to give answer to your question.

Saket Kapoor: Thank you ma'am. Hope all well at your end thank you. Sir, firstly as you yourself mentioned in your opening remarks that this quarter has also many of one offs if we take the higher other income that is getting negated with the higher employee provision, and then there is a net of also the subsidy negative impacts has also been built into. So, on the subsidy and the inventory front, can you quantify the number for this quarter in terms of the impact of the lower subsidy amount which we have taken in this quarter?

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V. D. Nanavaty: Around Rs.300 crore.

Saket Kapoor: Okay. This includes, including the reduction in the month of October also?

V. D. Nanavaty: That is mainly October because even if we have booked September sales with the September subsidy, but when we are going to do sale through POS machine from October onwards, it will get us lower subsidiary only, so all the stocked inventory that you are talking, I am not talking of inventory lot sold but with inventory which is already sold as a first point sale to dealer and other stockiest but when they really sell it to farmers through POS machine, that

machine will

throw up lower subsidiary amount. So, that I have to provide because if cannot waiting sale to happen in October, November, December and then providing lower subsidiary at that time, all companies are providing it upfront right away in the September. So that the next quarter remain clean and don't come on the share of lower subsidiary so, this is also GSFC has also done the same.

Saket Kapoor: What has been our volume growth for the first half, if we compare this H1 with the previous year?

V. D. Nanavaty: Volume growth in terms of quantity sold, it is around 34% quantity H1.

Saket Kapoor: Okay. So, as you mentioned earlier that we are expecting a 15% growth over last year numbers. So, what should we expect in terms of the volume for H2 going forward?

V. D. Nanavaty: So, we did some 10 lakh odd sales during H1, so we will do 10, 11 lakhs again in H2.

Saket Kapoor: Okay, similar number we will have?

V. D. Nanavaty: Yes, but last year was 18 lakhs so this will be around 21 lakhs.

Saket Kapoor: Okay. Last year fully year numbers were 18 lakhs?

V. D. Nanavaty: Yes.

Saket Kapoor: Okay. And we have done 10 lakh for H1?

V. D. Nanavaty: Yes, we need 10 lakh for H1, so same 10, 11 lakh for H2.

Saket Kapoor: Okay, that translates into a 15% growth. And now sir with the factoring of the lower subsidy rates and the losses on account of that what should be the margin EBIT number sir we can look for the fertilizer segment?

V. D. Nanavaty: So, as I said our Q3 will be impacted margin because subsidiaries will be reduced while the prices are high, but this situation cannot last long so, we expect that other prices should come

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particularly P&K fertilizer, then may be this financial year maybe okay. But then going forward when the next Kharif season starts in April May 24, there will be very low inventory in the channel. So, that can impact the next year availability of fertilizers in the market so it cannot be tolerated. So, fertilizer production imports, everything has to be consistent, you can't allow that I have stock so I will not, I don't mind producing, or if people don't produce, I don't care, government cannot have that kind of approach. Because even if you don't suffer till March 24, your suffering will start immediately from April, May 24. And these are all with simple things, the volumes are so large that you cannot think of importing say three lakh or one lakh, one crore metric tonne two months' time and it will improve and increase the price very high international market, logistically it is also not possible. So, things have to move smoothly from month-to-month basis, the government knows all these things. So, hopefully from Q4 we should have reasonable margin again in place.

Saket Kapoor: And sir when you mentioned prices are up means, you are speaking about the raw material prices and if you could clarify?

V. D. Nanavaty: Yes, like ammonia, was a \$280 to \$350 in H1 period based on this government reduced the subsidy from October but the same ammonia is \$540 now, similarly phosphoric acid was lower, now it has reached to \$985. So, one side government reduce the subsidiary, but other side input prices have gone up. So, this is contradictory situation. So, one correction either on input price or on subsidiary front, one correction has to happen to sustain domestic production.

Saket Kapoor: And we have updated the government about these changes in the raw material basket, we have made a presentation to the Ministry of Fertilizers?

V. D. Nanavaty: No, they themselves collect all the data, they have more data because they have direct connection to the customs and commerce ministry. So, they get all the data of imports and prices directly, the actual prices plus they also subs

cribe to various international magazines. So, they themselves compile monthly data for various price, volumes, prevailing price in other countries so many data they have with them, so nobody needs to tell them anything.

Saket Kapoor: Correct sir. Sir when we look at this key input cost movement part on slide number #8, there in we see a strong declining trend for ammonia prices from 43 to 24?

V. D. Nanavaty: Correct.

Saket Kapoor: And what are currently the prices sir?

V. D. Nanavaty: Around 48,000 double.

Saket Kapoor: Okay. So, what could have led to this doubling of prices just in a month's time sir, we have prepared this for closing price as on September and we are in the month of November, first week of November.

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V. D. Nanavaty: Yes, so these ammonia prices were abnormally low, because they were very high up to March 23. All the input prices crashed from April 23 onwards natural gas, ammonia, phosphoric acid because these very high prices were not sustainable. So, they reduced drastically, but those drastic reductions were also not sustainable. Prices have to be at reasonable level for anybody to produce and sale. So, to prices remain for three, four months at those low levels but again they started rising. Some plant shutdowns during this COVID and this Ukraine war and so many geopolitical situation, some plants get shut down. So, the immediate effect on quantities there and that shoots up the prices.

Saket Kapoor: Sir a small point when you mentioned the 300-crore impact, that is net of from the revenue from operations itself?

V. D. Nanavaty: Yes. Subsidiary income is a part of my revenue. So, I reduce revenue as well as profit.

Saket Kapoor: And sir now coming to the industrial chemical industry product part, the segment has reported negative numbers to the tune closer to 35 crore. So, if you could explain the contribution, which product have and also do we have any inventory impact also, when we look at the volume data on a Q-on-Q basis, that have gone up from for caprolactam, melamine, nylon six, all the products we have sold more, produced and sold more sequentially and we have incurred losses on the same. So, if you would explain the reason and secondly sir thank you for the presentation change. Now, we have the volume data for the preceding quarter also, thank you ma'am for adhering to the requirements.

V. D. Nanavaty: Like fertilizer in the IPP, there are still products are IPP linked. So whatever international price changes occur, they get immediately reflected in the next month prices. So there such inventory losses are frequently occurring because if I produce something at a higher cost, and then prices

go down, but I don't keep inventory to get better price, I will get something better next month. So, I don't sell this month we don't do like this, so ups and downs in inventory sometime profitable, sometime not profitable. That is infrequent happening in industry, in products. Fertilizers price is at MRP are quiet stable say for if you talk of BAP, BAP price from January 23 are same Rs.1200 per bag and Rs.1350 per bag since last six months or more than six months. And subsidy also remains more or less stable for at least six months. So there inventory loss is for once in a while particularly when the financial year changes or when the subsidiary change occurs, but in industrial product this happening very frequently.

Saket Kapoor: Sir, earlier we used to also provide the revenue line item along with the production and the sales but this time, we have in the presentation and in the press release we have omitted the line of the revenue part so kindly provide that, that would give us the realization how's the realizations have shaped up. But anyway sir, just to conclude on the industrial segment, could you provide which product was as contributed to the negative EBITD

A and with now, the crude price currently in a declining mode the situation has done more grim for the industrial product segment for the current quarter also?

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V. D. Nanavaty: Yes, some improvement from October had started but all the crude price coming up or going down in fact the raw material like benzene is a direct derivative of crude. So, if crude goes down benzene also sometimes goes down but, the other finished product like caprolactam there price don't move in line it's crude prices, they are not directly co-related. So, benzene may come down, the production may come down, benzene may go up caprolactam may remain stable, all these things happen. So, most of the major product as you know they hold chemical business not only GSFC all over the country. Chemical industry is not doing well. So, GSFC also is not an exception. So, that was the picture so far. Some improvements have taken place but, not very noteworthy or sustainable kind of thing.

Saket Kapoor: Sir in your presentation you have mentioned 1545 as the closing prices for caprolactam as of September, so what are the current price trends?

V. D. Nanavaty: It is around 1700 or so.

Saket Kapoor: Okay, the prices have moved up from 1545?

V. D. Nanavaty: Yes, it has improved in October.

Saket Kapoor: Okay. And sir do you have the figure, if you take the breakeven for this 35-crore loss for the industrial segment which product have contributed out of the major three caprolactam, melamine and nylon six if you could give?

V. D. Nanavaty: All are contributing to this loss because the nylon six is a further in the value chain for caprolactam so, when caprolactam is costly then nylon six will also be costly in terms of cost of production. So, they go together and melamine also prices are subdued, we sold as high as more than 2,50,000 per tonne last year, or year before last and now it's less than Rs.1 lakh per tonne. So, this keeps happening, hope it will improve in future.

Saket Kapoor: These are the nylon six prices; they are currently lower to 1 lakh?

V. D. Nanavaty: No, melamine price.

Saket Kapoor: So, what are the nylon six prices currently?

V. D. Nanavaty: We have so, many varieties some 30, 40 grades of nylon and compounding nylon. So, around 1,70,000 to more than two lakh premium grade that is the per tonne price.

Saket Kapoor: Last point in the power and fuel mix, you did mention that currently the ammonia prices have moved up or doubled that is in a month's time. So, if you take the raw material consumption and the power and fuel, how are these two line items going to shape up sir going ahead, the major if you break up between for the cost of material consumed, if you could give me percentage wise breakup and how are they trending currently?

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V. D. Nanavaty: material price, are quite stable they rise little bit here and there. Sulfur prices are also now they are directly derivative crude so, they are range bound. Phosphate prices are also range bound, overall prices are flying within some range, there is no likelihood of major increase in the raw material at least that we use in Baroda that is sulfur, natural gas, spread benzene, sulphuric acid.

All those prices are range bound, not likely to increase substantially going forward. Only what we import phos acid and ammonia for Sikka they have gone up high. So that is affecting the Sikka production and Sikka economics. Otherwise, the Baroda things are stable.

Saket Kapoor: Okay, sir and for the power and fuel mix the natural gas is the major component there?

V. D. Nanavaty: Natural gas is stable so power and fuel as you see there is a reduction in cost. So that will keep on happening and when we set up more solar power plants and all it will keep on coming down.

Saket Kapoor: Sir just

o conclusion on the fertilizer part. So, this is the major segment that will contribute both to the top line and the bottom line. So, taking into account since we have taken the reduced subsidiary impact in this quarter and also going ahead since the raw material prices are also on the upward trajectory so, for the first quarter our PBT numbers were 100 crore, the second quarter after taking into impact was 224. So, taking all these impacts, what should, in what ballpark numbers can we expect the fertilizer product segment to behave going ahead for the coming quarter?

V. D. Nanavaty: So, right now we don't have the number but Q3 will be little impacted, because as I said input prices are high and subsidies has been reduce. So Q3 will have some impact but hopefully Q4, because government, at present government don't has a real time manner so they have a leg of a quarter before they take any corrective action. So, that will have effect in Q3, but hopefully Q4 normal kind of situation should come.

Saket Kapoor: Okay. And going ahead what should we be the quarterly employee benefit expense number sir we have made a 100-crore provision this quarter, what should be the run rate going ahead?

V. D. Nanavaty: So, this year 23-24 being the first year of wage revisal it will have more impact, but it will take taper down four year settlement period 23, 24, 25 and 26. From next year it will taper down the onetime expense will not be seen, but we have 656 core employee cost last year for the full year. So, 850 to 900 crore maybe the employee cost.

Saket Kapoor: 656 was for the first half?

V. D. Nanavaty: For the year 22-23, that was.

Saket Kapoor: Full year we had this 1200, sorry it is sorry yes, it is 668. So, this 668 will go.

V. D. Nanavaty: Yes, so it will be around 800 crore on a normal year.

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Saket Kapoor: Okay. First half we have done already 409 crore, so the run rate will be 200 crore quarterly basis?

V. D. Nanavaty: Yes, quarterly basis 200 crores.

Saket Kapoor: That is significant jump sir.

V. D. Nanavaty: Yes, but to run all this whole plant we need to pay a good salary to employees.

Saket Kapoor: Thank you sir. So, we can conclude that Q3 will be negative, since the industrial product segment is already in bad shape. And also, the impact of the subsidiary and the raw material input prices since running in reverse direction will impact the profitability for the next quarter?

V. D. Nanavaty: Yes, some pressure on margin.

Saket Kapoor: So, when you mention sir some pressure, what should be the number, if you have worked out some number, give a ballpark for understanding that this 224 can go to 160, 170 that should be the likely numbers?

V. D. Nanavaty: No, really, we don't have worked out the number.

Saket Kapoor: Thank you sir. And we hope for the government resolution part to get implemented and how all the board's behave, about understanding the Board takes on the today's GNFC's buy back. And sir on the P205 price sir, what are the current Phosphoric price I missed your number you mentioned mostly September quarter?

V. D. Nanavaty: It is \$985.

Saket Kapoor: Okay and September quarter end was?

V. D. Nanavaty: \$850.

Saket Kapoor: Thank you sir and all the best, and we hope that this revenue line item would be included in the presentation. And we will have that, for the next quarter we will have all the three quarters data in the same presentation so that we can do a comparative number easily. Thank you, madam, thank you sir for all the detailed answer and Happy Diwali to the entire team. Thank you.

Madhur Rath: Sir our solar power plant that's coming next year. So, what percentage of our power and fuel cost that will serve us?

V. D. Nanavaty: Please, if you can repeat the question.

Madhur Rath: Sir, the solar power plant that is coming up next year. So, what perce

ntage of our power and fuel

cost that will help us from the captive solar what portion of that will serve us?

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V. D. Nanavaty: This is their 15-megawatt power plant and at 20% PLA factor so it will provide three megawatt of power per hour. So, to that extent some Rs.4, Rs.5 differential cost between utility power and solar power that will be the saving to us.

Madhur Rath: And sir what percentage of our power requirement will that be?

V. D. Nanavaty: So, right now we use 70-megawatt power, and we are already having some 40% power from renewable sources. So, we will try to increase renewable powers more and more going forward.

V. D. Nanavaty: Yes, thank you for the participation and patient hearing. So, as you all are aware in business ups and downs keeps coming. So, that is what Q3 is representing but, on overall basis company will keep on growing on top line and bottom line. And we'll also be implementing government PR at the appropriate time and so, rewarding the shareholders in different manner. So, thank you for joining and keep association GSFC for a long time to come. Thank you.

Call: May 2024

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

Fertilizernagar - 39L 7 50. Vadodara, Gujarat, INDIA.

CIN : 199999CJ 1962PLC00Ltz]-

NO.SEC/SE/TRANS/2024 29th M^y,2024

Dcar Sir / Madam,

Sub.: Transcript of the Investor ConCall held onWednesdav. 22nd Mav. 2024

We refer our submission vide letter dated 15'h May, 2024,wherein the intimation was made that the Conference Call with Analysts is scheduled on22"dMay,2024 from 3:30 PM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the wbsite of the company at www.gsfclimited.com.

Kindly take note of the above

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: A15142

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Bandra-Kurla Complex

Bandra (East), MUMBAI - 400 051

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"Gujarat State Fertilizers & Chemicals Limited

Q4 '24 Earnings Conference Call"

May 22, 2024

MANAGEMENT : M R. V.D. NANA VATY – EXECUTIVE DIRECTOR ,
FINANCE AND CHIEF FINANCIAL OFFICER – GUJARAT
STATE FERTILIZER & CHEMICALS LIMITED
M R. SANJEEV VARMA – EXECUTIVE DIRECTOR
FERTILIZER MARKETING – GUJARAT STATE
FERTILIZER & CHEMICALS LIMITED

MODERATOR : M R. MR. ANUJ HALAKHANDI – ANURAG SERVICES
LLP

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Gujarat State Fertilizers & Chemicals Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Halakhandi from Anurag Services LLP. Thank you, and over to you.

Anuj Halakhandi: Good afternoon, everyone, and welcome to the Fourth Quarter and Financial Year End Earnings Conference Call for Gujarat State Fertilizers & Chemicals Limited. The call is being hosted by Anurag Services LLP.

Present from the management team are Mr. V.D. Nanavaty, Executive Director, and CFO; and Mr. Sanjeev Varma, Executive Director of Fertilizer Marketing, along with other senior dignitaries. We appreciate the management for granting us the opportunity to host this call, and we can begin with the management's opening remarks, followed by a question-and-answer session.

Thank you, and over to you, sir.

V. D. Nanavaty: Thank you, Anuj. Welcome to this earnings conference call of GSFC. As you are aware of the economic and fertilizer industry situation in particular, the government reduced the subsidiary rates for P&K fertilizers from October '23. And that trend also mostly continues in April '24 also except the APS, where some rise is given.

In contrast to the reduction in subsidiary rates, input costs have actually been rising. And of course, of late, they have a little bit softened. So the industry margins were under screen during the last 6 months, which is reflected in this particular -- in this Q4 earnings of GSFC. The good thing government did was to announce subsidy rate for the FY '25 well in advance so that companies were able to plan raw material according to the cost economics of the various products and take decision how to proceed from April onwards. And that helps GSFC also in planning in advance, assuming that subsidy will continue or will be improved in H2 of '25. So we are glad to inform that we are targeting 20% rise in fertilizer volume in FY '25, based on the higher production in Sikka Unit as well as higher production from the -- for the ammonium sulphate plant, mainly out of ammonium sulphate 4 plant, which was commissioned in January '24.

Subsidy received, as you are all following, government has been regular in clearing the subsidy dues. We received around INR4,143 crores subsidy during FY '24. And outstanding is INR1,106 crores, which has reduced from INR1,760 crores from FY '23.

Cash position, as you are aware, we are a zero-debt company, and the total deposits are around INR2,200 crores as on March end. Subsidies has been cleared, everything, for FY '23. And some portion for April '24 has also been paid. As you all know, government has good tax collection,

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direct and indirect. And this indirect tax election, GST, is making new records a number of times during the year. So government is equally fast in repaying the subsidy dues.

Q4 particularly was a little suppressed because of the particular Red Sea crisis, and the whatever raw material inputs were ordered, they came late because they had to take a long route to avoid Red Sea route, and that disturbed the production planning in Q4. So resultantly, production sales, everything was affected and was not as per our plan or estimates during the year. However, we are taking care of the same in this current financial year. We are factoring in the long shipping routes into our procurement planning

so that we plan in advance and are able to achieve the production -- higher production that we are targeting.

As far as the industrial products are concerned, though we're expecting things to improve in H2, but it has not really improved, and the capro-benzene spread was lower than the last year. The details are in the -- given in the presentation uploaded on our website as well as the stock exchanges. Still, there are no immediate signs of improvement in this Industrial Products segment also. So I think there, we expect the margins to remain under pressure.

Fertilizer input prices are in a range-bound manner. So phosphatic, ammonia, rock phosphate are behaving in a certain manner, including natural gas. So we expect that they will be in this range during the year, and we'll be able to make the fertilizers economically.

Dividend, all you have seen, we have declared 200% dividend, mainly due to lower PAT, and 5% of net worth would have led to a very high payout ratio, which is not good for any company, plus the capex plan that we have for the next 5 years demand that we retain the cash to meet this

capex requirements.

Salary expense has risen during the year. That was mainly because of the long-term settlement for the staff and offices done every 4 years. But it will come down in the current financial year. Because of the one-time impact will be eliminated, we expect reduction of around INR90 crores from the FY '24 figures and going into FY '25.

Otherwise, all the projects are going on as per the schedule. And as we discussed, we'll be commissioning for capex plans during the year. One is sulfuric acid fifth plant, then HX crystal plant, then a 15-megawatt solar installation. And last is the urea revamping to meet the energy norms as required by Government of India, so that will be commissioned by March '25. So we expect these 4 plants to start this year.

And for full effect, it will be seen next year. So they'll be helping in top line and bottom line or by the way of cost cutting. And further details of the 5-year plans are already given in investor presentation, so you may go through the same.

That's all from now. So we can now pick up the questions one by one. Thank you.

Moderator: We'll take our first question from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I have a few questions to ask. Sir, first is on the ammonium sulphate. So what you indicated in your opening remarks that the subsidy rates have revised from October. So what it seems like Gujarat State Fertilizers & Chemicals Limited

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that the subsidy, which was INR16,707 till September has been revised downwards to INR10,309.

But sir, on the cost side, if we see sulphur prices, which averaged around \$156 in 3Q came down to \$120. And even the ammonia prices, which averaged around \$600 in 3Q, came down to around \$465. But still we reported the losses in the fertilizer segment. So this is because whether our conversion cost has gone up like freight or power or any other cost increases because of which these losses were reported.

V. D. Nanavaty: No. So at Baroda we make ammonia -- I mean, ammonia out of natural gas, so we don't buy ammonia. So natural gas prices have been stable. In fact, they have not reduced. So -- but subsidy has reduced. So that was the one major thing that was impacting the -- plus MRP also. Because of the competition we had to either reduce MRP or give large discount to the dealers because ammonium sulphate is a -- I mean, as you may be knowing, we and FACT are the only producers of. And steel-grade ammonium sulphate is quite popular in Bengal and those side steel plants are there.

So FACT is operating with very few products. And -- I mean, selling those volumes are kind of a survival issue for them. So they offer very good discounts, which we have to match it if we want to sell out

of ammonium sulphate. So all those factors also affect the margin. That is the point.

And of course, Q4 is not a fertilizer season. So as you know, the season starts -- kharif season starts from April onwards. So in a dry season those who are lifting material they have a little upper hand in terms of asking for more demand and -- I mean, discount and all those kinds of things.

So Q4, with, of course, long -- very long credit period because they pay when the rain starts, and farmer starts paying through then. So we have a long credit period as well as -- and some discounts to be offered to get them receive our products. So all these factors come into play for reducing the margin.

Nirav Jimudia: Sir, 3 things here. So one, I think the MRPs were close to INR20,000, if I'm not wrong. So what sort of discounts do we offer, number one? Second, vis-a-vis the imported ammonia and our cost of production of ammonia through the natural gas, how much we have to sacrifice in terms of per ton margins? And third thing is, was there any spillover of inventories of those higher subsidy returns, which we were carrying in our books or at the POS because of which those impacts in the Q4 results were reflected?

V. D. Nanavaty: Yes. So our ED, Marketing, will clarify on this.

Sanjeev Varma: Yes. Good afternoon, the discount part on ammonium sulphate of MRP of INR20,000 per metric ton average out to around INR2,000 per metric ton. And it calls for higher storage charges and even also the secondary freight during the off season for placement. This was the first question which you asked. Ammonia price, I think Nanavaty sir will -- has given the answer already in some details.

V. D. Nanavaty: I'll just make one more remark, ammonia price remains soft for a very little period of -- short period of time during the year; otherwise, it remains elevated. So comparing imported ammonia Gujarat State Fertilizers & Chemicals Limited

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and ammonia produced from natural gas is not directly comparable. You cannot switch between

the 2.

And once you decide that you will use natural gas, then all the natural gas contracts are long term in nature, and there are dedicated pipelines made from the supplier's point to your factory. And then there are take-or-pay obligations. So it's a very, very tight arrangement in buying natural gas. Once you get into it, difficult to get out and definitely not possible to compare ammonia with the imported ammonia.

Plus one cannot transport such huge quantity of imported ammonia for fertilizer production, so any ammonia purchase that we have through pipelines. So those kind of things are not in there. So only those who are having ports linkage can only buy imported ammonia. Those who are in the interline, they have to use natural gas, or their requirements should be less; otherwise, large volume of ammonia cannot be transported through tankers.

Management: And one question you asked for the stocks which are produced during the higher subsidy. This normal stocks of ammonia sulphate is higher than other phosphatic fertilizers because specific use, mostly during the rainy season for particular crops. So there is an impact, but this is a regular phenomenon which happens at both the sides, whenever subsidy increases, whenever subsidy decreases. So there was no abnormal as such stocks level.

Nirav Jimudia: So sir, given the current situation as it is as we stand now, would we be making any profits at the EBITDA level for the ammonium sulphate business given the kind of situation what you explained? So one thing is that the gas price is coming down. And second part is the discounting thing, which you just explained to us. So if these 2 things are eliminated or, let's say, if these things are not there, would the ammonium sulphate be reporting the profits? Or what one should take a normal level of EBITDA per metric ton given the

current situation?

V. D. Nanavaty: Yes, yes. So as we -- as everybody knows, there are hardly any rainfalls during January, March of any year and the season starts from April onwards. So definitely in these full season for the fertilizer on the back of good monsoon that is expected, we'll have a better position from now onwards, say, June to say up to November, December. So only during January, March, we are stuck up in this particular situation where production takes place all the time, 365 days x 24 hours, but consumption is limited to the season. And in between, as you say, subsidy changes, that inventory effect also takes place, that is also definite.

Nirav Jimudia: Perfect. So, sir, INR2,000 or INR2,500 is a fair assumption to take at the...

V. D. Nanavaty: Yes. Yes, yes. You can take INR2,500.

Nirav Jimudia: Got it. Sir, second question is on the urea plant. I think based on the presentation, what can we observe is that we operated our plant at the optimum levels. So ...

V. D. Nanavaty: Correct. Correct.

Nirav Jimudia: And as per the NUP policy of 2015, I think we need to bring down our energy consumption because then we were needed to paying some penalties also from the government. I think that Gujarat State Fertilizers & Chemicals Limited

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was -- and policy document mentions that. So 2 things here. One, is our fixed cost higher than what is compensated by the government? What is our actual energy consumption in Gcal per metric ton and how much did government compensate us?

And once we complete this project, I think the savings would be close to 0.75 Gcal per metric ton. So how much of our profitability per metric ton could improve based on the energy consumption exercise which we are going to complete by the end of this financial year?

V. D. Nanavaty: So right now, our actual consumption is close to 6.4 Gcal to 6.5 Gcal, it is mandated to be brought down to 6.2 Gcal. And so companies have been allowed to do it by December '24 or March '25. So that we will be bringing. But when we achieve that we will be reaching around 5.8 Gcal instead of 6.2.

So there will be some savings once we achieve the new energy norms. So -- but you know India has committed in the Paris Agreement about the 2030 target, 2070 targets on energy reduction and 1.5 C temperature and all these things. So government is constant exercise of pushing the energy reduction for urea plants.

So while we will be achieving or more than achieving the present mandate of 6.2 Gcal per ton, by the time we do it in May '25, from April '25, they will come out with new norms, reduced norms. So this is an ever-going cycle, and hardly, you can think of not making any money in urea. So that is the situation.

Nirav Jimudia: But sir, at the normalized level, what sort of per ton margins we should take? Because currently, we may be losing on the energy part, but there is some...

V. D. Nanavaty: Yes. Some fixed cost, you said, that is still more interesting. That now government is calculating fixed cost at the base of 2023. So they have not revised the fixed cost base since last 2002-2003.

Only, in 2014, they gave one ad hoc rise of INR3.50 per ton and further INR1.50 for more than 30 years old plant. So for us, we got INR500 rise in fixed cost from 2014 onwards, but that is an ad hoc exercise done. So fixed cost, everybody is losing heavily because you can imagine 2002-

'03 and 2023-'24, so 20 years old data they are using for calculating fixed costs.

So if you see overall, there is hardly any urea plant is making any profit. Only when there are other products, the urea being the most popular fertilizer, people are able to sell other products when they have urea in their basket. So that is the only purpose. That is all about the urea.

Nirav Jimudia: Sir, just to clarify, our fixed cost under absorption is close to INR1,500 a ton? Or is it even...

V. D. Nanavaty: No

, no. Government gives INR3,600 per ton, ours is more than double, more than INR7,000, INR8,000.

Nirav Jimudia: Okay. Okay. And on the energy side, we may be losing close to, what, INR800, INR1000 a ton?

V. D. Nanavaty: Yes, it is a small loss, really -- I mean, the penalty because of not meeting 6.2. Some few crores we lose every year. But now converting -- I mean, meeting those norms requires INR450 crores

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of capex, that is the mix side of it. But since government is pushing that you have to meet this norm, so whether it is a viable proposition or not, you have to meet it; otherwise, you lose...

Nirav Jimudia: That also allows you to recoup also over a period of 3, 4 years.

V. D. Nanavaty: No, they don't allow. The mop off all the gains. Only if you go below their norms, then there is some savings, which is allowed as per their calculation. So like suppose if they continue 6.2 after April '25, and we keep on producing at 5.8, then that difference will be compensated to us in -- based on the matter they adopt for compensating the savings. Otherwise, all the reduction in energy norms are -- all these savings are taken away by the government. There is no -- nothing is allowed to be kept with the fertilizer company.

Moderator: We'll take our next question from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, firstly, when you spoke about industrial product margins to remain in this range, so for Q4, I think so, we posted the profit for -- under the Industrial Products segment, and the PBT margin is also in excess of 10%. So in this -- in the current likelihood of what March exit was, can we keep this as a base for now? Or what's the trend post March exit for the Industrial Products segment?

V. D. Nanavaty: No. If you look at the full-year Industrial Products results for our future forecast, March was kind of aberration you can say. But what we saw for the full year is the real picture.

Saket Kapoor: Okay. So post March, again, the margins have taken a hit. That is what you are alluding to.

V. D. Nanavaty: This Industrial -- because you know GSFC is an integrated complex, so this Industrial Products and Fertilizers are really post segments or post bifurcation kind of thing. As you know, ammonium sulphate is produced from caprolactam plant. So whether I call that plant as caprolactam plant or fertilizer plant is a dilemma. But we are forced to recognize between either of the 2, maybe partly here, partly there.

So in -- because this is a unique situation for GSFC and most of the fertilizer companies in this country don't have so much of industrial products in their portfolio with this kind of integration of plants, so when this NDS notification came for showing the segment result as per their method of working also. So we have to be -- remain in tandem with overall scenario that per Companies Act per SEBI, there is one nature of preferring segment results. Now you're saying I also want segment results presented in my way approved by the directors.

So all these things, which are part of the costing principles, are now being brought into accounting perspective. So -- and this has to be audited by the auditors approved by the directors.

So -- and this notification came in January. So its effect is seen in this Q4 result between Industrial Products and Fertilizers segment results. So really, chemical per se have not performed so good in Q4 and going down in Q1 next year, it is not like that. It is consistently not showing good margins, and that picture is still not improved.

Saket Kapoor: Right. So we should not look at this quarterly number. This is what the explanation we have given. It is all because of the integration that we have between the fertilizer and the chemicals.

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V. D. Nanavaty: Correct. Correct.

Saket Kapoor: Sir, this -- and then you explained that the INR90 crore impact is one-off, and then, we will be again back to the -- to our number of INR175 crores -- INR170 crore for the employee cost from the next quarter.

V. D. Nanavaty: 1 minute. INR170 crores, let me check. No, it will be more than INR170 crores. So right now, it says INR32 crores, so you remove INR90 crores from them. So it's around INR750 crores.

Saket Kapoor: Okay. INR750 crores divided 4, INR185 crores, INR190 crores should be the number on a quarterly basis...

V. D. Nanavaty: Correct.

Saket Kapoor: Sir, and the other expense's part has seen an escalation because of the freight cost only from the Red Sea on account -- rising on account of Red Sea issues?

V. D. Nanavaty: No, some marketing costs because of higher volume, around 6% higher volume fertilizer sale has been done. So some parties because of that plus this PM Kisan Samridhi Kendra's were given to us for upgradation and modernization. So PMKSK upgradation costs were to be borne by the fertilizer companies plus this drawn in this scheme. So it was drawn and its training and all related expenditures. So all these things increase the marketing cost. Plus we had some interim stores and spares because we changed the catalyst over after a few years. So when the catalysts are changed, the number goes up for their repairment and all.

And some rise in administrative cost was there because of the higher CSR spending, which is mandated as 2% of last 3 years profit. So last 3 years profit was higher, so we had a higher CSR expenditure. So that also led to rise in the -- this common expenditure, other expenditure.

Saket Kapoor: Sir, can you quantify a number, the one-off number would be? Or is it difficult?

V. D. Nanavaty: No, CSR, initially, it will be a little -- I mean, almost same, not little less. Volumes, we are going to do more, say, 20%. So marketing-related packing cost, freight cost is going to be higher.

PMKSK is also a continuous program. Only store spares we can think of some reduction, maybe say, INR5 crores to INR10 crores when catalysts are not changed every year. So some relief may be there. But since you know our plants are old, 40, 50 years old plants, so -- and to run them at above 100%, we have to spend over repair maintenance, store spares adequately. And no shortcuts can be taken there.

Saket Kapoor: Right. So lastly, sir, the only positive that we can factor in for this year is the 20% volume growth in the Fertilizers segment that you are setting. And that is what the only solace we have. Other than that, there are so many moving parts that it is very hard for investors to factor in what kind of earnings can be projected for this year. This understanding is correct, sir, I think.

V. D. Nanavaty: Plus some rise in ammonium sulphate subsidy has been made, some INR1,500 per ton from April '24, so that will be little bit helpful. And post-election results, if they look at this industry's Gujarat State Fertilizers & Chemicals Limited

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pain points and give some relief in subsidy calibrated to the input cost, then that will be further helping to improve the margin.

Saket Kapoor: Right, sir. Other than that, sir, when I am doing what the sum and substance is that the moving parts are -- there are various moving parts, so very hard to factor in how to factor what volume -- numbers are. Very difficult for investors, sir. Tough time, sir.

V. D. Nanavaty: Yes, yes. There are no large things that can be categorized and put numbers to it. So we are taking so many steps. So cumulatively, they will be helping, but to say that this step will help like this, difficult to say. But broadly, to the subdued performance of industry products, we'll be going for the niche product value addition and kind of commodity type, like caprolactam has

become a commodity now. So we'll be producing more HX crystal, which is a specialized product and substitute API in the pharma industry from China.

So that will be in this product substituting imports and that is a good value addition. And plus some raw material we will be importing instead of making ourselves. So there also some margin improvement is expected. So like this we keep on changing product mix to achieve higher realization and better margin. So -- but as I said, there is no thing one-off kind of thing that can be pinpointed. So -- but our efforts are on, that's all we can say.

Saket Kapoor: And last point, what about capex which is going to be commercialize in this current year. What are the additional revenue we will be achieving? Additionally, it will go to the top line from the commissioning of the capex, which we have outlined.

V. D. Nanavaty: Correct. Correct. So directly, like solar plants will be helping in reducing the power cost, no topline assets contribution. Similarly, urea to revamp will be meeting the statutory requirement.

There is no topline effect on the same. This sulfuric acid for plant will be -- also be captive consumption of sulfuric acid and steam generation that will help to reduce steam made from the natural gas, so that will be helping that.

Only HX crystal projects will be directly contributing to the topline part of the year. Full effect will be in only next year. So I think around some INR100 crores topline effect is to be seen on a full-year basis from this plant.

Moderator: We'll take a next question from the line of Vipul Shah from Sumangal Investment.

Vipul Shah: Sir, what is our capex for phosphoric acid and sulfuric acid plants? And what benefit those capex will bring in reducing our cost per ton?

V. D. Nanavaty: Yes. So the capex is around INR1,500 crores at Sikka Unit. And still we are doing the -- we'll be floating the tender for technical deals and all these things. So it is difficult to say what exact benefit it will bring. But if you reduce the phosphoric acid procurement that we are doing from imports right now, so overall production will be definitely cheaper than imported PA. So that

will be helping us to -- one, to produce more DAP and other NPK fertilizers. And second, it will be bringing down the cost of phosphoric acid.

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So even if I gain \$100 per ton by our own production, so -- it will be INR8,000 per ton of PA.

So I will be producing around 2 lakh tons of phosphoric acid from this plant. So it will result --

I mean, bottom line from INR160 crores to INR200 crores per year.

Vipul Shah: So -- but when is it likely to be operational? Because in your presentation, you have mentioned just that it is '27, '28, so...

V. D. Nanavaty: Yes, because we'll be trying to do it fast, but being in the public sector, we have certain processes to be followed, and we cannot be so fast like private sector. So that is the real constraint. But one should understand that we are giving opportunity to that number of entrepreneurs to participate in such projects instead of MNCs and large companies taking away work of such projects. So that is the difference why we take time, and somebody is not taking so much of time because we are here to provide participation.

Vipul Shah: So what is our annual requirement as on today for phos acid and sulfuric acid? And how much we -- I mean, are they met by 100% import as on today?

V. D. Nanavaty: Yes. So if we can produce 10 lakh ton of P&K fertilizers at Sikka Unit, so there we require 4 to 4.5 lakh ton of phosphoric acid. Right now, everything is imported. We have a joint venture with TIFERT in Tunisia. So some actually is coming from that JV. But, otherwise, everything is imported. So it's 100% import dependent. So with this new plan, we'll be producing -- say, out of 4.5 lakhs, w

e will be producing 2 lakh tones, so at least 50 % of my requirement is captively met and then some part is coming from my JV. So then import dependence will go down.

But, of course, we will be not restricting ourselves to the 10 lakh tons, so we'll be -- in future, we'll be expanding the finished product capacity also. And similarly, putting up a similar plant for -- I mean, same capacity also once this first plant is coming up on the stream. So for Sikka, we have a long-term plan of expansion and that will be kept -- I mean, we'll keep on doing if the time and everything permits. So we'll have another 4-lakh ton of sulfuric acid after this first phase is commissioned.

And then we will have another facility for producing DAP and NPK fertilizers. So like that, we will keep on expanding. Just to give you some government's long-term perspective, NITI Aayog had done the study on the food security up to Amrit Kaal, that is, 2047. And there, they have indicated that with the steady state of affairs, the fertilizers consumption will be same or a little higher. But if we assume economy to grow, the fertilizer consumption will be still higher. So there is a scope to expand in fertilizer space.

Vipul Shah: You said our annual requirement for phos acid is around 4.5 lakh tons.

V. D. Nanavaty: Correct.

Vipul Shah: So even after this 2-lakh ton plant becomes operational, we will be importing still more than 50% of our requirement?

V. D. Nanavaty: Correct. Correct. Right now, we are importing 100%. Of course, we are not able to get all the 4.5 lakh tons. So the Sikka production capacity, though the capacity is there, we are able to

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operate at 40%, 50%, 60% only because the phos acid either it is not available, or it is available at higher cost that don't permit cost economics of production. So at that time, we keep the plant down. So we are not able to achieve 100% capacity at present.

Vipul Shah: So what is our capacity at Sikka for DAP and NPK fertilizers? And per ton of fertilizer, what quantity of phos acid we require, sir?

V. D. Nanavaty: So it is all flexible capacity. DAP, NPK are -- we are able to flexibly produce whatever is required. For DAP -- for every ton of DAP, we will require, I mean, 0.46 ton of phos acid, that is P₂O₅. So almost half, a little less than half. So DAP has a 46% phosphate in it, so 46% P₂O₅ that is required -- phos acid is required.

And NPKs, for different grades, different requirements are there. So -- but they are lesser than DAP. So against 46%, some grades have 20% processed phosphorus in that, some have 25%, some have 32%. So different grades have different requirements. So -- but generally, they are lesser than DAP.

Vipul Shah: So what is the capacity, sir, for DAP and NPK at Sikka right now, nameplate capacity?

V. D. Nanavaty: As I said, nameplate is 7,22,000, but we can actually produce up to 10 lakh tons.

Vipul Shah: Okay. Okay. So once you're -- these captive production plants are operational, you will -- you are planning to increase the DAP and NPK capacity also, right, sir?

V. D. Nanavaty: Yes. Once this is done, then we'll have similar plants of phosphoric acid and sulfuric acid for

another 4 lakh tons sulfuric acid -- I mean, phosphoric acid. And simultaneously, we'll expand the DAP and NPK capacities also.

Vipul Shah: But do you have the necessary land and infrastructure in place for -- to support the...

V. D. Nanavaty: Yes, yes. Everything is there in Sikka. Because when land is taken, it is taken with a very long foresight because land -- getting land is very difficult. So when you plan for projects and land, very long view is taken, and adequate lands are acquired at the first go.

Moderator: We'll take our next question from the line of Ketan Athavale from Robo Capital.

Ketan Athavale: I just wanted to know revenue and margin guidance for FY '25 and FY '26.

V. D. Nanavaty: So revenue, as you know, the subsidy government keeps changing, so what we plan does not turn into reality. But as of now, it will be a little more than INR10,000 crores revenue for the next year. And of course, we plan for profits also higher than what we achieved for the full year this year, PBT. So we plan for higher revenue, higher volume and higher PBT for FY '25.

Ketan Athavale: Okay. And can you give the same numbers for FY '26 as well?

V. D. Nanavaty: Yes, it will be still higher because of the capex that we will implement in this year. They will have full-year impact in FY '26. So it will be -- hopefully, it will be still higher. And we've government in place, and the modification in the -- I mean, whole agriculture policy to make Gujarat State Fertilizers & Chemicals Limited

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Indian agriculture modern, whatever steps are taken, we are fully geared up to take advantage of those steps. So we keep on marching ahead in terms of top line and bottom line.

Ketan Athavale: Okay, sir. And how much incremental revenue did we say we will get from our -- this year's capex assuming that we will be utilizing this year full utilization?

V. D. Nanavaty: Right now, as I said, revenue side, capex is only HX crystal project that increases the early revenue by INR100 crores. So this year, it may be having some 50% or 40% impact. Next year, it will fully contribute INR100 crores to the top line.

Moderator: We'll take our next question from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I just wanted to know like we require sulfuric acid for our phosphoric acid, ammonium sulphate and ammonium phosphate sulphate. Sir, given our current situation in terms of the prices of sulfuric acid, are we still competitive in terms of the cost of production vis-a-vis what is available from the market?

And secondly, I guess, our capacity is close to 7,96,000 tons. So how much we produce and how much we actually acquire?

V. D. Nanavaty: No. Sulfuric acid has an advantage in terms of producing steam. So we require a lot of steam in the process of making fertilizers and chemicals. So if I don't have sulfuric acid, I will have to use natural gas for making steam. So compared to natural gas, sulfuric acid plant is much cheaper. So if you -- in fact, if you give comparative study, I would say there is a 0 cost of making sulfuric acid for us because of the steam credit. So anything we buy from outside, it will have still some price, but captive production is almost zero cost. So that is the logic. And as we expanded the ammonium sulphate plant in January, we commissioned ammonium sulphate 4 plant. So we are commissioning sulfuric acid 5th plant in this year also, maybe by November. So that will fulfil the further requirements of sulfuric acid -- I mean, captive requirement. And also, as I said, it will produce steam that will replace my natural gas, and so it's a complicated working. But for a user of steam or power, sulfuric acid is a very good product, I would say.

Nirav Jimudia: So, sir, our capacity post this expansion would be close to 10 lakh tons of sulfuric acid.

V. D. Nanavaty: No, I don't have 10 lakh tons. 1 minute, let me just check. Yes, it will be around 9 lakh tons.

Nirav Jimudia: So our requirement is also close to that? Or do we still need to...

V. D. Nanavaty: Yes. As you know, we are the largest sulphur-based producer of fertilizer in India. Nobody has these quantities of fertilizer, which contains sulphur. And sulphur is deficient all over India.

There is no region where there is no sulphur deficiency. So we are the largest buyer of sulphur in India. We are the largest producer of sulphur-based fertilizer. And these things, 9 lakh tons, are not being captive consumed for producing different sulphur-based fertilizers.

Nirav Jimudia: And sir, secondly, what is our total

requirement of power across both the complexes because

now we are focusing more on the renewables and consuming the power through the captive use?

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So what could be the expected savings in the power cost, which could happen to us given the 20% production increase which you just talked about? So one, what is our total requirement of power, if you can give us some understanding?

And second, with this captive source of power getting implemented, how much we would be using power through our own captive source?

V. D. Nanavaty: So Sikka, I'm not exactly aware, but at Baroda, we consume 72-megawatt power per hour, and we are at 40% on renewables already, so which is a big achievement. Many companies are still less than 5%. So in this situation, we achieved 40%, is a big achievement. So with this new 15-megawatt power further coming in from, say, by September '24, it will further improve the renewable portion in our power consumption.

And we are still tying up with GIPCL, which we have floated 30 years back. So they will be coming up with another 75-megawatt power plant, which they will be selling to us and GACL on a 50% basis, which is likely to commission maybe by June '25. So further -- so with this 15-megawatt plus GIPCL, 37.5% is what we get on sharing basis. Our renewable power -- I mean, breakup of our portion of the renewable power will lead to around 57%. So it is a huge saving because against INR10 to INR11 per unit that state electricity or utilities got, this power remain around INR5 per unit.

Nirav Jimudia: So despite of our production going up, one, our power cost in absolute amount won't go up. And from next year onwards, when this GIPCL would start operations, probably our power cost would be starting trending downwards.

V. D. Nanavaty: Yes, hopefully. Yes, yes.

Nirav Jimudia: And sir, just a last clarification. You mentioned about the ammonium sulphate we discussed at the first point. So does the subsidy fixation happens based on the prices of imported ammonia or it happens based on the availability or the cost of gas in the domestic market?

V. D. Nanavaty: As far as ammonium sulphate is there, I should not share a secret, but since you have asked, you see, capacity is the only large industrial undertaking in the State of Kerala. So it is a prime importance for them. And they have limited products. Ammonium sulphate is one of their major products. So subsidy speaks in such a way that they get some push up. I don't require so much of subsidy.

Nirav Jimudia: And sir, one thing what you mentioned on that we expect the PBT to be better in FY '25 vis-a-vis FY '24.

V. D. Nanavaty: Correct.

Nirav Jimudia: So would this incremental profits be coming from the fertilizer division because, one, you mentioned that the MRPs have been raised or the discounts have been taken back? Secondly, our production is going to go up by 20%. And thirdly, with the commissioning of this backward integration projects, there could be some savings accruing to us on a staggered manner over FY Gujarat State Fertilizers & Chemicals Limited

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'25. So the PBIT of close to INR325 crores or INR330 crores what we have reported for FY '24, this number vertically should be showing upward trajectory in FY '25. Is my assumption correct?

V. D. Nanavaty: Yes. Mostly, it will be coming from fertilizers only because the pressure -- margin pressure, I think, still continues. So with mainly China dumping a lot of their output in India because their economy is sluggish, so -- and they have very large capacities, like caprolactam, if you compared, we have capacity of around, say, 90,000 on an active production, which is partly captively consumed from nylon-6.

But again, they are going to recently commission 4 lakh ton caprolactam plants. Apart from already capacities

as they have built up, further 4 lakh tons will be set up. So this is the kind of scale they go for. And then, they -- so at a very competitive price. So their price structure, state support, nobody is able to understand how they are able to produce at such a cheap cost. But whatever it may be, but they are able to export it at a very low margin. So it disturbs everything in India. So that situation is going to be there in FY '25 also.

Nirav Jimudia: Sir, last question. Out of the total capex of INR1,600 crores, what you mentioned on the phosphoric acid and sulfuric acid, apart from that INR450 crores under urea, so I think combined -- on a combined basis, we are spending close to INR2,200 crores, INR2,300 crores of capex. How much of this has already been spent and is there in our FY '24 balance sheet? And how much is still left to be spent?

V. D. Nanavaty: So we have spent around INR230 crores up to FY '24. And this year, FY '25, we will spend around INR800 crores to INR900 crores.

Nirav Jimudia: Okay. So balance payments would happen in FY '26.

V. D. Nanavaty: Yes, it will take some time because our total capex is INR6,000 crores -- more than INR6,000 crores for a period of 5 years. So what you counted is only INR 2,000 crores. So INR4,000 crores in Dahej we are going to spend for this 5-year period. So maybe from next year -- I mean, some part will start in this year itself after we have the DPR, and all completed. So that is another major chunk. Because in Baroda, we have our hands full. I mean, no land is available for setting a new plant. So all major expansion will now happen in Sikka or Dahej.

Moderator: As there are no further questions, I would now like to hand the conference over to management

for closing comments. Over to you, sir.

V. D. Nanavaty: Yes. Thank you for the patient listening and joining the call. So as we said every time, GSFC is a growth story. And we don't have any one-off kind of promoter who wants higher dividend or part of their pie. So most of our properties are ploughed back in setting up new plants and growing -- in company 's growing. So that feature will continue, and we will have better days ahead.

Of course, '23-'24 was a -- not a good year from IP and fertil izer segments. But I think the better sense will prevail and things wil l align with the reality, then we are able to perform better. So thank you and let us see how the Q1 pans out. Of course, we hav e a volume growth in Q1, but looking to the subsidy and all, the topline and bottom line wil l emerge. So thank you till then.

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Moderator: Thank you. On behalf of Anurag Services LLP, that concludes thi s conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

ffifertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : 199999CJ1962P1C001121

NO.SEC/SE/TRANS/2024 12th August,2024

Dear Sir / Madam,

Sub.: Transcript of the Investor Con held on Tuesday.6th August.2024

We refer our submission vide letter dated 30th July,2024, wherein the intimation was made that the Conference Call with Analysts is scheduled on 6th August , 2024 from 3:30 PM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: AI5142

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"Gujarat State Fertilizers & Chemicals Limited

Q1 FY'25 Earnings Conference Call"

August 06, 2024

M

ANAGEMENT : M R. S.K. BAJPAI – SENIOR VICE PRESIDENT , FINANCE AND CHIEF

FINANCIAL OFFICER – GUJARAT STATE FERTILIZER & CHEMICALS

LIMITED

M R. S.V. VARMA – EXECUTIVE DIRECTOR , AGRIBUSINESS AND

HUMAN RESOURCES – GUJARAT STATE FERTILIZER & CHEMICALS

LIMITED

M

ODERATOR : M R. ANUJ HALAKHANDI – ANURAG SERVICES LLP

Moderator: Ladies and gentlemen, good day, and welcome to Gujarat State

Fertilizers & Chemicals Limited Earnings Conference Call. As a

Gujarat State Fertilizers & Chemicals Limited

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reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Halakhandi from Anurag Services. Thank you, and over to you, sir.

Anuj Halakhandi: Good afternoon, everyone, and welcome to the first quarter earnings conference call for Gujarat State Fertilizers & Chemicals Limited. The call is hosted by Anurag Services LLP. Present from the management team are Mr. S.K. Bajpai, Senior Vice President, Finance and CFO; and Mr. S.V. Varma, Executive Director Agribusiness and HR, along with other senior dignitaries. We appreciate the management for granting us the opportunity to host this call.

Let's begin with the management's opening remarks followed by a question-and-answer session. Thank you, and over to you, sir.

Management: Okay. So good afternoon to all, and welcome to the earnings conference call of GSFC for quarter 1 2024-'25. I hope that you have reviewed our results, and the other presentations uploaded on our website and the stock exchanges.

As you know, the company experienced a significant rebound from the subdued results of previous quarter, posting increase in PBT from INR23 crores to INR118 crores and taking PAT from INR21 crores to INR93 crores in the current quarter. This increase is attributed to a robust fertilizer volume of 4.46 lakh metric tons in current quarter and the optimization of product mix at Sikka Unit in accordance with cost economics of raw material prices and subsidiary rates.

During the quarter, we partially switched from DAP to APS and NPK production at our Sikka Unit. In current quarter, we have achieved the second highest sales in last 15 years, first quarter, that is INR2,144 Gujarat State Fertilizers & Chemicals Limited

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crores. Fertilizer sales increased by 7% in value terms on Y-o-Y basis and fertilizer sales volume witnessed growth of 30%, though the margins were under pressure. We anticipate that this trend will persist in future also.

The acceleration of Kharif cultivation has been facilitated by the favourable rainfall that is being experienced this year. Improved seasonal prospects are expected to maintain the robust demand for fertilizers during forthcoming quarters. You may be aware that the government reduced the subsidy outlay for fertilizers approximately 13% in the current year budget against the previous fiscal.

However, government has been very prompt in releasing the subsidy. For P&K fertilizers as well as urea, we have received subsidy up to the first week of July. The same is reflected in our cash flow, as you know that we are a debt-free company with a strong balance sheet and healthy liquidity.

Subsidiary rates for P&K fertilizers are significantly reduced during October 2023. The trend has persisted for DAP and AS while APS and NPK have experienced a modest increase. Contrary to this, the prices of basic materials have not reduced in the same proportion. While ammonia prices have decreased, PA prices remained steady at \$85.0 per metric ton. Further, Benzene and NG prices have actually increased on Y-O-Y and quarter-over-quarter basis.

The company plans to follow production with mix of DAP and non-DAP products at Sikka Unit to optimize costs and maximize sales. Although caprolactam and nylon 6 were subjected to annual shutdown in quarter 1 current financial year, industrial product output remained consistent. In IP segment, domestic prices remained subdued due to dumping of cheap

Chinese caprolactam, melamine and basic nylon 6. Caprolactam spread on Y-o-Y basis reduced from \$730 per metric ton to

\$582 per metric ton. Nevertheless, we anticipate that overall Industrial Products turnover is likely to grow as compared to the current quarter.
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Project details are also uploaded on our website. All projects are progressing well as per the schedule except few months delay in HX Crystal Project and Urea Revamping Project. However, we will be commencing HX Crystal, Sulphuric Acid Project and Urea Revamping Project up to the end of this financial year. Full year impact on turnover, margins will be seen in the next financial year.
So with these opening remarks, we can now start the question-and-answer session, please.

Nirav: I have a few questions. So first is, in the last interaction in the last call, you have mentioned that for the ammonium sulphate fertilizer, we have to offer some discounts. And that was because of the leaner season. And on the top of it, from April onwards, government has also increased the subsidies.

So if can help us explain whether those discounts of INR2,000 per ton, which we have offered last quarter was withdrawn and there was a normalized pricing and over and above that, that INR15 increase in the subsidy would have helped us in terms of the improved performance? And along with it, if you can also help us explain that was the improved performance because of some benefits coming to us in terms of the raw materials, especially the natural gas was converting to ammonia?

Management: Yes. So as far as ammonium sulphate is concerned, the increase in subsidies with effect from 1st April is very minimal. I mean this is on the -- I think there is no increase in -- only in the NPK and APS, there is increase in subsidy in April. So there is no increase in the ammonium sulphate.

And as you know, the DAP and other NPK grades of fertilizer is not having that favourable margin and contribution. So most of the fertilizer companies are now scouting for the ammonium sulphate. Only in India, we have only 2 producers, GSFC and FACT, but they have a certain import these fertilizers companies are meeting, and they are selling it in the open market.

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So as far as discount is concerned, Mr. Varma our marketing head will focus on this. Nirav, yes, see the market of ammonium sulphate last time what we indicated a discount of INR2,000 per metric ton has been softened a little bit because we wanted a change in MRP also of the product based on the cost of production. So some sales got reduced to certain extent based on that thing.

However, again, this first quarter is the lean season. It mainly starts in -- at end of June or July for pushing of the sales. So for placement, we have to offer discounts. As Mr. Bajpai has stated, there is no change in the subsidy of ammonium sulphate, but there's slight increase in subsidy of APS but reduction in subsidy of DAP.

So market has diverted towards NPK fertilizers like APS mostly. And this time, as we pointed out the -- our sales of the APS were the highest because at Sikka we could produce APS, NPK at capacity levels due to availability of raw material, economics and demand also in the market. But in case of DAP, it was a lesser capacity because of economics -- this thing and raw material because you need higher phosphoric acid for DAP. So it is constant many times because we are 100% depended on the import.

Nirav: Correct. Correct. So sir, like if we consider in terms of the ammonia what we produce through the natural gas vis-a-vis the imported ammonia where the government uses that benchmark for the subsidy calculation, has our cost of production of ammonia fallen this quarter? Or if you can get

us, explain what was our average cost of natural gas for Q1? And what was it for Q4?

Management: See, just one thing before Mr. Bajpai answers. In case of phosphoric acid, we have NPS rates, so in case of urea, it's not the NPS rates. So cost of ammonia really impacts on the NPK fertilizers mainly like DAP, APS and other fertilizers. In case of Sikka, we are importing ammonia. So this question doesn't come. It comes only in case of Baroda unit where we have a capacity of NPK production compared to Sikka.

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So as you see, the natural gas prices are increased 6% on Y-o-Y basis. And in case of urea, the whole natural gas prices are passed through. So there is hardly any impact on the margins of the company. Very little ammonia goes to the -- in the production of melamine through urea and in the caprolactam. So that much increase or that much impact of the increase in natural gas is not seen in our total profitability.

Nirav: Is it possible to give us the exact amount of our natural gas cost per SM3 this quarter?

Management: I think it is INR45 per SM3 in the current quarter.

Nirav: Okay, okay. Sir, if we see our entire basket of fertilizer, let's say, sulphate and ammonium sulphate phosphate, DAP, NPK and the urea, what broad range of per ton margins we should work with, let's say, for ammonium sulphate and ammonium sulphate phosphate as a basket NPK and DAP put together and, let's say, for the urea? Let's say if we segregate between these 3 divisions or 3 subsegments, what sort of per ton margins we should work with? Or what the current level of margins what we are earning from these key subsegments?

Management: We're talking about the average margins, it is nearly INR2,000 to INR2,500 per metric ton. However, as I told that in the DAP, there is no margin available, even the contribution is in negative, so in other fertilizers, the average margin we are running INR2,000 to INR2,500 per metric ton.

Nirav: Okay. Similar is the case for urea also there because of the under recovery of fixed cost, the margins are lesser?

Management: Yes, in the urea, the margins are really lesser because of the higher energy consumption by the GSF and there is some penalty also attached to it. So in urea, the margins are lesser than this.

Nirav: Got it. Got it. And sir, when we will ramp up our phosphoric acid production along with the sulphuric acid plant where our dependency on

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imports would start reducing? Would it be safe to assume that like before 3, 4 years when the margins were good, we used to produce around 7 lakh tons of DAP plus NPK put together. So once this plant is -- plant will be commissioned on -- the margins which are currently, let's say, 0 to negative for DAP, would start giving us the positive margins and along with it, we will also see the volumes of DAP, NPK also picking up, your take on the same?

Management: Nirav, see, there we have two manufacturing facilities, one at Baroda and one at Sikka. In case of Baroda, we have our own phosphoric acid plant and one sulphuric acid plant, which is running at capacity, and we are able to produce required phosphoric acid at smaller plants. In case of Sikka, we are still dependent on imports. We are working on the project, but it's not an immediate thing. It will be a short-term basis, two to three years' time gap.

Nirav: Okay. So that plant, which you have highlighted in the investor presentation also, in terms of our phosphoric acid capacity of 198,000 tons and sulphuric acid of 594,000 tons, that would take two to three years to get commissioned. Is it where I should interpret it on?

Management: Yes.

Moderator: The next question is from the line of Saket Kapoor from Kapoor

Company.

Saket Kapoor: Thank you for a very detailed opening remark also that answers many of the questions. Sir, when we read about this outlook part in your investor presentation, you have mentioned about market anticipation of increase in NBS subsidy. And thereby, we are accumulating sufficient inventory of DAP for the forthcoming Rabi season. So if you could just explain to us on how are the margins going to be affected by this strategy? And if I'm not mistaken, you mentioned that we had negative margin for selling DAP for this quarter, sir?

Management: Yes.

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Saket Kapoor: So how will this work out for us? And what should be then the optimum number going ahead for DAP in terms of margin profile?

Management: Actually, there are three production lines in the Sikka unit. One is producing DAP and which we cannot change. And other two lines are interchangeable, either we can produce NPK, APS or DAP. So now presently, we are producing only one -- in one line, DAP and in other two lines APS and NPK. So we have not stopped the production of DAP because of this little negative contribution because at any time, there is buzz going around that the DAP subsidy may increase a little bit. And also in the interest of the market, we cannot stop the DAP because DAP is in good demand and there is a lot of pressure from the government side also to make DAP available to the farmers. And GSFC like company will never see only the profit motive, we produce and make available the required fertilizers to the farmers. So we have never stopped the DAP or never stopped the DAP actually. Now the season has started, and we have placed these material on the market. Now as soon as the rain -- now the rain has started, and the farmers will come to the shop, and we will start selling the products where this is available.

Management: Mr. Kapoor, just to answer your specific question, how do you think about the NPS rate. If you see there -- on the archives there was news about increasing the subsidy by INR3,500 per metric ton for DAP. And from the government, still notification is awaited. With this increase in the NBS rate, DAP will not be negative. It will be just breakeven. So whatever we have been done is right for the farmer community and we are using a mixed approach for producing APS, NPK and DAP, all three at Sikka Unit.

Saket Kapoor: Sir, can you quantify the impact of -- the negative impact it has for the quarter, the DAP sale on the bottom line? And then, sir, if you could give some color on the raw material basket, how are those shaping up going ahead?

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Management: I think in the current quarter, we see that there is a dent in the bottom earning amounting to INR42 crores approx.

Saket Kapoor: Okay. So this will be negative for the next quarter?

Management: Yes, negative.

Management: Negative.

Saket Kapoor: And sir, you mentioned about some energy efficiencies loss due to some lower energy efficacy, we have to pay some fine also for the Urea unit. So can you quantify that amount also?

Management: No, amount is difficult to quantify because it has only provisioned that 35% penalty this year. They will impose and we have already requested the government to reduce it up to the level what it was earlier 30%. But let us see how the government reacts. And we are already putting INR450 crores for revamping of Urea II plant. So this will be commissioned in this end of the financial year only. So we are representing the government that this is the last year so don't penalize this further. And anyway, we are putting this capital outlay of INR450 crores for this purpose only. So there is no reimbursement from the government for this investment. So I think they will consider our case.

Saket Kapoor:

No, sir. Like you said, you have done a provision. So we have made the provision to the P&L route only?

Management: No, there is no provision made. I have not made any provision for this penalty. So it will -- when it will come, then we'll decide. But in our system, that is already inbuilt whatever the energy consumption is there. So higher energy consumptions means the higher cost of production. So it is passed through by the government.

Saket Kapoor: It will be?

Management: Passed through by the government, I think.

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Saket Kapoor: Okay. So we will be receiving back all the under-pricing, which what we have done for -- the entire subsidy will be released to us or there will be some dent on sales of urea on account of this energy norms that specification not been matched?

Management: Our energy consumption, even after kind of taking into consideration the penalty, is lesser than that. So over -- if you look at in the contract, we get from the government a saving margin also because if we say that after the penalty, done not becomes 6.74. And if we are at 6.6, that's 0.1 also we get it. I'm just giving you a hypothetical example. So we get savings from the FICC also. So, there is no impact with respect to the penalty.

Saket Kapoor: Okay. So sir, I just got confused. And if there is no reason for that escalation, then why is it -- why are we discussing about the fact that we were looking for waiving of the penalty going ahead? Can you just explain once again, sir? I mixed it up?

Management: It's not about waiving of the penalty we are just requesting about because earlier the penalty percentage was lesser. So they have increased it. So we were just asking them to keep it at the same level what it was earlier. But the point which I -- there's two points this year, I think. The one is that even after considering the penalty which the government have put in, we end up in the -- the GCAL figure which comes up is lesser than what after penalty that GCAL government put so far. That's the one point.

The second is with respect to coming of the new plant of the urea which is preventing and that will automatically reduce -- automatic in the test after making this effort to reduce our energy consumption, so that penalty issues would go up. So these are the two different points which you are missing.

Saket Kapoor: One suggestion. In the presentation in slide number 5 and 6, so therein, we have given the capro-benzene trend also and the key input cost movement. So, this is a very important data. If we could provide it in a Gujarat State Fertilizers & Chemicals Limited

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tabular manner, that would suffice much better than the graphical part because there's a color mingling. And the one -- to get the numbers correctly, we have to get it on a tabular form. So, if I request if the key input cost movement can be put on a tabular basis on a comparative quarter-on-quarter basis, that will be helpful.

Management: Noted.

Saket Kapoor: And last point, sir, just to get an understanding. Mr. Nanavaty is not present in the call. Any key reasons?

Management: He's retired from the service of the company, and I am S K Bajpai has taken over the role as the CFO of this company.

Saket Kapoor: Sir, may I ask some more questions about the industrial chemicals segment and then join the queue?

Management: Yes, yes, please.

Saket Kapoor: Sir, on the performance for industrial chemicals, that looks much depressed. And also with the Chinese import, part of the story getting momentum. The story going ahead for us in the industrial chemical looks bleak only, sir, going ahead?

Management: It is -- presently, if you see the whole chemical industry internationally, it's sluggish and not very effective. So as you are seeing that in our

presentation

also, the capro-benzene spread accounts down from INR730 crores to INR673 crores, then INR582 crores, then INR695 crores, and presently, it is around INR582 crores. One good thing is there that in the July, it has improved a little, and it has gone up to INR638 crores, but there is hardly any impact of this increase. And we are still having a negative contribution.

But we are seeking some new step for -- to tackle the situation that we are putting one HX Crystal plant, as you might have seen in our presentation. Yes, it is manufactured from the derivative from the caprolactam. And by this way, our old caprolactam having capacity of Gujarat State Fertilizers & Chemicals Limited

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20,000 metric tons will not produce there, and we will be diverting it to HX Crystal plant. So there, the profitability and margins are quite good. So it will improve the IP segment.

The second thing what we are thinking is that we are importing the cheaper Anone and trial has already been done and we are using imported Anone, in place of producing the higher Anone cost from the benzene because benzene prices have been risen like anything, there is 13% increase on Y-o-Y basis. So that's two step presently, we are taking, and I hope that there will be some impact on the next quarter or up to half year also remaining this year.

Saket Kapoor: And sir, what would be the capex we will be spending on the project, the crystal?

Management: So in this year, we will be capitalizing the project amounting to INR1,000 crores. Three plants are under the capitalization or in this particular financing year only. One is HX Crystal plant. Then second is sulphuric acid. That is subject to plant of the sulphuric acid. We are looking for putting at Fertilizernagar. Third one is the urea revamping. And fourth one is power -- solar power plant. This solar power at Charanka, solar power plant, urea and sulphuric acid it will increase efficiency or reduce the cost of the company because it is capital consumed. Our HX Crystal project plan, that will be produced at -- that will produce HX Crystal, and it will be sold in the market. It will generate INR100 crores revenue and a good amount of margin.

Saket Kapoor: For this HX Crystal project, what are the capex next year? And how much we will out this INR1,000 crores...

Management: INR100 crores.

Saket Kapoor: We are spending INR100 crores.

Management: Yes.

Saket Kapoor: And the turnover will be also onetime?

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Management: Yes.

Saket Kapoor: And this is a downstream product for Caprolactum?

Management: Value-added product. It is forward integration of the Caprolactum chain.

Saket Kapoor: Okay. And other than that, about the Melamine part and other chemicals, industrial chemical basket, there also the same trend continues? I think the lion's share is from Caprolactam, the revenue profile for IP. If you could give us some understanding of the various products.

Management: Various product is Melamine. But Melamine is also not doing great. And there is a lot of cheap materials coming from the -- China. So we are not getting much of the margins in the Melamine, and we have sold on a lot of discount to meet the IPP base price of the Melamine. So over all, IP product or the IP segment this year, if you see the segment, we have reported INR4 crores loss in the IP segment. So there is hardly any margin available in the product, and that's why we are taking such an innovative step to cut down the cost and make the IP segment profitable.

Saket Kapoor: Right. And lastly, sir, for this Nylon-6 part also.

Management: Nylon-6 there are 2 compounding lines, and we are doing the production. However, the imported Nylon-6, as I told, from the China is

cheaper than the -- our production for Lactam and then the basic chips.
So we are

also importing the Nylon-6 kit basically and mixing it with our chips and making the various chips in the compounding line. So that will again reduce the cost for these chips, and it will provide a better margin and the contribution.

Saket Kapoor: Sir, we are providing volume performance, by the site, we can also foresee the turnover also. That will give an understanding how the realizations have been for the quarter and the comparative number?

Management: We have provided collectively sales and sales value and the quantum of sales also. If you see our Slide number 4, you will see production and Gujarat State Fertilizers & Chemicals Limited

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sales. So this is the quantum of the product, the quantum of the quantity produced and sales.

Saket Kapoor: Right, sir. But I'm looking at the realization part also, sir. You are providing volume metric part. But on the realization front, if you look at the capital at term sales of, say, closer to 14,000, how much has been our realization and the comparative number, that would give us an indication of what are the current realization.

Management: This is some price, I would say. Gently, the management is thinking that, that would not be fair because it is required and then it will go to the completers also. So that's why we are not giving the product-wise pricing.

Saket Kapoor: Sir, last point is taking into account how we have fared for the first quarter and the factor of the variables that you people are working with, what should be -- the investors should model in for the remaining part of the business? Because I think it's a very volatile environment for IP, but the corrective measures which you are already taking into place and the one-off item which will not be there, so taking that into account, what kind of margin profile can we do for the Fertilizer business? And I think the IP would be a difficult one.

Management: Fertilizer business, the margins are more or less same. Until and unless there is any subsidy revision, I don't foresee any changes in the raw material prices presently. As you see, the DAP prices have crossed \$600. So I don't think the phosphoric asset will be available anywhere. So there is hardly any margin.

Only these volumes will create a total margin. How much quantum of sale by the better product mix we can make in the margin, as I told in the opening remarks, that will generate the margin for the Fertilizer sector. As far as IP segment is concerned, I've told that we are taking a step, and it will show some -- it should show some positive results in the next quarter or next to next quarter.

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Saket Kapoor: But this should be a bottom-like situation also. Things should not turn worse from here because we have...

Management: Definitely. We are taking all these steps. And as I told that all these things are in the very forward-looking, and it is -- plans are not completed. So we are importing like alone, or we are stabilizing this. We are having one plant of the HX Crystal. So we know how it operates and who are our buyers. So all in all, there is a very -- positivity we are looking at, and we are very hopeful to get better results in the Q2 and Q3.

Saket Kapoor: And on the gas pricing, sir, I missed your comment. What types are we securing, the gasses?

Management: Gas is already fixed by the Government - as far as Urea is concerned, so whatever the domestic prices are there, it is allotted. It is passed through. So there is hardly any impact. And energy prices are stable now, INR45 per SM3. So I don't foresee any much deviation in the natural gas prices.

Moderator: The next question is from the line of Nirav from Anvil Research. Please go ahead.

Nirav: Sir, one thing, when we will undertake the energy conservation measures for our Urea plant

t, I think our current consumption is close to 6.5, 6.6. And once that is implemented, it will fall below 6 Gcal per metric ton. What sort of total improvement in the profitability starts accruing to our Urea business once that energy conservation measures are placed into?

Management: No, actually whatever the curtailment in the energy norms by 0.6 Gcal, so it will be within the targeted amount by the government of India. That is the purpose for revamping Urea plant. And the government is focusing that it should be around 5.9 or something. So after 0.6 reduction in Gcal, we will be meeting the norms, prescribed by the government.

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And second, that Urea plant is very old 60-year-old plant. So there is also a lot of inefficiency in the system and production process. So by implementing this, we will be increasing the capacity of the plant from 800 to 1,123 metric tons per day. So that is the advantage we will be having, additional production of around 323 metric tons. So that will be coming by way of additional margin and profit to whatever you get in the mix.

Nirav: But sir, based on some rough understanding with this increase in the production and currently whatever losses we are making off because of the higher energy usage, what sort of ballpark numbers we should work with in terms of the improvement in our per tons margins for Urea?

Management: We have not just calculated per ton margin but when we approved our project, of this urea revamping, I remember that around INR30-odd crores will generate in the Urea revamping project.

Nirav: Okay. And sir, I missed on the increased capacity, what you mentioned on -- capacity is going to increase from how much to how much?

Management: 800 to 1,123.

Nirav: TPD or it is 1,000 tons.

Management: Yes.

Nirav: Okay. Sir, second question is on -- you mentioned on the capro-benzene spread is being lower, and we are even losing money at the contribution level. At what level of spread we could break even in terms of the capro-benzene as well as for let's say, melamine? If you can give some understanding that would be very helpful.

Management: It will be difficult to predict but I think it is \$700 odd figures, \$725 or so from the extent that will make the breakeven from the caprolactam.

And for melamine, we are generating the positive contribution.

However, there is a margin loss. So there is no problem as far as the

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melamine production is concerned. We are generating the contribution and that's why we are continuing the plants.

Nirav: All right. So 725 would cover our variable cost? Or it will also cover our fixed cost?

Management: No, only variable cost.

Nirav: Okay. And what levels of fixed cost we should work with for the capro plant as well as for the melamine plant?

Management: Fixed cost is already fixed so we do not calculate like this. Whatever the fixed cost is there, so we are generating the losses whatever melamine is generating the profit. It is compensated with negative margins of the caprolactam. So that's why the IP segment is getting only INR4 crores loss. So that is the idea we can get that whatever the fixed cost is generated it is breakeven at this level.

Nirav: Correct. So let's say put together capro and melamine, is it safe to believe that our fixed cost won't be higher than \$100 a ton? Is it a safe understanding to make? Or probably it could be some notch higher than the \$100?

Management: It must be higher than the \$100.

Moderator: Thank you. As there are no further questions from the participants, I would like to hand the conference over to the management for their closing comments.

Management: O

kay. So thank you for the patient listening. And I hope that we could have given you the satisfactory replies up to our best possible manner. And I once again thank you to all the participants and we will see you in the next quarter. Thank you.

Moderator: On behalf of Anurag Services that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you .

Call: Nov 2024

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

ffifertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : 199999GJL962P1C001121

NO.SEC/SE/TRAN5/2024 20th Novemberr2024

The Corporate Relationship Department

BSE Limited

1st Floor, New Trading Ring

Rotunda Bldg., P.J.Towers, Dalal Street

Fort, MUMBAI - 400 001

SCRIP CODE: 500690The Manager, Listing Department

National Stock Exchange of India Ltd.

'Exchange Plaza', CII, Block G

Bandra-Kurla Complex

Bandra (East), MUMBAI - 400 051

SYMBOL: GSFC

Dear Sir / Madam,

Sub.: Transcript of the Investor ConCall held on Wednesday. 13th November.2024

We refer our submission vide letter dated 6e November 2024, wherein the intimation was made that the Conference Call with Analysts is scheduled on 13ft November, 2024 from 3:30 PM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

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"Gujarat State Fertilizers & Chemicals Limited Q2
FY25 Earnings Conference Call"

November 13, 2024

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ANAGEMENT : M R. S. K. BAJPAI , SVP (FINANCE & LEGAL) AND CFO
MR. S. V. VARMA , ED (AB, HRS & IR)

Gujarat State Fertilizers & Chemicals Limited
November 13, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Gujarat State Fertilizers & Chemicals Limited Q2 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S. K. Bajpai and Mr. S. V. Varma. Thank you and over to you, sir.

Management: Good afternoon. We are pleased to welcome you all to the Earnings Conference Call of GSFC.

We appreciate your participation in the GSFC Quarter 2 Post-Results Conference Call. I trust that you must have reviewed our findings and the other presentations that have been posted on our website as well as the Stock Exchanges.

We are happy to inform that your company has achieved a standalone highest ever Quarter 2 PAT of Rs. 303 crores, also the second highest ever Quarter 2 PBT of Rs. 391 crores and second highest ever first half profit after tax of Rs. 395 crores. However, the company's turnover fell by 13% in Quarter 2 and 6% in H1 on a Y-o-Y basis. The main reasons for reduction in turnover is reduced subsidy rates and lower DAP and urea trading volumes. Our operating margins rose from 7%-11% in Q2 and 7%-9% in H1. The company achieved this performance despite ongoing external challenges in fertilizers as well as industrial product segments.

Subsidy rates for P&K fertilizers fell significantly year-on-year in Q2 and H1 with Ammonium Sulphate falling by 38%, Ammonium phosphate Sulphate falling by 35% and DAP falling by 24%, resulting in reduced P&K fertilizer sales realization. However, the government declared onetime special package of DAP of Rs. 3,500 per metric ton on October 24, which provided much needed support to industry. The government is also prompt in releasing this subsidy and we have received the subsidy up to the second week of October. Contrary to this, cost of its essential inputs, such as natural gas, ammonia and phosphoric acid are on increasing trend. Presently, Phosphoric Acid price has increased to US\$1,060 per metric ton for Q3 current financial year versus US\$948 per metric ton in the Quarter 2 current Financial Year.

International prices of DAP have now stabilized in the range of US \$640 per metric ton.

Foreign exchange rate of USD INR is also a cause of concern for the industry. Geopolitical tension in Middle East and Red Sea crisis are causing delay in arrival of vessels of DAP and other input materials. Considering the other factors, cost effectiveness of local phosphatic fertilizer manufacturer is likely to be jeopardized. The company responded by boosting capacity utilization, increasing sales of manufactured products and optimizing product mix in both segments. Fertilizer output went up by 16% to 1.21 lakh metric ton during first half on Y-Gujarat State Fertilizers & Chemicals Limited

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o-Y basis. Good rainfall during current monsoon and enhancement of minimum support prices by Government of India for 6 major Rabi crops will enhance demand for Agri inputs in the upcoming quarter. Government is also pushing the industry to supply more DAP, hence the company has finalized the import contracts of about 1.25 lakh metric tons in the upcoming quarter. We are targeting sales in the range of 5,00,000 metric ton in quarter 3 current financial year. In case of industrial product segment, Capro-Benzene spread reduced to US\$620 per metric ton as against the US\$673 per metric ton on Y-o-Y basis. However, the demand of our major industrial product is likely to remain stable

o firm during next quarter.

The turnover of industrial products in quarter 3 FY24-25 is expected to be higher than Quarter 2 FY24-25. Commercial production in HX Crystal plant has been commenced with capacity of 20 metric ton per day on 11th October 2024. For Melamine, domestic and export markets are expected to improve during quarter 3 current financial year. Even though competitive imports of Melamine are likely to pose a challenge, the organization is adhering to its strategic objectives with regard to capital expenditures. It is anticipated that Sulphuric Acid V project and Urea II Revamping projects will be operational at end of the current financial year.

Further, we are trying for part availability of cheaper solar power from GIPCL after part commissioning of their 75 MW solar power facility at Vatsan Gujarat. These facilities are expected to be fully operational by May next year.

I would like to express my gratitude for your patient, listening to my overview. Yes, we will now commence the question and answer session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirav from Anvil Wealth. Please go ahead.

Nirav: Sir, I have a few questions. Sir, when we discussed last quarter, you mentioned that since it was the start of the season for the fertilizer, we had to offer some sort of discounts in AS and

APS. So, just wanted to understand from you that where those discounts withdrawn by us because our sales volume for both the fertilizers also looks pretty good. So, just wanted to understand from you that what was the situation on the discount that was part A & B, what was the average EBITDA what we have clocked for both the fertilizer grade because earlier you used to guide that for both the fertilizers, on an average, it used to be around Rs. 2,500-Rs. 3,000 a ton. So, if you can just share your views here?

Management: In case of discount, yes, we have slowly reduced the discount over the period as the market started taking the fertilizers. The season was delayed. So, real sale happened late, but now it has been net zero for both the products.

Nirav: So, sir, what was the EBITDA per metric ton for both these grades put together in Q2 of FY25?

Management: It is near about Rs. 2,500 per metric ton.

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Nirav: And because now those discounts have been withdrawn, we can see further improvement in quarter 3 because you also guided 5,00,000 tons of fertilizer production in Q3. So, this would help the margins to improve in Q3.

Management: No, we are not certain because the Sulphuric Acid prices and Ammonia prices are going to increase now in the next quarter. So, it is very difficult to predict that same margin will continue for the Q3 also.

Management: And PA prices will also increase, you know that PA price has gone up by \$110 per metric ton that would impact the cost of production. Yes, the market will start responding to this increase and let us hope for the best.

Nirav: So, sir, just to continue here, like, based on the production numbers, what we have reported, I think our quarterly requirement for Sulphuric Acid this quarter was close to 1,75,000 tons. And I think what we are having current capacity is on an annual basis close to around 7,00,000 tons. So, you rightly mentioned that there was an increase in the Sulphuric Acid prices globally and also in domestically. So, does this build up in the prices or increase in the prices of Sulphuric Acid doesn't help us to increase the prices of both these fertilizer grades and how much we are currently buying from the outside market so far as Sulphuric Acid is concerned?

Management: So, as you know, the Sulphuric Acid V project, what we are under construction that will be

operational at the end of the financial year as per my opening remarks. So, whatever the deficiency in the Sulphuric Acid for the period from October to March, we have tied up with the other companies as a long-term solution. So, we are receiving this Sulphuric Acid at a competitive price rather than going on this spot and as you know, the spot market is very volatile and is very costly also. So, we have made arrangement of Sulphuric Acid for the six month period till the time our Sulphuric Acid V project becomes fully operational.

Nirav: But the number of 1,75,000 tons of Sulphuric Acid requirement is pretty near to what we have actually consumed in Q2 or the figure is slightly different?

Management: It depends upon the production of Ammonium Sulphate and the Ammonium Phosphate Sulphate at this Fertilizernagar complex and Ammonium Phosphate Sulphate at Sikka, Jamnagar. So, depending upon the production over there and here in Fertilizernagar, we procure the Sulphuric Acid.

Nirav: But then government doesn't allow us to build up those cost increases in our MRP's or let us say the subsidy doesn't go up because what we can understand from you that there are only two players who are producing this and being a critical water soluble fertilizer for the farmers, doesn't this allow us to pass on those cost increases to the customers or to the farmer?

Management: See, we are in the competitive market. We have different grades of water soluble available in the market. Yes, we get the subsidy based on the NBS rates for NPKs and we have to move

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that there only the MRP where we function based on competition in the market. So, that is going to remain for all the products which are water soluble.

Nirav: Sir, second question is on, you mentioned that our contracted price for Phosphoric Acid for Q3 was close to Rs.1060 per metric ton. And with the shortage of DAP currently in the market, does it provide a chance for us here to increase the MRP or there is a fair chance that government would increase the subsidy here, so that our per ton margins are not impacted, you mentioned last time that even DAP were making losses at the better level, so if you can help us understand what was the situation in Q2 and how do you see the things forward?

Management: As I told that DAP, in the last interview also the DAP was not a very cost economical thing for us to produce here by purchasing of Phosphoric Acid. So, we have shifted our production to

Ammonium Phosphate Sulphate and other NPK grades at Sikka unit. And as far as the requirement of the DAP is concerned, we have tied up with the foreign suppliers for importing the DAP of 1,25,000 metric tons and we will be receiving quarter 3. However, in Q2, if you have heard my opening remarks, one of the reasons of lesser revenue is that we did not incur any trading of the DAP. So, that was one of the reasons. So, that is why our revenue turnover was 13% below on Y-o-Y basis.

Nirav: Because the Rs. 3,500 per metric ton increase in the subsidy was effective October, was Q2 being and still at a loss at the EBITDA level for the DAP?

Management: No, it is effective from 1st April if I am not mistaken.

Management: This 3,500 is effective from 1st April to 31st December 24 and one more circular came from the DoF for compensating the loss if anything due to the import of the DAP that is effective. I think that came from 1st of October and if whatever import we are doing and if there is any loss incurred by the company, then this will be compensated by the government.

Nirav: That is on the trading only, but on the manufacturing side, this subsidy increase of Rs.3,500 will take care of our profits or still the profits are not at the reasonable level?

Ma

Management: Profits are not at the level. That is why I told that we shifted already to the APS production in place of DAP. That is as simple as this.

Nirav: And sir, last question from my side is, on the Urea part, how much we are currently losing at the EBITDA per metric ton level. And once that energy conservation measure is implemented, which would reduce our Gcal per metric ton. How much of this EBITDA per metric ton could be recouped?

Management: With regard to the Urea, as everybody knows that the government has not implemented or revised the fixed cost and the fixed cost is based on the company wise for each industry. So, that is the portion because variable cost is being passed through. So, that is the portion which Gujarat State Fertilizers & Chemicals Limited

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affects every company. So, ours is also the case where we get hit about Rs. 1,000-Rs. 1,200 per metric ton on the EBITDA side.

Nirav: And this energy conservation measures what we have been implementing or is in the process of getting completed, would this Rs. 1,200 per metric ton would help us to save some of the fixed cost because then our Urea capacity is also going up. So, is there any chance of us recouping some of this EBITDA per metric ton loss?

Management: That will also do some sort of help in respect to covering up this differential. Over and above, government is also in the process of revising that and they have asked for the data of the fixed cost from all industries. So, they are in the process and once they get completed over with that process, they might come up with increase in the fixed cost per metric ton part also. So, that process is all and we have already submitted that data for the same and let us see once they come up with their calculation and finalization of the increase in fixed cost.

Moderator: Thank you. The next question is from the line of Shanmugam, an Individual Investor. Please go ahead, sir.

Shanmugam: My question is slightly on the cost. I see employee costs have short production, sir approximately by Rs. 50 crores. Is there any onetime cost that has an impact or do you expect the same reduction in the coming months as well?

Management: No, this is the onetime cost. Actually what we have provided something because of the pay revision and bonus payment, there were some certain adjustments, but it is not a regular feature. So, it is one type of one time cost.

Shanmugam: There is an entry for Rs. 50 crores, entire is due to that one time adjustment? Let me put it in this way, can I expect the employee cost in line with the previous quarters? This is Rs. 250 crore in 23 and now 30th September 24, the personal cost is only Rs. 185 crores, is that right?

Management: Rs. 250 crore was the earlier in 30th September 23 when we have made the provision, so that is why this cost was higher in the 23 and now it has been reduced to normal level and which is Rs. 185 crores.

Shanmugam: Now, it is going to be the same in the coming months, am I right?

Management: Yes, that is correct.

Shanmugam: And second cost element, raw material cost. I see that there is a drop by 1.5% on a sequential basis. So, in the initial remarks, I understand that we may not sustain in the coming months here and there. If we look at in different perspective, can we at least stick to 63% of material cost in the coming months or it will be like last year it will be 65%.

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Management: No problem, but this raw material cost is increasing trend, I guess as I spoke in the opening

remarks. Main raw material in Sikka is P 2O5, Sulphuric Acid and Ammonia. So, both the cost, if you see it internationally, Ammonia pricing and the Phosphoric Acid pricing is in increasing trend. Anyway, the raw material cost will go up and as our production is higher in this quarter, s

o that is also the impact on the higher raw material cost.

Shanmugam: Is there any value in hearing that we can expect and see to sustain this, to offset the hike in the raw material costs in the coming months?

Management: It is very difficult to say because in the fertilizer the prices are determined by the government subsidy and the MRP both. If there is any increase in the cost, we have to adjust and we are either going to shift the production of other products or we have to absorb the cost. But we manage this through the product mix changes, so that we are keeping it in control.

Shanmugam: That is what I understand from your opening remarks as well. Because of the product mix, we could offset the higher cost. So, in that sense, can we maintain this 11% or at least 10% of EBITDA in the rest of the quarters?

Management: It is 7%-8%, it would remain in the same line.

Shanmugam: What sir.

Management: Sir, you are talking about that EBITDA percentage, no?

Shanmugam: No, what I was trying to say, we do expect the raw material cost just in the coming months that we agree and also I understand from you that there are product mix changes that given good improvement in EBITDA. So, the hike in the raw material cost can be offset by your product mix changes in the coming months, so ideally what you achieved 11% EBITDA can be expected in the coming months, am I right, sir?

Management: We are not getting clearly what you are asking. See what we have said that we will try to change the product mix to recover the hike in the product cost from the mixed thing and that is the best and lower basis we are doing. So, we are assuming that we will be able to maintain our EBITDA margins in that case.

Shanmugam: So, 10% we can expect in the coming months as far as our EBITDA is concerned? Currently, long term 6% is achievement, so even if you look at the hikes in the coming or something, this product mix could help for that and put around 10% can I expect, sir?

Management: We are not able to clearly hear you what you are saying. The only thing which we want to say that our endeavors to see that our EBITDA margin is protected with the change in the product mix in spite of increasing the cost of the raw materials and this will be on the best endeavor

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basis based on the market demand and supply. So, yes, our full efforts will to see that we at least get EBITDA which we have got in this Q2.

Shanmugam: And I understand there is a reduction in power cost that would, I do appreciate cost management for better management, but you said there still there is a room and there is some policies coming out. From next year onwards, there will be good impact, like maybe in May onwards that is fine. With respect to other expenses, sir, I see it is very neutral. It is fixed in nature compared to last year and our sequential basis. Do you see any average room for cost control on these areas or other expenses? You can drill down couple of elements that contributing more than 50% of other expenses?

Management: What I see here, the other expenses are more or less at the same level, in the quarter and as well as in half yearly basis. Quarterly it is around Rs. 234 crores and half yearly, it is Rs. 443 crores. So, there is no difference and we are maintaining the same level of the other expenditure.

Shanmugam: Sir, my last question, on other income, how much of that portion that comes from your investment, sir. I see the balance sheet, you have a huge investment. If I ask you how much portion that could be related to your investment income out of Rs. 150 crores, I remember. So, correct me if I am wrong?

Management: Yes, it is Rs. 150 crore and most of the things, the other income contents is the dividend received from the other companies and the interest on our excess funds whatever

er we have

parked in the fixed deposit or with the bankers.

Shanmugam: So, the entire income from that investment, am I right?

Management: I cannot say it is investment. It is a temporary parking of funds whatever we are having, whenever it is the subsidy or something like that. So, for temporary, we park the funds and we receive the interest on that.

Shanmugam: In the balance sheet, I remember there is a cash equivalent more than Rs. 2,000 crores in the balance sheet. Am I right, sir?

Management: Yes, maybe.

Shanmugam: So, we have huge cash as ideal, do you have any plans to invest in to improve efficiency or to

improve verticals?

Management: Whatever the cash we are having in the balance sheet, it will be used for our expansion project which is lined up as per the investor presentation. Two projects we will be commissioning in the year end. So, Rs. 400-Rs. 500 crores is required to be paid and then after Phosphoric Acid and Sulphuric Acid plant, we are projecting at that costs Rs. 1,560 crores or so and over and
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above the Dahej project, we have already got land and that study is going on and we are immediately starting our finalization of which product and project we will be going to install there. And so whatever the money we are having, it will be utilized for the expansion of the project.

Shanmugam: Sir, what is capacity utilization as of now for the current year?

Management: More than 100%.

Shanmugam: So, all these expenses that you are looking for CAPEX will be effected from the next year or not?

Management: Whatever CAPEX we are having Rs. 565 crores, it will be required to be paid at the year end and afterwards as per the progress in the project, we would be utilizing the fund.

Shanmugam: No, when it will be converted to number, the CAPEX, could be next year and next to January?

Management: Yes, because all these projects are for the captive consumption. So, there will not be a direct one to one link Sulphuric Acid V, whatever this Sulphuric Acid produce over there, it will be consumed internally. So, it will be having impact on our bottom line rather than the topline.

Shanmugam: Sir, last and final, you said that annual guidance in the last concall, I do remember that volume perspective there will be growth of 20%. Hope that we stick to the same number, am I right, sir?

Management: As you said, the growth in that turnover, right?

Shanmugam: Volume based.

Management: Growth in the volume, if you see this quarter, there was some decrease in sales because of the market condition where in next quarter will be improving the sales. Yes, we are projecting still the growth of 20%.

Moderator: Thank you. The next question is from the line of Nirav from Anvil Wealth. Please go ahead.

Nirav: Sir, in earlier discussions, you mentioned that put together everything like HX crystal plant and renewables as well as the Sulphuric Acid and Phosphoric plant, our CAPEX was close to Rs. 2,200-Rs. 2,300 crores put together and I guess we have spent close to around Rs. 250 crores till March of 24. So, if you could just walk us through how much we have spent till first half and what could be the numbers we should look for FY25?

Management: First half, we have spent Rs. 100-Rs. 150 crores. And up to 31st March second half, we will be spending around Rs. 400-Rs. 500 crores because SA5 and Urea-II revamping both the plants are related to be commissioned in March or up to the end of this financial year. So, mostly all
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the payments of final payment will be released up to the current financial year. And as far as this Phosphoric Acid and Sulphuric Acid project is concerned, it is at initial stage, so there will not be any direct impact on the expenditure, but slowly, after the d

etail engineering and the

orders are placed to the detail engineering workers, then after the payment will start because the time period is also mentioned up to March 27, I think.

Nirav: And sir, currently I think based on the production volumes, I think our Phosphoric Acid requirement depending upon the grades we produce is close to around 2,00,000 to 2,50,000 tons in between that. So, how are we currently placed because one that capacity would be commissioned, so before that currently how much we are producing Phosphoric Acid and how much we are currently buying from the market?

Management: Phosphoric Acid is produced at Fertilizernagar, there is no Phosphoric Acid plant at Sikka. What we are having the capital expansion project, the Phosphoric Acid and Sulphuric Acid plant is to be put up at Sikka for meeting the requirement for DAP and other NPK grades of fertilizers. So, presently, there is no Phosphoric Acid plant at Sikka unit. All the material is purchased from the foreign suppliers. As far as the Fertilizernagar complex is concerned, we are getting some Rock from this RSMMS member and we are also procuring rock phosphate from the foreign suppliers and then the PA plant here.

Nirav: Sir how much is our current PA production, sir, if you can share?

Management: In Baroda, it is around 60,000 metric tons per annum.

Nirav: And for that Rock phosphate, what you mentioned, we either import or source something from the domestic market, correct?

Management: Yes.

Nirav: And sir, last question is on, you mentioned last time that Baroda complex consumes close to around 75 to 80 MW of power and like 40% is from renewables. Rest we are currently buying it from the grid. So, has there been any reduction in the grid cost or are we increasing our renewable energy because I think you mentioned that GIPCL is going to commission in June 2025, something close to around 75 MW of solar power plant. So, how the power mix would look like once that supplies from GIPCL commences and any cost reduction in per unit basis, what we have seen from our power buying from the grid?

Management: So, there are two plants we are proposing, one is at Charanka, solar power plant of 15 MW. That plant is commissioned by, I think by the end of this financial year. So, that whole 15 MW we will be receiving for our own consumption, however, GIPCL for 75 MW plant, 50% of the electricity will come to us and 50% will go to GACL, the other partner. So, in case of GIPCL, our share is 37.5 megawatts. So, there must be some power saving because after this we start receiving the power, then we will come to know what is the rate and what is the sort of charges
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they are coming. But certainly it is cheaper than the current power being purchased from the grid.

Nirav: And the grid cost is what close to Rs. 10 a unit or it is lesser than that?

Management: It is, I think Rs. 8-Rs. 9 per unit.

Nirav: Sir similarly, if you can also help the power consumption in MW for our Sikka plant and how we are placed there?

Management: Sikka consumption is quite less compared to Baroda unit and presently, we are drawing the power from windmill and second from the grid because Sikka operation depends on the availability of Phosphoric Acid and Ammonia. So, it is very important to how to do this thing. And what are the project power cost you get is the weighted average, so from Sikka and Baroda, both in the balance sheet.

Nirav: But any idea on the total power consumption at Sikka?

Management: 812 MW if it is over 100% capacity, so it is based on the change in capacity as our consumption reduces.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor: Sir, for our Industrial Chemical segment, if you could give us some more color what is the

market scenario currently? And I think we were looking to move more downstream products for caprolactam, so where are we in terms of penetrating or improving our product basket?

Management: As you know that the IP segment or chemical market is very sticky, it is still not out of woods and there is very cheap material available from the China or other foreign countries. So, we have to complete the cheaper material and cheaper pricing of the caprolactam as well as melamine in the Indian market. However, we are taking some action. For the caprolactam, we have commissioned this HX Sulphate Crystal plant. So, HX is one of the intermediate for producing the caprolactam, it will go for the production of HX Sulphate Crystal plant and that is 20 metric ton per day capacity and that has been commenced from 11th October. The per annum capacity of both the plants I and II comes to around 10,000 metric tons per annum. So, near about the topline will increase by Rs. 125 crores and being a good margin product, we expect around 30%-40% margin in this HX Crystal field. So, that will reduce the caprolactam availability in the market. So, we will be benefited by this and the new product HX Crystal which is 100% imported presently in India, nobody else is manufacturing. So, GSFC is only manufacturer of this new product. So, being a foot forward for the Atmanirbhar Bharat, so that is a good step that the company is having.

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Saket Kapoor: Sir, can you come again for the number or what will be our annual savings with this commercial production of HX Crystal plant?

Management: Sir, I told the topline will be Rs. 125 crores on per full capacity per annum basis and 40% and Rs. 25-Rs. 30 crores bottom-line will be improved.

Saket Kapoor: And when can we see the plants?

Management: So, sub segment, whatever we are having the breakeven or some few crores loss that will be wiped out.

Saket Kapoor: And when we will be achieving the optimum utilization levels or ramp up how much time it will take?

Management: Although we are operating at more than 100% capacity already, the second one is

commissioned on 11th October and it is near to 90% or 95% capacity utilization and I am sure in the next month or so, we will be achieving more than 100% capacity in that plant also.

Saket Kapoor: Sir, secondly, for the fertilizer segment, I think so with Rabi season buying, I think so in the anvil, what kind of volume growth are we anticipating going ahead for Q3 and Q4 and what should be the trend going ahead since for fertilizer we have more visibility than the industrial product?

Management: In case of fertilizer for let us say, Rabi Q3, Mr. Bajpai has said in his opening remarks that we will be sending around 5,00,000 ton of the fertilizers, yes we will be meeting that and maybe surpassing that because Rabi is in full swing now. But from January to March the fourth quarter is always the main reason for this thing, and mostly goes to the stocking levels in field, so it will depend on the prices of PA and Ammonia at that time, how much we produce and how much we put in the stocking at the field level. You have a growth, but we have indicated growth in the volume should be there.

Saket Kapoor: And our Rs. 1,500 per ton EBITDA numbers is also, we should hold on to that?

Management: Yes.

Saket Kapoor: Sir, we have seen the our raw material price trends, employee cost, these things remaining stable and also your presentation also speaks for the same. So, going ahead, do you think that these line items, the vagaries of raw material are now behind us and we can look at these price trends to remain in the similar way?

Management: On the international prices of all the raw material is very volatile, as you might have seen, this current crisis, International crisis, war between the countries and R

ed Sea crisis. So, this may

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impact the features in the area of the raw material availability in India and also the pricing. So, it is very difficult to say what way it will go.

Saket Kapoor: But sir, when we look at the key input cost movement, even year-on-year or even barring the June quarter, with most of the imported phosphorus, ammonia, natural gas, benzene prices have remained in a band only. Sir, correct me there, sir when we look at the key input cost movement, slide number 5. So, slide number 5, it speaks in that manner. That was the reason why I came to that conclusion?

Management: This is the slide only depicting the calculation and benzene spread. So, #5 slide of the presentation, so the Capro-Benzene spread and I have told that it has been reduced to \$620 from \$673 year back on September 23. So, Capro-Benzene spread is reduced and let us hope for the best that some improvement will be there in the next quarter or so, but we are not very much hopeful. That is why we are taking this step to divert the caprolactam, reduce the caprolactam production and divert the material for the new product called HX Crystal. And we are also importing direct Anone, so that that Anone can be directly fitted in our caprolactam 1 plant. So, the benzene consumption will be lesser because if you see the benzene pricing, it has been increased to 23% on year-to-year basis for the quarter. So, benzene price is very volatile. In comparison to caprolactam, benzene price is much higher. That is why the spread gets squeezed.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Management: Thank you for patient listening and I hope that we have given the satisfactory reply to all the investors who have posed the questions on the working of the company and we will meet again after 3 months after this third quarter in January next year. Thank you very much.

Moderator: On behalf of Anurag Service LLP that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

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CIN : 199999CJL962P1C00112 1

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National Stock Exchange of India Ltd.

'Exchange Plaza', C/1, Block G

Bandra-Kurla Complex

Bandra (East), MUMBAI - 400 051

SYMBOL:GSFC

Dear Sir / Madam,

ED.: Transcript of the Investor ConCall held on Tuesday, 11th February, 2025

We refer our submission vide letter dated 4th February, 2025 wherein the intimation was made that the Conference Call with Analysts is scheduled on 11th February, 2025 from 3:30 pM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

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"Gujarat State Fertilizers & Chemicals Limited

Q3 FY '25 Earnings Conference Call"

February 11, 2025

MANAGEMENT : MR. S.K. BAJPAI – SENIOR VICE PRESIDENT , FINANCE

& LEGAL AND CHIEF FINANCIAL OFFICER – GUJARAT

STATE FERTILIZER & CHEMICALS LIMITED

M R. S.V. VARMA – EXECUTIVE DIRECTOR,

AGRIBUSINESS AND HUMAN RESOURCES – GUJARAT

STATE FERTILIZER & CHEMICALS LIMITED

Gujarat State Fertilizers & Chemicals Limited

February 11, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Gujarat State Fertilizers & Chemicals Investors Conference Call hosted to discuss Q3 FY '25 financial performance. This call is hosted by Anurag Services LLP on behalf of GSFC. From the management, we have Mr. S.K. Bajpai, Senior Vice President of Finance and Legal and CFO; Mr. S.V. Varma, Executive Director, AB and HRS; and other senior management members from the management.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S.K. Bajpai, Senior Vice President of Finance and Legal and CFO from GSFC. Thank you, and over to you, sir.

S.K. Bajpai: Okay. Thank you. So we are pleased to welcome you to the earnings conference call of GSFC.

We appreciate your participation in the GSFC quarter 3 post results conference call. I trust that you have reviewed our findings and other presentations that have been posted on our website as well as to the stock exchanges. The company demonstrated strong revenue growth, improved efficiency, higher production and strategic product mix optimization, reinforcing its competitive position in fertilizer and industrial segment in quarter 3 and 9 months for financial year '24-'25. If you see consolidated figures for quarter 3 and 9 months, top line growth of 40% Y-o-Y in Q3 and 6% in 9 months. PBT increased by 16% and PAT increased by 13% Y-o-Y in Q3.

Consolidated 9-month Y-o-Y PBT was lower by 1% and PAT by 4%, but from stand-alone point of view, 9 months Y-o-Y PBT was up by 3% and PAT by 2%. If you see production and sales of fertilizers, fertilizers output rose by 23% Y-o-Y in Q3, around 77,000 metric tons and 18% Y-o-Y, in 9 months, that is 1,98,000 metric tons.

Sales volume also increased by 25% in Q3, 1.254 lakh metric ton and 5% in 9 months, that is 75,000 lakh metric tons. Basically due to negative cost economics of DAP production, company imported 1.27 lakh metric ton of DAP, around INR758 crores of DAP to satisfy Indian DAP requirement.

However, imported DAP did not provide any margin to the company. The company also faced challenging cost environment due to rising prices of essential raw materials such as sulphur, sulphuric acid and P205. The P205 prices in Q3 had risen from \$948 per metric ton to \$1,060 per metric ton.

Additionally, the significant depreciation of INR that has also impacted production and imported cost. Capro-benzene spread declined from \$674 per metric ton in quarter 3 last year to \$588 per metric ton in the current quarter, reducing profitability in this segment. However, the company effectively mitigated these cost pressures by optimizing its product mix towards more profitable fertilizers and industrial products and increasing capacity utilization.

Further, reduction in natural gas prices, 10% in quarter 3 Y-o-Y and 1% in 9 months Y-o-Y provided some relief, helping to offset the rising cost of other raw materials. Subsidy rates for P&K fertilizers were lower on 9 months Y-o-Y basis, but the company successfully navigated Gujarat State Fertilizers & Chemicals Limited

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the situation by boosting production and sales volume, ensuring operational efficiency and strategically positioning its product in key markets.

In the upcoming quarter 4 '24-'25 with favourable conditions reported for Rabi crops across major states, the country is called for another strong harvest season. However, the fertilizer industry faces challenges due to price constraints, global supply conditions and subsidy structures impact

ing production and imports.

The company's focus will be on optimizing sales opportunity and ensuring strategic stock placement for the upcoming Kharif season. Considering the market dynamics and planned annual shutdown of key fertilizer plants such as ammonium sulphate, ammonium phosphate sulphate, ammonia and energy revamp exercise in case of urea, we have a target to book sales in the range of 3 lakh metric ton to 3.25 lakh metric ton in quarter 4.

In the Industrial Products segment, the demand of our major industrial products from various application sectors is likely to remain stable to firm during the next quarter. However, passing for major industrial products is likely to be affected by cheap Chinese imports. Overall, the company expect a stable demand and turnover in the Industrial Products segment in the coming quarter.

As you are aware, we are debt-free organization with a strong balance sheet and robust liquidity position. This financial strength is supported significantly by the government's proactive approach in ensuring the timely disbursement of subsidies. We have received subsidies for imported P&K fertilizers up to December '24, while the subsidy for Indigenous P&K and urea have been received up to the second and third week of January '25, respectively.

The organization is adhering to its strategic objectives. With regard to capital expenditure, it is anticipated that Sulphuric Acid V project and Urea-II Revamping project will be operational at the end of current fiscal year. I would like to express my gratitude for your patience in listening to my overview.

Yes, we will now commence the question-and-answer session. Thank you.

Moderator: The first question comes from the line of Nirav Jimudia from Anvil Wealth.

Nirav Jimudia: Yes. Sir, I have few questions to ask. So sir, based on your opening remarks like on the fertilizer side, we have clocked close to around 23% manufacturing volumes and if we include trading, I think it is around close to 25% volume growth. So sir, is it possible to A, break down the PBIT what we have clocked on the fertilizer segment in Q3 between how much we have done on the manufacturing side and how much on the trading side, A?

And also if you can share like with now urea revamp project getting close to commissioning, was urea profitable in Q3 of FY '25 and with this commissioning of the urea plant, what sort of improvement we could see in per ton margin for urea?

S.K. Bajpai: Fertilizer output rose by 23% in Y-o-Y. So in quarter 3, there was lesser output in comparison to quarter 2 because of the availability of urea from the government side. But APS at Sikka Unit Gujarat State Fertilizers & Chemicals Limited

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and ammonium sulphate at HO or Vadodara Unit, we have increased the capacity and fertilizer production was higher.

As far as profitability is concerned, we generally do not share the profitability product-wise because of this some other subsidy issues and all. So whatever we have presented in our publication and the investor site, that is available.

Nirav Jimudia: Correct. But sir, on the urea side, if you can share whether it was profitable in Q3 and with this revamp project getting close to commissioning, what sort of improvement we could see on the EBITDA per metric ton? Because if I'm not wrong, our Gcal per metric ton could see 0.70, 0.75 Gcal per metric ton.

I think currently we are close to around 6.5, and with this revamp, we could go close to around 5.8, 5.85. So what sort of benefits could accrue to us with this urea plant getting revamped?

S.K. Bajpai: Yes, urea, there is a little margin available. There is no problem as such and the plant is expected to be commissioned in the coming quarter. And then after we come to know how much energy reduction will be there, but we are sure that whatever norm is set up by the government, we will be achieving that.

Nirav Jimudia: C

orrect. Sir, generally, if we see last Q4 also in terms of the fertilizer demand specifically for our AS and ASP, it's generally weak and if I'm not wrong, last year, you mentioned that we have to offer some sort of discounts also in order to place our volumes. I think what we have reported in terms of PBIT for this quarter is close to around INR2,500 a ton in the fertilizer segment combining everything, all the volumes.

So if you can share that how is the situation in Q4, whether still we have to provide some sort of discounts in Q4 to place our volumes or the intensity of discounts would be lesser and we could report a better profitability because last year in Q4, fertilizer segment has a loss. So if you can share your views here?

S.K. Bajpai: Actually profitability in the quarter 2 was basically due to the dividend received around INR100 crores that has boosted the profitability of the company in quarter 2, which is not available in quarter 3.

Nirav Jimudia: No, no, sir, I'm talking about Q4 to Q4 of last year. So like the upcoming quarter of Q4, where because of the seasonality issue, last year Q4, you mentioned that we have to offer some sort of discounts in order to place our volumes. So like how would be the intensity of discounts in this Q4, because last Q4 because of this discounts and everything, we had to suffer the losses on the fertilizer side. So if you can just help out with this?

S.K. Bajpai: No, in the quarter 4, I don't foresee any discounts will be there. So we have the limited stock and that has been strategically placed in the market and we have taken the shutdown during the lean season of the fertilizer sector as a whole, the quarter 4, we have taken shutdown of various fertilizer plants like urea, APS, ammonium sulphate. So whatever fertilizers we are having in the stock and little production during the quarter 4, we are specifically placing.

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And our marketing department does not foresee any increase in the discount. So profitability will be remaining same as in the quarter 3. So if we correctly remember, quarter 4 last year was not a very good quarter, around INR25 crores of profit was reported in quarter 4 last year. So this year, we can expect the better performance in quarter 4.

Nirav Jimudia: Got it. Got it. Sir, second question is on the HX plant, which we recently commissioned in October. So if you can share your views on the same like how much the production and sales in Q3 and possibly if you can share the profitability or the EBITDA contribution from this particular product would be very helpful?

S.K. Bajpai: Yes, the HX plant is now stabilized after initial trouble and now it is stabilized at the rated capacity of 20 metric ton per day. So earlier we are having the one plant, HX-1 Crystal plant

that is having the capacity of 10 metric ton per day. So totalling, we are getting 30 metric ton per day capacity. So there is no problem as such now and we are regularly getting this capacity, even some times surpassing the 100% capacity also.

As far as profitability of this product is concerned, we are quite comfortable. I cannot show the exact number because it is just the initial stage and we are searching the market and getting the export substitution to penetrate in the market, but we are quite comfortable in the contribution side also because as you know in the caprolactam, the capro-benzene spread is reduced like anything and there is hardly any contribution.

So we are switching the contribution -- production of caprolactam to HX Sulphate plant.

Nirav Jimudia: Correct, correct. And sir, given the kind of the spreads and the prices you have mentioned in the presentation for caprolactam, with current level of benzene prices of close to \$950 to \$1,000 a ton. Hypothetically, is like the prices of above \$1,700 would help us to start making profits on the caprolactam side or the breakeven price for us is slightly higher than that?

S.K. Bajpai: So breakeven is just about \$1,600 if we can say the caprolactam during breakeven. So little improvement in the caprolactam pricing will suffice us to breakeven in the caprolactam.

Nirav Jimudia: Got it. And sir, last question on the sulphuric acid side. Sir, if we just do some math and in terms of our production of AS and the other products in this quarter, I think our quarterly requirement of sulphuric acid comes close to around 1,75,000 tons, 1,80,000 tons. So given the kind of price increases we have seen on the sulphur side and sulphuric acid prices also and being used in the ammonium sulphate fertilizer.

Do we have some leeway in terms of passing on these cost increases in the market or we have to absorb this cost and we can't pass on these cost increases to consumers?

S.K. Bajpai: Largely sulphuric acid is produced at Vadodara Unit where we use in ammonium sulphate. So the requirement of sulphuric acid in Vadodara Unit is met by our own production, which is quite competitive. And sometimes we are having the requirements, which is fulfilled by the long-term arrangement with the parties. So whatever the increase in the sulphuric acid prices there in the market, our production of ammonium sulphate or ammonium phosphate sulphate is not impacted.

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Additionally, we are going to capitalize Sulphuric Acid V Plant and after that, we will be having the surplus Sulphuric Acid is required to produce ammonium sulphate. So we can go in the market and sell our product after getting the production from Sulphuric Acid V Plant.

Nirav Jimudia: Sir, last question from my side, like given the kind of profitability what we have seen on the industrial product side, are there any cost measures being initiated at the company level given the kind of current prices of Capro, Melamine, and other products or let's say, are we introducing any other new products, which in a way could help us to again come into the profits from the losses what we have been reporting on the industrial product side?

S.K. Bajpai: Yes, we are taking 2, 3 steps. One is that we are importing Anone, because imported Anone is cheaper than our own cost of production in the Anone-1 plant, which is very old plant. So we are replacing Anone from the Anone-1 plant by the imported Anone. It is quite cheaper so that it provides a little cushion in the caprolactam production cost. Second alternate that we are reducing the caprolactam production and diverting this HX to HX Sulphate plant.

So that the caprolactam lesser is available for the market. So that 2, 3 measures we are taking, but otherwise it is mainly dependent upon the international pricing of benzene and the caprolactam and we cannot do much. Till the time we have the positive contribution, we will continue the production.

Moderator: The next question comes from the line of Vaibhav Seth, an Individual Investor.

Vaibhav Seth: Yes. My name is Vaibhav Seth. I'm an individual investor. My question is regarding -- there are 2 questions. One is for EPS. As per the result, it is reported that EPS as on 31st December '24 is INR13.03, right?

S.K. Bajpai: Yes.

Vaibhav Seth: So can we expect for the quarter 4 result, the EPS around INR16? And second question is, sir, where -- as per the government circular issued in the year of 2023 regarding various corporate action, when shall we expect that kind of corporate action apart from the dividend, which you are giving 30% of the net profit? Please, sir, answer.

S.K. Bajpai: The EPS is reported annualized 9-month is INR17.22, so which is surpassing your expectation of INR16, what -- if I correctly heard from your question. So there is no problem achieving that EPS what you are expecting from the company. I could not understand the second question. Can you please repeat?

Vaibhav Seth: A

s per the circular from the Gujarat government in the year of 2023 for announcing various kind of corporate actions regarding bonus, buyback and all that kind of corporate actions.

S.K. Bajpai: Yes. Gujarat government circular is there and at appropriate time, our Board is taking the appropriate decision, like you have seen already...

Vaibhav Seth: We are hearing the same answer last since 2 years. So when can we expect, sir?

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S.K. Bajpai: This is not what I can say you and this is beyond my authority. It is ultimately the Board and the Gujarat Government Chief Secretary is our Chairman. So they will take the appropriate action.

Vaibhav Seth: Lastly, when I talk to the Nanavati sir, he has also answered the same way within 12 months, they will decide it. But it's been nearly 2 years. No action has been taken regarding bonus and buyback. Dividend, you are giving 30% as per the circular. That is okay.

S.K. Bajpai: We have the robust expansion plan, as you know, that 2, 3 plants we are going to capitalize within the next 6 months. So there is a lot of -- INR500 crores amount is required to be paid to the suppliers. So this is one of the main reason when considering the dividend payment or any other bonus or any other measures what you are expecting from the company.

But after this the -- after year-end, I think the capitalization will be over and then at the time of making the dividend payment, the Board will take the suitable decision.

Vaibhav Seth: You mean 31st March '25 or '26?

S.K. Bajpai: '26.

Vaibhav Seth: '26.

S.K. Bajpai: Yes, yes.

Vaibhav Seth: '26?

S.K. Bajpai: '26.

Vaibhav Seth: Yes. So after that, there will be no expansion in pipeline, right?

S.K. Bajpai: Yes, there are expansion in pipeline. So 1-2 project, we will be capitalizing in the -- this '25.

And multiple project, we will be capitalizing in the second half of '25. So I think that afterwards, we will look our cash position and the Board will decide suitably.

Moderator: The next question comes from the line of Love Gupta from Counter Cyclical Investments.

Love Gupta: So my question was also regarding this Gujarat government issue order. And like by when can we expect a statement or a like indication of buyback or bonus share based on the order?

S.K. Bajpai: That I've already replied that because of our capex plan, robust capex plan, we require some money to be expended for the growth of the company. And after 1 year or so and all our expansion -- current plans are executed and then after Board will decide suitable action in the year '26.

Moderator: The next question comes from the line of Vivek, an Individual Investor.

Vivek: My question was also regarding the buyback regarding the Gujarat government's notification.

You are our voice and I think you should take our voice to the Board also that many investors are asking the same question regarding the April '23 notification of the government of Gujarat

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regarding buyback. Sir, with regard to this, I'll further add you have told that INR500 crores need to be paid. There are certain capital expenditure.

But I'll bring your notice to the fact that we have investments of around INR7,000 crores and further cash and bank balance of INR2,500 crores. So that is a hefty amount, sir. And as per your voice, only INR500 crores need to be paid to the expansion portion. So again, I'll request that we investors should be rewarded by the Gujarat government's notification issued in April '23, sir. So I think you should take our voice to the Board also.

S.K. Bajpai: Yes. Yes. Certainly, I take note of your suggestion and I will personally assure you to take your voice to our top management and the Board suitably. Don't worry.

Vivek: Yes, sir, we believe that the investment amount is very heavy. We are a manufa

cturing industry.

S.K. Bajpai: Just whatever expenditure we are incurring it is also for the growth of the company and you will reap the benefit for future days to come. It is not for anybody else. So whatever expenditure, it will provide the quite a lot of efficiency booster to the company and the profitability will be increased by that.

Vivek: Right, sir. But then I'm talking about the investment portion, not the expenditure on the fixed asset portion. Investment portion is also very heavy, sir. So please take our voice to the Board, okay, sir?

S.K. Bajpai: Sure. Sure. Sure.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly, as you outlined to the fact that the current capital work in progress is to the tune of INR500 crores. So if you could just elaborate? As we have -- as you see in our investor

presentation, Page Number 8, it has been mentioned that the solar plant and the Urea-II Revamping project will be capitalized by March. And I think so the Sulphuric Acid I will be done by the first half. This is all that we envisage towards the INR500 crores to be capitalized, sir?

S.K. Bajpai: Yes. One more project is there, that is GIPCL 75-megawatt solar power plant. So there is an investment of INR50 crores equity participation and we will be getting 37.5 megawatt of cheaper power. And that is also expected in the first half of the next financial year.

Saket Kapoor: Okay. And sir, if you could just elaborate, firstly, the efficiencies or the benefits on the cost front that the urea revamping and the solar power addition will add to and also the volume and the bottom line getting positively impacted by the Sulphuric Acid Project?

S.K. Bajpai: As you see, Urea-II Revamping project is for the meeting the energy norms of the government. So by reducing the energy norms by 0.5 kilocalories, the reduction of the cost will be there for the company also. So I cannot just now in a position to give exact financial benefit. But roughly what I remember is it will be impacting INR30 crores to INR35 crores of the cost reduction in the urea plant. Another Sulphuric Acid IV -- V Plant, 1,98,000 ton per annum.

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So you know the sulphuric acid price in the market, it is very aggressive. So whatever the captive consumption we are using the sulphuric acid, half of or 1/3 of the production of the Sulphuric Acid V directly available in the market to sell and there is a good margin. As far as solar power and this solar power at Charanka is concerned, it is 15 megawatts.

So its cost will be INR3 to INR4 per unit. So it will be in replacement of the costly power presently purchased from the GEB or electricity board. So that will be the cheaper power available to the company. Also, 75 megawatt GIPCL, our share is 37.5 megawatt. So that solar power, this cost will be also around INR4 to INR5 per unit.

So presently the cost of power is INR8 to INR9 per unit. So that will be the benefit company will be getting in the coming years.

Saket Kapoor: Just to put it in nutshell, there will be INR30 crores saving annually for the urea revamp project that will have or a onetime benefit of INR30 crores?

S.K. Bajpai: No, this is the continuous, because this energy reduction will be a permanent feature, so this will be a continuous feature.

Saket Kapoor: And how much have we invested, sir, in this revamping project, total investment?

S.K. Bajpai: It's around INR450 crores.

Saket Kapoor: INR450 crores. And this investment has gone over a period of how long we have been taken to deploy this INR450 crores?

S.K. Bajpai: 3 years.

Saket Kapoor: 3 years.

S.K. Bajpai: Yes.

Saket Kapoor: Okay. And sir, pertaining to the sulphuric acid part, what is our current quarterly requirement of sulphuric acid? And with this plant being commissioned, how will our captive utilization and our

selling into the open market will be what percentage?

S.K. Bajpai: So whatever the requirement presently we are having, we are purchasing 300 metric ton per day. So 40% of this capacity of the new sulphuric acid plant will be available for sale. So that is precisely new Sulphuric Acid V.

Saket Kapoor: Okay. So we will be vertically integrated in terms of our requirement for sulphuric acid will be now met from our own in-house generation?

S.K. Bajpai: In-house generation and the long-term purchase agreement with the other parties. So that is also available at a very competitive rate, not as per the market prevailing rates.

Saket Kapoor: Okay. Sir, as all investors and the stakeholders have been pointing out towards every individual who is invested or has keen interest believes for the right intrinsic value and the right enterprise

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value for an organization like Gujarat State Fertilizers, which itself is a gold mine in terms of the assets it hold, both the operational assets as well as the financial assets.

So we have always seen in past also that government generally hire agencies or the right set of people who can carve out or suggest the right medium by which value can be created for organizations -- as very old organization like ours, which have many legacy cost holdings. And other aspects, which can be unlocked and value creation can be done in the most beneficial way for both the promoters and the non-promoter entities.

So our suggestion to the Board would be to set an agenda by which this value creation exercise can be done where the optimum use of the assets, both the financial asset as well as the physical

operational assets can be done to create the right value for the investing communities. This would be the clear motto, sir. We as an organization have been for the country as a provider of the continuity for fertilizers.

We have also played a key role in the Atmanirbhar Bharat part of the story. But your investors have been lacking behind in terms of the value creation. So there is some gap that needs to be addressed and that we feel, the investors feel need to be done by the right set of people, not correctly to undermine your importance, sir, but there are various, various things which are needed to be addressed by the right set of the team.

So I would request your good self and the other Board members to kindly address our issue to the Board members and also to our Chairman since we are on a recorded line. So this would be giving -- there should be a good opportunity to carve out the right value, the right intrinsic value for investors at large. I hope the management will take care of it -- of what it owes to its investors, sir. And we hope for the continuity of the call.

And I think sir, some more work should be done in terms of better putting more inputs in the -- I think so, the investor presentation, we should look at our competitive data input by other competitors in the market and better definition of the same should be done. These are my basic understanding, sir. And I hope for better times ahead, sir.

S.K. Bajpai: Yes. I noted your suggestion.

Moderator: The next question comes from the line of Nirav Jimudia from Anvil Wealth.

Nirav Jimudia: Yes. Sir, 2, 3 questions. So one, currently, if we see we are producing close to around 80,000 tons of caprolactam. So for this HX plant of 10,000 metric ton, how much would be used for our captive use?

S.K. Bajpai: It is 1:1 actually. So, 9,000, 10,000 metric ton per annum capacity of the HX Sulphate plant. So that will be reduced from the caprolactam availability.

Nirav Jimudia: Got it. And sir, also, if you can share in terms of our total capex for this 1,98,000 tons of sulphuric acid plant, which is getting commissioned this financial year? And also, if you can share like last time you mentioned that the new 1,98,000 tons of phos a

cid and sulphuric acid plant will

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have a capex of around INR1,500 crores. So of that INR1,500 crores, how much we have spent till now?

And the plant which we are going to commission by March '25, how much is the total capex and how much we have spent till now?

S.K. Bajpai: Actually, there are 2, 3 questions you have asked. This Sulphuric Acid V project that will be having around INR250-odd crores, that is in Vadodara. So we're putting the facility to meet the requirement for production of ammonium sulphate. Second question what you have asked the Sikka phosphoric acid or sulphuric acid plant of INR1,500 crores, that is still in the detailed engineering stage. So there is no much expenditure till now.

But till the time we receive the detailed engineering done and the equipment is ordered, then only the expenditure will take place. Your third question was in the 31st March, what will be the expenditure? It is around INR200 crores we will be required to release the fund in the 2 months.

Nirav Jimudia: Correct. So the INR500 crores capex what you mentioned, which needs to be spent, of that INR200 crores will be by March and INR300 crores will be spent in next financial year, right?

S.K. Bajpai: Next quarter or first half of the '25.

Nirav Jimudia: Correct. But that doesn't include that INR1,500 crores of capex...

S.K. Bajpai: No, no, no. That does not include.

Nirav Jimudia: Correct. And sir, last question is like if -- with the commissioning of this Sulphuric Acid V plant of 1,98,000 tons, our total capacity of sulphuric acid will be now close to around 1 million ton?

Moderator: Sir, are you there?

S.K. Bajpai: Just give me a moment.

Moderator: Sure.

S.K. Bajpai: It'll be around 0.8 million -- 0.9 million. Yes.

Nirav Jimudia: 0.9 million. Right. And sir, given the kind of our quarterly production for the fertilizers, how much is our quarterly requirement of phos acid?

S.K. Bajpai: See, phos acid, requirement are there 2 places, Vadodara and Sikka, right? We have a plant at Sikka, where we require around 4,00,000 tons of solution to run the plant at capacity level. And Vadodara is lesser. It is around 1,80,000 tons of solution. So both capacity -- here we have our own plant of PA in Vadodara. At Sikka, we want to establish it that is there.

Nirav Jimudia: Correct, correct. So this 1,98,000 tons would further bring down our requirement of phosphoric acid once the detailed engineering and everything is complete, right?

S.K. Bajpai: Yes.

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Nirav Jimudia: And sir, last question from my side is on the rock phosphate side for our phosphoric acid. So are we in the process of getting some long-term contracts or investing in some of the mines outside India, whereby our requirement of rock phosphate gets addressed or something of that sort? Are we in any discussions with any of the suppliers whereby that requirement could be taken care of?

S.K. Bajpai: Yes, yes, we are scouting for this rock phosphate, and we have made a visit, our executive team along with our MD, visited Dubai to source that and Jordan Rock Phosphate and other suppliers, the major suppliers we have spoken to. And we are quite hopeful rock phosphate availability is certain and there will not be any problem. However, at appropriate time, we will execute the agreement.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

S.K. Bajpai: Okay. Thank you for patient listening, and we hope that we have given the satisfactory replies to all the callers. And thank you once again for joining the call.

Moderator: Ladies and gentlemen, on behalf of GSFC Limited, that concludes this conference. You may now disconnect your lines.

Call: Jun 2025

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

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The Corporate Relationship Department

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SCRIP CODE: 500690The Manager, Listing Department

National Stock Exchange of India Ltd.

'Exchange Plaza', C/I, Block G

Bandra-Kurla Complex

Bandra (East), MUMBAI - 400 051

SYMBOL: GSFC

Dear Sir / Madam,

Sub.: Transcrit of the Investor ConCall held on Wednesday.2l't May. 2025

We refer our submission vide letter dated 9ft May,2025 wherein the intimation was made that the Conference Call with Analysts is scheduled on 2l't May,2A25 from 3:30 PM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.esfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: AI5I42

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"Gujarat State Fertilizers & Chemicals Limited
Earnings Conference Call for Q4 and FY ended
31/03/2025"

May 21, 2025

MANAGEMENT : MR. S K BAJPAI – SENIOR VICE PRESIDENT (FINANCE
& LEGAL) & CHIEF FINANCIAL OFFICER, GUJARAT
STATE FERTILIZERS & CHEMICALS LIMITED
MR. S V VARMA – EXECUTIVE DIRECTOR (AGRI
BUSINESS, HRS & IR), GUJARAT STATE FERTILIZERS
& CHEMICALS LIMITED

Gujarat State Fertilizers & Chemicals Limited
May 21, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Gujarat State Fertilizers & Chemicals Limited. This call is hosted by Anurag Services LLP on behalf of Gujarat State Fertilizers & Chemicals Limited.

From the management, we have Mr. S K Bajpai - Senior Vice President, Finance & Legal and Chief Financial Officer; Mr. S V Varma - Executive Director, AB and HRS and other senior members from the management.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S K Bajpai - Senior Vice President (Finance & Legal) and Chief Financial Officer from Gujarat State Fertilizers & Chemicals Limited. Thank you and over to you, Mr. Bajpai.

S K Bajpai: Thank you, ma'am, and good afternoon, everyone, and thank you for joining the Earning Call of GSFC Limited for Annual Financial Results for Financial Year 2025. It is always great to connect with all of you and share the key updates that we have experienced during the period. I hope you had a chance to review the financial results, media release and investor presentation available on the Stock Exchanges that have also been posted on our Company's website. We are pleased to report a robust financial and operational performance for the Financial Year 2025. If we see consolidated financial result, Y-o-Y basis Financial Year '25 versus Financial Year '24, revenue from operation stood at Rs. 9,534 crores marking a 4% Y-o-Y growth over Rs. 9,155 crores in the previous year. PBT grew by 7% Y-o-Y to Rs. 756 crores while PAT improved by 5% Y-o-Y to Rs. 591 crores.

If you see standalone financial results Financial Year 2025 versus Financial Year 2024, during the current year, our standalone revenue from operation grew by 6% Y-o-Y to Rs. 9,429 crores compared to Rs. 8,932 crores in the last financial year. Profit before tax rose by 11% Y-o-Y to Rs. 740 crores while profit after tax, PAT increased by 9% Y-o-Y to Rs. 573 crores. We see quarterly performance Quarter 4 Y-o-Y. Consolidated revenue for Quarter 4 declined by 2% only Y-o-Y to Rs. 1,922 crores, nevertheless, PBT grew by 239% Y-o-Y to Rs. 89 crores and PAT grew by 194% Y-o-Y to Rs. 72 crores.

In Quarter 4 Financial Year '25, standalone revenue was Rs. 1,907 crores marginally lower by 2% Y-o-Y. Our standalone PBT rose sharply by 251% Y-o-Y to Rs. 77 crores and PAT by 177% Y-o-Y to Rs. 58 crores. If we see quarter-over-quarter means Quarter 4 versus Quarter 3 of the current Financial Year, consolidated picture is like this. Revenue from operation declined 32% quarter-over-quarter with PBT and PAT down by 47% and 46% respectively, primarily Gujarat State Fertilizers & Chemicals Limited
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reflecting the seasonal nature of the fertilizer business as Q4 traditionally marked the off-season period.

If you see standalone revenue from operation fell 31% quarter-over-quarter PBT by 49% and PAT by 51% on similar lines. The improvement in operational metrics was achieved by increased production and sales in the fertilizer business. Fertilizer output rose by 15% from 14.29 lakh metric ton to 16.46 lakh metric ton. Sales volume increased from 19.09 lakh metric ton to 19.88 lakh metric ton on Y-o-Y basis, driven by growth in manufactured APS sales which overcame lower DAP and Urea trading volumes. In Quarter 4, Y-o-Y fertilizer output rose from 3.31 lakh metric ton to 3.47 lakh metric ton and sales volume grew from 3.62 lakh metric ton to 3.65 lakh metric ton.

In Financial Year 2025, the Company operated in a chal

lenging cost environment marked by

elevated prices of key raw materials including Sulphur, Sulphuric Acid and P2O5 along with the steep depreciation of the Indian rupee which collectively exerted pressure on the production and import costs. The Caprolactam-Benzene spread narrowed significantly from \$693 per metric ton in Financial Year '24 to \$578 per metric ton in Financial Year 2025, impacting segmental profitability. Additionally, subsidy rates for P&K fertilizer were lower on a Y-o-Y basis that is Ammonium Sulphate by 28%, DAP by 17% and APS by 19%, further tightening margin conditions.

Despite these headwinds, the Company responded strategically by optimizing its product mix towards higher margin fertilizers and industrial products and improving capacity utilization across key manufacturing units. The softening of natural gas and Ammonia prices in H2 Financial Year 2025 also provided partial cost relief, helping to mitigate the overall impact on earnings.

Looking forward, GSFC Limited enters Quarter 1 Financial Year '25-26 with an optimistic outlook for its fertilizer segment, supported by a favorable monsoon forecast and timely policy

interventions by the Department of Fertilizers. The early announcement of revised Nutrition Based Subsidy, NBS rates with approximately 17%-26% increase in support for DAP and NPK fertilizers, reflects the government commitment to ensure adequate availability and stable pricing ahead of the Kharif season.

While the industry continues to face headwinds from elevated raw material cost and constant global supply of DAP and Phosphoric Acid, GSFC is actively aligning its production and import strategies to maintain market continuity. With coordinated efforts raw-mat availability, the Company is targeting sales of approximately 4.5 lakh metric ton in Quarter 1 of Financial Year '25-26.

GSFC remains fully aligned with the national objectives and is working closely with DoF to meet the distribution target set for the upcoming season.

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The Caprolactam value is expected to remain under pressure in Quarter 1 also with international Caprolactam prices falling below US \$1,200 per metric ton and Benzene prices remaining volatile.

On a positive note, HX crystal output following the commissioning of the HX crystal II plant along with higher Ammonia trading volumes, is expected to continue boosting IP segment performance. Melamine demand from key sectors, laminates, MDF and plywood remains stable in both domestic and export markets. While passing headwinds from Chinese imports persist, overall demand and turnover for the industrial product segment are expected to remain stable in Quarter 1 next financial year.

Turning to the Company's balance sheet, we continue to maintain a robust financial position characterized by the high net worth to total asset ratio and long-term debt free capital structure. This strong foundation enhances our ability to fund planned CAPEX and absorb external shocks with resilience. Our liquidity position has also been supported by the timely disbursement of the government subsidies reflecting a proactive fiscal approach by the authorities. As of date, the Company has received subsidy payments of Urea and P&K Fertilizers roughly up to the second week of April 2025.

The Company continues to advance its CAPEX plans aligned with the strategic growth road map. First is the 15 MW solar power project at Charanka Patan has been recently commissioned. Urea-II revamping project is currently operating at full capacity, guaranteed test is on the verge of completion and it will be commissioned up to the end of this month. Phase-1 of GIPCL 75 MW solar power project that is 25 MW has already been commissioned, and Phase-2 is expected to go live on 31st May 2025. Once fully operational, GIPCL project is projected to deliver annual saving of approximately Rs. 30 c

rores by replacing higher cost grid power with economical

power supply. The Sulphuric Acid V project and PA-SA projects remain on schedule with the commissioning of SA V targeted for completion in its first half of Financial Year 2026.

I would like to express my gratitude for your patience in listening to my overviews. Yes, we will now commence the question-and-answer session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Neerav from Anvil Wealth. Please go ahead.

Neerav: Yes. Good afternoon, sir. Sir, few questions to ask. Sir, first is on the manufacturing volumes of 1.6 million tons, which we have clocked in FY '25 and a growth of around 15% on Y-o-Y basis, so how one should look in terms of overall volumes for FY '26?

S K Bajpai: Volume will remain same or it will improve because now we are utilizing Sikka unit capacity at around 60%-70% and further it will be going to improve because of the availability of Phosphoric Acid in stock what we are having and we are also having the commitments from the foreign suppliers to get the Phosphoric Acid at a competitive price. And overall, the government

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has also promised us that the Company should continue the production of DAP and if there is any loss the government will compensate the losses. So I don't think we have started the DAP production at Sikka unit at full swing, and it will be continued. However, the government notification is still awaited. But this is the best information what I got.

Neerav: Correct. And sir, in FY '25, we had a negligible production of DAP vis-a-vis the capacity what we have and even the subsidy portion was very volatile in terms of the prices of Phosphoric Acid and the rising prices of DAP in the international market. Would it be right to assume that DAP would have a loss of around Rs. 1,000-Rs. 1,500 a ton in our P&L for FY '25 or is the figure slightly higher?

S K Bajpai: Yes, I told you that this is already there in case the subsidy of 20% around in the DAP with effect

from 1st of April. So partly it is compensated, but over and above, if there is any loss then we expect from the government to compensate it. And they are also providing this 4% return on the cost of sales along with GST reimbursement and other things. So I don't think that there is any loss to be booked in the books of the Company.

Neerav: No, sir. I was specifically mentioning for last year.

S K Bajpai: Last year, we had curtailed the production of DAP, and we had only produced minimum quantity. So whatever is the loss, it is Rs. 1,500 per metric ton type of loss what we have suffered, but it is not which hinders the Company's prospects.

Neerav: Got it. And sir, with now you are mentioning about this DAP would be fully compensated to us and you have been starting the DAP production in full swing. Would it be right to assume that for FY '26 that is which is the current financial year we should work with around Rs. 3,000 metric ton of EBITDA per ton for our entire fertilizer business.

S K Bajpai: Yes, because every fertilizer they have shown profitability, but the DAP, if we can say that Rs. 3,000 per metric ton, then this is 4% what government is promising to the Company. So that would be there. I think there is no problem. Overall fertilizer Rs. 3,000 per metric ton will be safer side.

Neerav: EBITDA per metric ton, right?

S K Bajpai: Yes.

Neerav: Correct. Sir, you also mentioned that our Sulphuric Acid plant is going to get commissioned in first half of FY '26. I think initially it was scheduled to start from March, which you have guided last quarter. So with now the availability of Sulphuric Acid would be far better for us and we would have some surplus to be sold in the market and with Sulphuric Acid prices being very strong, how do you see the profitability accruing t

o us based on your calculations of the outside sales volume for Sulphuric Acid?

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S K Bajpai: No, I am afraid that we have mentioned anything that it would be commissioned in March or something like that because it is scheduled completion date is only in September second half of the current financial year. So the progress of the plant is as per the schedule, there is no delay, however, there may be 1 month or so here and there. But there is no delay as far as Sulphuric Acid commissioning is concerned. However, having said that, whatever the Sulphuric Acid is required for the production of APS and Ammonium Sulphate, we have tied up with the suppliers and we have made a long-term contract for the full year basis. As you rightly said that the Sulphur and Sulphuric Acid price is quite high in the market, but since it is a long-term agreement we had executed with the suppliers, so there will not be much impact when we are providing the caps on the pricing of the Sulphuric Acid.

Neerav: Correct, but it is safe to assume that it would surely add to the profitability in FY '26 on whatever volumes we sell in the outside market?

S V Varma: See, Sulphuric Acid is a very volatile commodity, and assuming a price 6 months down the line is really difficult. Yes, if the current trend prevails, it will surely add to profitability.

Neerav: Got it. Sir, last question from my side is on the industrial products. I think we have seen a sharp improvement in profitability sequentially even on a Y-o-Y basis, so with prices of most of our products either similar or slightly lower on a Q-on-Q basis, if you can explain the reason for this improvement in profitability, that would be helpful?

S K Bajpai: Yes, that is correct because the Caprolactam-Benzene spread is very low if you see. So what we have done that HX crystal plant we had commissioned last year, now it is running in full swing. Both our HX crystal plant is running in full swing, producing around 30 metric tons per day. So around 9000 metric tons per annum we will get in the supply of HX crystal. So that will reduce Caprolactam availability in the market and this HX crystal plant is very remunerative and is quite supportive in contribution level and margins also pretty high. One factor is this and second is that Ammonia trading we are doing, so whatever Ammonia we are importing and if there is any requirement from the current, present local requirement, then we supply the Ammonia so that is also one sector which adds into the contribution of IP segment.

Neerav: So is it possible to break it down this improvement between how much would be contributed by this trading of Ammonia, just to get an understanding about a steady state run rate of the industrial product business?

S K Bajpai: It is difficult to tear it down, but what I explained to you, the HX crystal is giving the good margin because it is marketing essentially. I would not like to disclose the actual contribution, what Company is getting and Ammonia also the Ammonia pricing internally if you see is very competitive \$330 or so we are getting good margin in Ammonia source and that added into the profitability of the current quarter in the IP segment.

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Neerav: Sir, last bit from my side. Is it possible to share any outlook on the PBIT margins for the industrial products for FY '26 because they have been very volatile in between the quarters and also on a yearly basis? So with now this HX crystal plant getting operational and working on full swing, is it possible to give some understanding on the profitability of the industrial products for FY '26 given the current scenario?

S K Bajpai: Yes, as you see now that currently the Caprolactam-Benzene spread is hovering around \$578. And I don't know whether this will come down further because

there is no scope now. So

presently Caprolactam prices also going ahead with \$1,200. So it will improve what I see and as you rightly said, HX crystal on full swing for the whole year and any trading of the Ammonia and other products, we will be having a better margin in comparison to the current years that I can say.

Neerav: Got it, sir. Thank you so much and wish you all the best.

S K Bajpai: Thank you.

Moderator: Thank you. The next question is from the line of Vivek, who is an Individual Investor. Please go ahead.

Vivek: I was looking into the balance sheet portion. When I look into the shareholders fund, equity, you have mentioned it, in March 24th, the equity was around Rs. 12,610 crores. Surprisingly, we have earned a PAT, the PAT is positive, then how the equity has reduced in fact? The shareholders fund has been reduced. When there is a PAT, it should have increased how it is reduced. Is there any accounting policy according to which it has reduced?

S K Bajpai: No, I think that you are telling, whatever the profitability is there we are distributing dividend and other appropriation on the profits and moreover there is investment valuation at every year end, so it is a drastic reduction in the investment.

S V Varma: Well, I understand you mean to say that the investment in associates and investment in others you have valued at the market price standing as on 31st March '25?

Vivek: Right.

S K Bajpai: So that has been reduced by Rs. 963 crores. So this is a very high reduction, but it depends upon the market price of the investing Company.

Vivek: That is right. Yes. So my second question was that only that how the investments, you have sold some investments, or the reduction is because of revaluation. So I got my answer that also.

S K Bajpai: Because of only revaluation, we have not sold any investment.

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Vivek: Sir, my second question is whether any news, last time also many investors including me have raised the point about the buyback of shares as per the notification of Government of Gujarat issued in April 23 impact?

S K Bajpai: Presently, all the CAPEX expenditure, we have been capitalizing the projects and in the next 6 months, we will be spending around Rs. 600 crores by the CAPEX payments to the Urea, Rs.

453 crores and Rs. 300 crores SA V. So all these expenditures are available for the CAPEX and does not permit the management, I think that any buyback or such thing can be done immediately, but certainly it is a board call and they will think when the position we are comfortable with.

Vivek: Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Ankur Agrawal from ICP Group. Please go ahead.

Ankur Agrawal: Hello, sir. Thank you for taking my question. Sir, in the investor presentation for the March '25 quarter, you mentioned that the natural gas price was Rs. 38 per CM and the price of Ammonia was around Rs. 39,000 per metric ton, right, rupees. Just wanted to check isn't importing Ammonia cheaper compared to producing Ammonia using natural gas or just wanted to understand how do you decide importing Ammonia versus producing Ammonia using natural gas because in current scenario it seems that importing the entire amount of Ammonia seems to be cheaper compared to producing it via natural gas. So can you share your thoughts on that?

S K Bajpai: Actually Ammonia plant we are having here in Fertilizer Nagar complex. So all Ammonia requirement is made from our own production of the 1350 metric ton per day having this Ammonia IV plant. So we are meeting all the Ammonia requirement from natural gas to be produced natural gas mode and the Ammonia we are producing is consumed in the Fertilizer Nagar complex because there are a lot of Ammonia requirement. However, in Sikka, there is no Ammonia plant, so we have no option to produce also. so we import t

he Ammonia and

Phosphoric Acid for the manufacturing of this DAP and other grade of fertilizers.

Ankuj Agrawal: Sir, while producing Ammonia from natural gas, isn't it becoming costlier at current natural gas prices compared to importing Ammonia directly?

S K Bajpai: No, it is not. The production is still cheaper than the imported Ammonia.

S V Varma: Ammonia production also gives carbon dioxide, which is required for Urea production and other productions also, so standalone basis, you cannot consider that Ammonia has this thing.

Ankur Agrawal: So in the process, carbon dioxide is also used when you are producing via natural gas?

S K Bajpai: Yes.

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Ankur Agrawal: And sir, from which countries are you sourcing Ammonia and are these long-term contracts and how are they indexed? Is there any indexation as such for these contracts? If you can clarify or provide some light on that?

S K Bajpai: We have some long-term MoUs rather than we are not having contracts, but we are floating the tender whenever the Ammonia requirement is there and suppliers are also informing us when they have any Ammonia to be sold. And the pricing is as per the international pricing. So there is no problem. We are getting the regular supply of Ammonia, and our suppliers are meeting to us at the various forum, and we are executing the MoUs.

Ankur Agrawal: Are these majorly coming from the Middle East? Is that understanding correct?

S K Bajpai: Yes.

Ankur Agrawal: Thank you for the clarification, sir.

S K Bajpai: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. S K Bajpai for closing comments.

S K Bajpai: Yes. Thank you for the question and I hope that myself and my team has provided satisfactory answers to them. However, if there is any query or something like that is there, then please contact on the e-mail. We will provide whatever information is needed for having the confidence in Company and Company's Management. Thank you very much.

Moderator: Thank you. On behalf of Anurag Services LLP that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

ffifertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : 199999GJL962P1C001121

NO.SEC/SEITRANS/202514'h August,2025

The Corporate Relationship Department

BSE Limited

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Rotunda Bldg., P.J.Towers, Dalal Street

Fort, MUMBAI - 400 001

SCRIP CODE: 500690The Manager, Listing Department

National Stock Exchange of India Ltd.

'Exchange Plaza', C/1, Block G

Bandra-Kurla Complex

Bandra (East), MUMBAI - 400 051

SYMBOL:GSFC

Dear Sir / Madam,

sub.: Transcript of the investor concall held on Friday. S'h Augst. 2025

We refer our submission vide letter dated 29th July,2025 wherein the intimation was made that the Conference Call with Analysts is scheduled on 26 August, 2025 from 3:30 pM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: A15142

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"Gujarat State Fertilizers and Chemicals Limited Q1
FY '26 Earnings Conference Call"

August 08, 2025

MANAGEMENT : M R. S. K. BAJPAI – SENIOR VICE PRESIDENT (FINANCE
& LEGAL) AND CHIEF FINANCIAL OFFICER , GUJARAT
STATE FERTILIZERS AND CHEMICALS LIMITED
MR. S. V. VARMA – EXECUTIVE DIRECTOR ,
(AGRIBUSINESS , HRS AND IR) GUJARAT STATE
FERTILIZERS AND CHEMICALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Gujarat State Fertilizers and Chemicals Limited Quarter 1 FY 2025-26 Earnings Conference Call. This call is hosted by Anurag Services LLP on behalf of GSFC.

From the management, we have Mr. S. K. Bajpai - Senior Vice President, Finance and Legal and CFO; Mr. S. V. Varma - Executive Director, Agribusiness, HR and IR and other senior members from the management.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone.

I now hand the conference over to Mr. S. K. Bajpai. Thank you and over to you, sir.

S. K. Bajpai: Good afternoon, everyone. And thank you for joining us for Quarter 1 2025-26 Earnings Call of Gujarat State Fertilizers and Chemicals Limited.

It is all with great pleasure to connect with all of you and share the key updates that we faced during the quarter. I hope that you had the chance to review the Financial Results, Media Release and Investor Presentation available on the stock exchanges and also uploaded on our Company's website.

As we see, the consolidated financial performance for Y-o-Y basis, revenue from operations grew marginally by 1% Y-o-Y from Rs. 2,163 crores to Rs. 2,184 crores; PBT rose by 63% Y-o-Y, Rs. 184 crores from Rs. 113 crores; and PAT by 59% Y-o-Y, Rs. 139 crores versus Rs. 87 crores. If we see quarter-over-quarter, then revenue from operations grew by 14%, Rs. 2,184 crores from Rs. 1,922 crores; PBT jumped by 108%, quarter-over-quarter Rs. 184 crores from Rs. 89 crores; and PAT by 93%, Rs. 139 crores from Rs. 72 crores. Quarter 1 marked as a resilient start to Financial Year 2025-26 with stable revenues and improved profitability.

In volume tons, fertilizer production reduced by 40,787 metric tons that is approximately 10% in Quarter 1 Y-o-Y. However, this includes a one-time transfer of 14,435 metric tons of urea towards the revamping project. Taking this into consideration, the production reduction is limited to 3,352 that is only 1% Y-o-Y due to lesser urea and DAP production. IP production remains stable year-on-year basis. Reported fertilizer sales grew marginally in volume, 2% and estimated stable in volume tons around 4.51 lakh metric tons in Quarter 1 Y-o-Y basis. However, this includes a one-time transfer of Rs. 149 crores of urea towards the revamping project. Taking this into consideration, fertilizer sales would have grown by 1% in value terms and 10% in volume terms in Quarter 1.

On the cost side, raw material prices were mixed. Prices of natural gas and ammonium softened, offering some relief, while costs of Phosphoric acid and Sulphuric Acid saw a sharp increase

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impacting P&K cost economics. Our fertilizer segment delivered a strong EBIT of Rs. 137 crores, up from Rs. 86 crores in the corresponding quarter last year, reflecting stronger operating leverage, favorable product mix, and better cost absorption. This was supported by robust trading volumes, especially in NPK, higher manufactured APS and AS sales, and improved realization in P&K Fertilizers. Urea volumes, however, declined due to stabilization challenges and exclusion of project-related trial sales worth Rs. 149 crores in Quarter 1. The industrial product segment turned profitable with Rs. 25 crores EBIT, added by improved realization in ammonia and HX crystals, even as spreads and core volumes remained subdued.

We continue to maintain a strong balance sheet with no long-term debt, healthy net worth, and adequate liquidity. Our liquidity position has also been supported by the

timely disbursement of

government subsidies, reflecting a proactive fiscal approach by the government. As of date, the Company has received subsidy dues for P&K fertilizers and urea claims raised up to the first and second week of July, respectively. This provides the foundation for advancing our CAPEX roadmap. I am happy to report that 3 major projects were commissioned during the quarter. First one is 15 MW solar power project at Charanka, Urea – II energy revamp facilities, and our participation in GIPCL's 75 MW solar project with our share of 50% i.e. 37.5 MW. These will enhance cost efficiency and sustainability over the long term.

Looking ahead, the progress of the South-West monsoon has been healthy so far, supporting Kharif sowing and agri-input demand. However, rising input costs, especially for Phosphoric acid and DAP, pose challenges for the fertilizer sector. We may see some upward pressure on MRP in the coming months. Policy actions from the Department of Fertilizers will be critical in this context. We intend to pursue a balanced production-import strategy, particularly in DAP and non-DAP grades, to protect margins and optimize fertilization.

In the industrial segment, Caprolactam Benzene spreads are likely to remain under pressure due to oversupply and continued Chinese dumping. That said, demand for Melamine and other key products is expected to remain stable, and we anticipate much better performance in the segment for Quarter 2. With that, I now hand over the call for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from Nirav from Anvil Wealth Management. Please go ahead.

Nirav: Sir, thanks for the opportunity and good afternoon team. Sir, I have few questions. Sir, just to understand like when we produce AS and APS fertilizer, how does profitability fix, so just like the percentage of realization which is a mix of MRP and subsidy, we get certain percentage of this as an operating profit and at the PBT level, so how this mechanism work, let us say, if we take for AS grade which is like MRP plus subsidies close to around Rs. 29,000-Rs. 30,000 a ton, so how the profitability is ensured by the government, something as a percentage of this or is there any other mechanism which is fixed?

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S. K. Bajpai: So, I think the profitability in case of Ammonium Sulphate and Ammonium Phosphate Sulphate is dependent on the cost of the nutrient what we are using in the production of AS and APS.

Actually, for us this P₂O₅ rates are very high, and it is presently around \$1,258 per metric ton.

So, there is no fixed norm that what is the percentage of profit we are earning. It all depends upon at what cost we get this raw material from the international market. As far as Ammonium Sulphate is concerned, we produce here in Vadodara. So, Sulphuric acid, as you see, Sulphur and Sulphuric acid prices are very high. Approximately, 150% has been risen if you compare with the last quarter on Y-o-Y basis. So, really the margins in the case of Ammonium Sulphate have squeezed a lot. And in APS, due to the Phosphoric Acid prices going high, there also we are getting hit in the margin terms.

Nirav: So, sir, last year, you mentioned that on an average we make close to around Rs. 3,000-Rs. 3,500 a metric ton for both these fertilizers put together. How was the scenario in Q1 and how do you see panning out for FY '26?

S. K. Bajpai: As I told you, because of the cost inflation, it is around Rs. 2,000-Rs. 2,500 in case of Ammonium Sulphate we are getting per metric ton.

Nirav: And how do we see for the rest of the year?

S. K. Bajpai: As I told you in the opening remarks, the subsidy is due to be fixed based on the input cost by the Government of India with effect from 1st of October.

ber. So, we are quite hopeful that there must

be some revision because Sulphuric Acid price and Phosphoric Acid price, both have been risen a lot and that is the reason the DAP is not economically viable for us to produce. And there is a lot of shortage of DAP in the market also. So, we hope that the Government will do certain things with certain criteria for fixing the subsidy with effect from 1st of October.

Nirav: Sir, two clarifications here. So, one, let us say for both these fertilizer grades, we produce close to around 3,17,000 tons of volumes. And based on the convergence, I think Ammonia requirement is close to around 85,000 tons and Sulphuric Acid is close to around 1,90,000 tons for this quarter. So, are both these inputs produced captive or do we need to source something from outside market also?

S. K. Bajpai: As far as Sulphuric Acid is concerned, we have the 4 Sulphuric Acid plants, but still the demand of the Sulphuric Acid in our complex due to the Ammonium Sulphate IV new plant, capitalized a year ago, is high. So, the Company is already in the process of establishing Sulphuric Acid V plant, which is due to be commissioned in 2 months from now. So, till now, we are getting the long-term arrangement with the companies who are supplying the Sulphuric Acid at the Baroda complex and as well as Sikka complex for Ammonium Sulphate Phosphate. But after commissioning of the Sulphuric Acid V plant, we will be having the sufficient, the required quantity of Sulphuric Acid for production of Ammonium Sulphate.

Nirav: Plus we would have something surplus also to be sold in the market?

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S. K. Bajpai: Surplus also, it will be transferred to the Sikka unit for APS production.

Nirav: Sir, just wanted to understand from you, sir, out of this 1,98,000 tons, how much would be available for sale in the market after using for captive?

S. K. Bajpai: I do not think so. If the APS requirement in the Sikka, so around 200 or 250 metric tons additional quantity we will be having in the Baroda complex. So, we will be transferring the Sulphuric acid to Sikka unit. But looking at the price, if the Sulphuric Acid price comes down and there is any opportunity that we are getting Sulphuric Acid at Sikka at a lower price, then we can think of going into the market for sale.

Nirav: And sir, any volume guidance you can tell for both these fertilizer grades put together and for a Company as a whole for FY '26?

S. V. Varma: FY '26, the whole year, we are expecting fertilizers in the range of 23-24 lakhs. And APS and this both combined around 10 lakhs.

Nirav: Correct. And this also includes, this 23 lakhs also includes the trading volumes or they are separate out of this?

S. V. Varma: Estimated on a conservative basis because DAP prices are volatile and we are handling Urea for Government of India at Rozi Port, but we could not get much allocation last year. So, we have taken a conservative, this is the minimum which we think. If the trading improves, it will be further increased.

Nirav: Got it. Sir, second question is on the Urea part. So, we had a revamp undertaken in 1st quarter.

So, what was the impact on the sales and profitability in 1st quarter of FY '26?

S. K. Bajpai: No, actually during the quarter, we have commissioned this project on 2nd June. So, commercial production started only after that. So, only 28 days we could get the commercial production.

Otherwise, whatever the production was there during the trial run, so we have transferred to the capital side of the balance sheet. So, during the trial, there is a lot of wastage of the import and all this. So, we are not in a position to say what is the profitability. And as such in the Urea, there is no big margins available. So, it is only, I think if

I remember, Rs. 3 crores only we shifted to the capital cost.

Nirav: Correct. And sir, like currently we have a gcal per metric ton consumption or the group norm of 6.5. I think after this revamp, you were saying earlier that our consumption could go down to 5.75 gcal per metric ton with this revamp. So, let us say, given the current gas prices, what could be the savings which could accrue to us on a per ton basis? Or if you can say that what sort of incremental EBITDA could come to us with this Urea revamp?

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S. K. Bajpai: So, actually, after this revamp, we could get less than 6 gcal energy consumption per metric ton of Urea. So, whatever the targeted energy norm by the Government of India, it has been achieved. And that less conserving of this energy norm, that will provide temporary relief. But I don't know what is the stance of the Government of India, they will fix the energy norms and the subsidy for the GSFC. It is under the proposal of DoF ministry. So, until and unless they notify the energy consumption for GSFC and fix the subsidy accordingly, then after we will be only having some margin.

Nirav: Got it. So, sir, two things here. One, are we allowed to recover the revamp cost which like we have spent close to around Rs. 500 crores for this revamp. So, are we allowed to recover through a higher energy consumption norms A? And B, also there is a proposal to have an increase in the fixed cost compensation by the government. So, your thoughts here?

S. K. Bajpai: Actually, as you rightly said, this energy consumption norm has been achieved. Now, we have requested the government of India that they have not reimbursed any capital cost for revamp. And actually, it is not Rs. 500 crores, it is below Rs. 400 crores. So, we have completed revamping below Rs. 400 crores. So, if they fix the subsidy based on the old energy norms, then we will generate something like Rs. 50-Rs. 60 crores per annum. So, that payback period will be 6-7 years.

Nirav: Correct. Sir, next question is on the chemicals. So, like we have won close to around Rs. 25 crores this quarter, despite of challenging Capro-Benzene spreads. So, last quarter, I think we were at Rs. 94 crores and you mentioned that we had done some ammonia trading last quarter because of which the numbers were higher. So, what was the situation for this quarter, like is this Rs. 25 crores entirely from chemicals and this could be a steady run rate which we should assume or work with, given the current spreads of Melamine and Capro? Or does it also include some proportion of trading from Ammonia?

S. K. Bajpai: No, actually, as you rightly said, this Capro-Benzene spread has been reduced to \$540. If you see the same quarter last year, it was \$582. But it has improved from \$521 in the last quarter. So, if you see the quarter-over-quarter basis, it has improved from \$521 to \$540. So, that is a good sign of improvement, and we have also taken up with the Government of India for anti-dumping duty because a lot of Caprolactam and Melamine is dumped from the Chinese material in India. So, for protection of our local industry, we expect the Government of India will do something very soon, as the tariff war is already going on geopolitical. So, for saving the industry, we are only the producer of Melamine in the country and as far as Caprolactam, we and only FACT produces the Caprolactam but FACT plant, I do not know whether it is continued. Most of the time, they are because of this price war, they are closed. So, we are only the producer of Caprolactam Melamine, and we are patiently waiting for any positive outcome from the Government of India. And as far as information we are having, they are certainly doing something for the anti-dumping duty.

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Nirav: Correct. So, sir, just my question is whether this Rs. 25 crores is the steam trend rate which one should work with going forward given the current spread?

S. K. Bajpai: That is not only the Ammonia trading. Ammonia trading is the basic factor and we continue the Ammonia trading if we get the Ammonia at a good price. So, we import Ammonia and trade and there is a good demand of Ammonia. So, we have the contract in our hand and we will continue to do so in the next quarter or coming quarters also. But also, in the Caprolactam side now, we have developed a new product HX crystal. So, while Caprolactam is not giving any positive contribution, we have shifted some of the intermediate product like HX for manufacturing of HX Crystal. So, during the last quarter, it has also given a very good margin. So, the IP sector has come into positive side and it will continue to do so because these are the permanent plants, HX Crystal and other things like Ammonia. So, I think now, we will have some more improvement in the coming quarter.

Nirav: Sir, last question if you allow. So, on the power side, I think we have been investing a lot on renewables which is also visible in the presentation what we have shared. So, if you can share like for both the complex put together, what is our current requirement of power at both the locations and currently, how much it is coming from renewables?

S. K. Bajpai: So, whatever the requirement of the power is there, more than 50% is coming from green power. Put together this wind mills what we are having and solar projects we are having at Charanka and the one from GIPCL. So, that power 37.5 megawatts we are getting from GIPCL, our sister concern. So, it is a very good and cheap source of power and because of that we have stopped any power requirement or steam requirement from the gases by generating the power from the gas turbine or steam turbine and we have also not reduced our power requirement from the electricity board. So, this all combined together has given a lot of cost efficiency as far as power is concerned.

Nirav: It is visible in our numbers also because our power cost has not gone up despite of the increase in production numbers. So, correct sir. Thank you so much sir and wish you all the best.

S. K. Bajpai: Thank you. Thank you, Nirav.

Moderator: Thank you. The next question comes from the line of Yash with Unify Capital Private Limited. Please go ahead.

Yash: Hi sir. Am I audible?

S. K. Bajpai: Yes, Yash.

Yash: So, in the presentation you have put that there was an increase in P&K fertilizer trading, and I saw the volume also has increased by around 4x. So, can you just give us the breakup of trading and manufacturing revenue wise, what is the breakup? It will be helpful.

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S. K. Bajpai: So, actually whatever trading we had done was in the last quarter for the NPK-10 and NPK-12 grade of fertilizers. So, that is the trading portion and the manufacturing side, we have not produced much DAP. Only a small quantity of DAP has been produced in the Sikka. But all our plants at the Baroda Fertilizer Nagar complex, it is running more than 100% capacity as usual other than the Urea because the revamping project was just commissioned. Percentage wise, if you see that trading is 10% of the total fertilizers.

Yash: It is in revenue wise, right sir?

S. K. Bajpai: Yes.

Yash: And last year, it was comparatively lower, right?

S. K. Bajpai: Yes. Because there was no NPK trade. So, now DAP is not available, so we are exploiting the APS and other NPK grade of fertilizers and it is required for the balanced nutrition to our crops. So, government is also pushing us to provide balanced fertilizer or complex fertilizer as per the requirement of the crops.

Yash: And another question

on sir, regarding the previous participant just asked. So, can you just quantify what will be the power reduction savings by the 2 new plants which we have just commissioned? Annual run rate, what will be the cost savings?

S. K. Bajpai: Urea?

Yash: Not Urea, sir. So, the solar power plant, two plants we have commissioned this quarter, right? So, what will be the annual power cost savings?

S. K. Bajpai: No, actually Urea, this solar plant has been commissioned just now in the last quarter only. So, full impact will be coming in the next quarter. But roughly, we can say that Rs. 20 crores odd

figures we will be receiving by way of reduction in the power cost.

Yash: And just last one. I think this quarter we also had a reduction in your employee benefit expense.

So, can you just like quantify like what was the specific one-off, either it is one-off reason or anything specifically related to that?

S. K. Bajpai: Actually, last year in the same quarter due to the revision of the 4 years revision, we have paid all the, some money to the LIC and for this gratuity and pension funds. So, that was the major factor. Now, it is not coming, this will come only after 4 years. So, at the time of revision, certainly the liability accrues, so we have to pay the deficit in the funds set up with the LICs for the pension as well as gratuity.

Yash: Understood. And just one last thing. Do we intend to increase the production of DAP, like 3-4 years back, we used to produce basically a DAP more. So, considering the import restriction

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from China, basically has put export restriction and there is a shortage of DAP. So, do we intend to increase production in coming quarters?

S. K. Bajpai: No, actually the DAP production is not cost-economical. So, we have tied up 4 segments of DAP from the international suppliers and actually one has already arrived and 3 are in the line queue.

So, enough DAP will be available to the farmers during the season and in place of DAP, we are manufacturing this APS and one idle strain of this DAP production at Sikka unit now, we are proposing to convert it for the fungible production whether we require to produce DAP or APS or other NPK grade of fertilizers. So, we are carrying out the modification very soon. We are approaching the board for the approval and as soon as we get this approval, we will start the work and within short period, we will be converting this facility also for production of APS or DAP. So, in that case, APS production will be doubled whatever we are achieving presently at Sikka unit.

Yash: Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor with Kapoor and Company. Please go ahead.

Saket Kapoor: Yes. Thank you for the opportunity. Sir, keeping in mind our Quarter 1 performance, especially in the fertilizer segment and then with the higher raw material prices, especially Phosphoric Acid and Sulphuric acid, what should we testing in terms of margin per ton going ahead? I think so you gave the volume number of production number and sales for 2.3 million for fertilizer.

S. K. Bajpai: Yes, this is the early what Varmaji is saying that 2.3 million metric ton of fertilizers, we will be producing and selling for the full year. But what I am saying that during the quarter, as you rightly said, the Phosphoric Acid and Sulphuric Acid price were very high. So, it creates some problems in production of DAP and we are also facing the reduction in the margins in case of Ammonium Sulfate and Ammonium Phosphate Sulfate because the Sulphuric Acid price are also very high, as you rightly said. But slowly, I will see that these are in the peak levels now. So, if there is any reduction, it will additionally benefit in our production margins of the Phosphoric and Sulphuric Acid fertilizers. As far as this subsidy is concerned,

because of the

prevailing prices of the Phosphoric Acid and Sulphuric Acid, they fixed the subsidy which is due from 1st of October. So, I presume that the Government of India will take a note of these high prices of the Phosphoric and Sulphuric Acid. And they will pick some higher subsidy for the Phosphoric and sulfur based fertilizers.

Saket Kapoor: Sir, quarter 2 generally, what is the kind of volume uptake we experience for industry? And what are we anticipating for this quarter in terms of volume for the fertilizer segment?

S. K. Bajpai: Around 5.8-6 lakhs.

Saket Kapoor: For the entire entity, for the Company?

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S. K. Bajpai: Yes, as a Company, Q2.

Saket Kapoor: Sir, when we look at these RM prices, which are I think so, all are as per the import parity prices and that are very dynamically changing, why are companies like us, which are government entities, not referring or suggesting a model by which with the variations in the prices, the subsidy mechanism could be created in a formula base so that these ad hoc pains that goes through the companies like us can be reverted into that sense. Since prices, everything is available in public domain, only an automated formula principle can be created, a platform can be created or suggested by which these residues can be removed and prices or subsidies are reset by themselves and not waiting for the government authorities to take note of the same.

S. K. Bajpai: Saket, you are right, but if we see the side of the government, they cannot give the subsidy whatever the price is internationally coming and they are raising the price as per their mercy

because the subsidy is given by the Indian government. So, there will not be any end to it because if they give the subsidy, whatever the price of Phosphoric Acid prevails in the international market or there are few countries which are having these phosphate deposits and they are producing the Phosphoric Acid in big quantity, so then there will not be any end. So, that is the limitation with the Government also because the subsidy budget is limited and they cannot fix like the unlimited disbursement of the subsidy. So, for just checking the things, they are keeping this twice in a year, they see what is the price and then they provide subsidy. I think it is a fair working.

Saket Kapoor: Sir, for Q1, our total sales for manufacturing was 3.64 lakhs and on this we are expecting a tonnage of 5.82 lakhs. That is what you have just answered in the previous question.

S. K. Bajpai: Yes. But total our tariff, if you see the including trading, it is 4.51 million tons, 4.51 lakhs. So, while Mr. Varma is saying it is including trading, that he is saying that 6 lakh metric tons we will be selling in the market but that is including the trading.

S. V. Varma: Yes, total turnover.

Saket Kapoor: And what should be the likely breakup? I am just trying to understand the type of profitability which we have done for this quarter in the fertilizer segment and with the increase in raw material prices, is there any threat to the profit margins in the ensuing quarter or we can maintain these numbers?

S. K. Bajpai: No, we will maintain irrespective of whatever, because we have a lot of, got the material in hand. At least for the quarter, there is no problem. We have got this Phosphoric Acid P₂O₅ in our stock.

So, whatever the price increase, it will be reflected only in the 3rd quarter of the Company. So, we are quite sure that there will not be any hit in the margin. And after this September, as I said that I am pretty sure that the Government of India will certainly revise the subsidy rates.

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Saket Kapoor: Sir, you mentioned for the industrial product that includes some ammonia

a trading? So, can you

quantify for us what was the contribution from Ammonia trading in terms of revenue and profitability?

S. K. Bajpai: Sir, this is around Rs. 20 crores approx margin we have got from this Ammonia trading. So, we are also trading from the Sikka and when the urea plant was in the revamp, we also had the access to Ammonia production. So, that we also marketed a little bit here in fertilizer complex.

Saket Kapoor: That Rs. 20 crores is the revenue contribution?

S. K. Bajpai: No. Margin.

Saket Kapoor: Profitability?

S. K. Bajpai: Yes.

Saket Kapoor: So, out of our segmented profit, we see Rs. 25 crores, Rs. 20 crores is attributable to only the ammonia trading?

S. K. Bajpai: Yes, that is right.

Saket Kapoor: And this is only a one-time phenomenon since our unit was not commissioned, and we have surplus of the same or these factors are not going to continue going ahead?

S. K. Bajpai: No. We will continue as far as this import of Ammonia at Sikka plant. So, we will continue. We have the long-term contact with the suppliers. So, we have the separate quantity for the trading and as per the requirement of Indian market, we trade and provide this imported Ammonia. So, it was a one-off that during this quarter, sometimes the Ammonia stock was full. So, either we have to reduce the load of the plant or where we stock. So, just a little we have traded the ammonia from the fertilizer complex.

Saket Kapoor: No, sir. When we look at your price graph on slide number 6, we find Ammonia prices trending lower or settling lower from Rs. 38,000 metric ton to Rs. 31,000. So, we are carrying stock.

What should one read into this decline from Rs. 38,000 to Rs. 31,000 that we should factor in for the current issuing quarter?

S. K. Bajpai: Actually, Ammonia import is based on the international prevailing prices. It may come down, it may go up little bit here and there. But whatever the contact we are having to supply the Ammonia to Indian market that is based on the delta on the imported price. So, that will never be a loss to GSFC. Even if we are carrying the Ammonia stock or fresh Ammonia we are receiving at a higher price or lower price, so we have fixed the formula like delta over the imported price. So, that we are getting the margins.

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Saket Kapoor: Sir, can you give only one more color, what would be the revenue in that sense because industrial product segment posted revenue quarter-on-quarter is higher, even year-on-year is higher. And you have mentioned that the Caprolactam prices were lower, the spread was lower. So, Ammonia

trading, how much has it constituted to the topline for the quarter?

S. K. Bajpai: It is around Rs. 60 crores.

Saket Kapoor: Only 60 that is 11% or 10%-11% of the total revenue in the industrial product?

S. K. Bajpai: Yes.

Saket Kapoor: And sir, going ahead also in the industrial product segment, I think so March quarter, we did see higher contribution to the profit. So, what were the factors that were reversed, sir, Q-on-Q that led into these profitability going, taking a hit or if you could just give the number of Ammonia trading for the March quarter also, how much margins we earned for the March quarter?

S. K. Bajpai: No, actually one more factor which I tell to you that during this fiscal instruction as on 31st March of the physical stock of the ammonia and the book stock, there was some mismatch. So, we have inflated the stock in the system because physical stock was there. So, that was also one factor which provided a little more margin because it was that the stock material uploaded in the system and that is the reason that you are seeing the higher margins available by way of trading on ammonia.

Saket Kapoor: Sir, I didn't get the last point. Can you please repeat once more about the closing s

tock part, is it

the revaluation aspect which you are mentioning?

S. K. Bajpai: Not revaluation, actually at the financial year end, we check the stock, our statutory auditors, the physical stock versus the book stock. If there is any discrepancy, then we have to utilize, we have to make the, correct our book stock as per the fiscal stock available. So, at certain times, there are so many shipments coming of the ammonia. So, there may be somewhere some more material comes, somewhere there is a gap. So, at the year end, we match the book stock with the fiscal stock and in that process, we have got this stock hiked.

Saket Kapoor: So, that has gone to the profitability?

S. K. Bajpai: Yes, because if we sell that stock, then it will be a total profit because it is zero cost, because cost is already there.

Saket Kapoor: Right, sir. And lastly, sir, on the other expenses line item also, I think so Q-on-Q, there is a significant dip from Rs. 285 crore to Rs. 201 crore. What explains this lowering of other expenses Q-on-Q basis?

S. K. Bajpai: Other expenses?

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Saket Kapoor: Yes, sir. Other expenses line item.

S. K. Bajpai: One of the reasons I told that this urea, a plant was under trial and production. So, as we have shifted this sales value of the 40,000 metric ton of urea amounting to Rs. 150 crores, the same manner, we have also credited the expenses in the revenue side and transferred it to the capital. So, that balance can be met and there is no difference as per the accounting standard. So, we have transferred the expenditure incurred during the quarter for the trial period that is around 2 months. So, that was transferred there. So, that may be the reason that other expenses might be lower in comparison to other ones.

Saket Kapoor: Right. And on the larger project, sir, of setting up of this Phosphoric Acid and Sulphuric Acid project at Sikka, sir, where are we in terms of, where are exactly, at what stage are we, sir, since it will be commissioned by as per your slide number 8, it will be commissioned sometimes in FY '27-28. So, if you could just give whether DPR is done, what is the update on the same, current update on the same?

S. K. Bajpai: Yes, PSA plant, we have got the basic engineering, and we showed the tender for detail engineering and that are under the investigation and negotiation level. As soon as we fix the detail engineering, we will start the activities at the Sikka for this PSA project.

Saket Kapoor: And what is the total cost of the project for both phosphoric and Sulphuric Acid if you could give the breakup?

S. K. Bajpai: No, cost still we are in the negotiation stage. So, it is not firmed up. Earlier, we have estimated around Rs. 1,500-Rs. 1,600 crores for this PSA plant. But after receiving the actual code and commercial negotiation, we will be able to finalize and tell to you what is the real cost of the project.

Saket Kapoor: And for this, sir, what are we doing for the raw material sourcing for both phosphorous and sulfur to get this project viable and also to ensure raw material security? What steps are there being taken or are in the annual?

S. K. Bajpai: As I told you that Sulphuric Acid V plant, we are already commissioning in Fertilizer Nagar. So, whatever the additional we will be having, we will be transferring it to Sikka for this production. Additionally, we have the long-term arrangement of Sulphuric Acid supply from the Hindustan Zinc and other suppliers like Adani who are presently coming in the market with this volume of Sulphuric Acid. As far as Phosphoric acid is concerned, we are getting it from the foreign suppliers. And for PA plant, we require a rock phosphate. So, we have dialogue with the certain parties for securing the rock phosphate supply and it is not a very challenging job. I think at the

time of requ

irement of rock phosphate, we will be having required quantity of the rock supplies.

Saket Kapoor: And last two points that we have some investment in Tunisia, I think so, earlier some JV. So, what is the latest update on the same? Correct me there.

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S. K. Bajpai: In the TIFERT plant, there was a fire in February. So, it is still closed, I think. So, there is no supply we are receiving from the TIFERT presently. But as soon as we have sent two executives from GSFC to Tunisia for getting the feedback to what is the status of the facility to be restarted after this fire. And we will get the information as soon as the plant is started. So, we will restore our supply from this quarter.

Saket Kapoor: As of now, we used to source the rock phosphate on a contractual basis or what was the last consignment or tonnage we received from them?

S. K. Bajpai: No, from Tunisia, we received only P₂O₅, Phosphoric acid, not rock phosphate. So, before 6 months, we received one shipment, but then after the plants were closed, so there was no production and there is no shipment accordingly.

Saket Kapoor: What is our investment sir, the re? How much have we invested in this project?

S. K. Bajpai: It is way back in 2012 or 2013, maybe Rs. 200 crores or figures, we might have invested in the 15% equity in the TIFERT project along with the Coromandel.

Saket Kapoor: And lastly, sir, on the consolidated numbers, when we consolidated our quarterly results here, there is an increase of revenue to the tune of Rs. 13 crores and the bottomline is reduced by Rs.

6 crores. So, can you explain this phenomenon, what goes into consolidation and why the profitability at the PBT level goes down?

S. K. Bajpai: No, because the subsidy impact, we are having our 100% on subsidy GATL. So, if there is any stock lying there, we book as a sale in the standalone accounts. But while in consolidation, that subsidy portion is adjusted. So, that is why the PBT is down. But whatever sale is there of the GATL as a whole, that increases the revenue. So, while consolidating, we adjust the sales and the PBT levels.

Saket Kapoor: I will just go through it again. Thank you for all the elaborate answers. In the presentation part, offline, sir, I would like to give some more suggestions, where in our presentation can be made more addressable to the investor. But a lot of good changes have been made to the presentation and we are really grateful to the management for addressing our request. Some more changes can be made that would make the presentation more addressable going ahead. So, we would look to interact with the team who have prepared the same. So, for my input, sir, if they can be deliberated on.

S. K. Bajpai: Sure, Saket and thank you.

Saket Kapoor: Thank you.

Moderator: Thank you. The next question comes from Saania Jain with Care PMS. Please go ahead.

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Saania Jain: Hello, sir. Thank you for the opportunity. Just wanted to know what would be the CAPEX number this year?

S. K. Bajpai: CAPEX, which is capitalized or under execution?

Saania Jain: Under execution.

S. K. Bajpai: Under execution, today only this Phosphoric Acid and Sulphuric Acid plant at Sikka, which is proposed. So, that CAPEX is around Rs. 1,600-Rs. 1,700 crores what we have projected at the time of proposal. Now, the firm bids have been received, and we are under negotiation, we cannot disclose the price. So, this is the CAPEX available presently. But more stream of DAP at Sikka is proposed to be converted into fungible production facilities like APS and other NPK. So, approximately, Rs. 30-Rs. 40 crores expenditure will be there to convert this DAP train.

Saania Jain: And sir, what about the Sulphuric Acid plant in Vadodara?

S. K. Bajpai: Yes, that is comm

issioned in next month or so, September, October. So, that is around Rs. 340 crores of the plant. So, we will be capitalizing that in the next quarter or in the 3rd quarter.

Saania Jain: And sir, did we experience any inventory gain this quarter in the fertilizer segment?

S. V. Varma: What you are saying? Please repeat.

Saania Jain: Did we experience any inventory gain in the fertilizer segment this quarter and if you could quantify them?

S. V. Varma: Inventory gain?

Saania Jain: Yes.

S. V. Varma: See, in case of fertilizer that subsidies are paid on POS normally and in case of Q1 is already

off-season. So, normally this does not happen, not a major part of anything.

Saania Jain: That is it from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Munzal Shah with NSFO. Please go ahead.

Munzal Shah: Good evening, sir. A couple of questions. One is, a few years back, the Gujarat government had come out with some guidelines for Gujarat-based PSUs with respect to dividend policy and buyback. So, are they supposed to follow those guidelines actually still?

S. K. Bajpai: Yes, sir, because this circular is still in force, so we are actually following it.

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Munzal Shah: Because there was a guideline for buyback also and I think GSFCL was one of the candidates for fulfilling those guidelines actually.

S. K. Bajpai: Yes, as far as dividend is concerned, the last quarter we have said that now the dividend, when it will be paid, the board will decide accordingly. As far as buyback or bonus, whatever the items were there in the circular, our Chairman is the Chief Secretary of Government of Gujarat. So, he knows better. So, whatever the instruction coming from the board for buyback or bonus, suitably applies.

Munzal Shah: And sir, would it be fair to assume that whatever CAPEX you have announced and obviously yet not finalized, okay, but considering improved performance, it would be mostly financed through internal accruals?

S. K. Bajpai: No. 3-4 projects, we have already commissioned and now our money we are having, it is not sufficient to cater the needs of PSU project, which is more than Rs. 1,600 crores. So, let us see whenever we need, we will approach the market for that portion.

Munzal Shah: But you already have more than Rs. 2,000 crores cash in the books and our annual cash generation is close to Rs. 800 odd crores?

S. K. Bajpai: Yes, so that has been reduced quite a bit, Rs. 800 crores. So, now because of the raw material prices going on, other inventory we are piling up for the next quarter production. So, we are not having that much cash, which I can assume that it will suffice for the PASA plant.

Munzal Shah: So, you mean to say the March 2025 cash has reduced substantially?

S. K. Bajpai: Yes, presently it is reduced. I do not know if the subsidy is increased and we received good margin on the fertilizer along with the subsidy, then it will recover / recover again.

Munzal Shah: Sir, last question, one is there is with regards to lot of increase in the fertilizer prices, there is a talk that the fertilizer subsidy will increase substantially this year. So, say by March 2026, do you think that all the companies would be receiving the subsidies or this time there is a possibility that they can be delayed?

S. K. Bajpai: No, I think that whatever the pricing of the raw material is prevailing, the Government will certainly look into and increase the subsidy, especially on the phosphorous and Sulphuric Acid content, P and S. Whatever budget the Government has provided in the budget, so that will be revised, I think, whatever additional is needed, because the agriculture sector and fertilizer sector is of prime importance for the economy and for the government also.

Munzal Shah: In the cash flow perspective, actually, more

from the cash flow perspective, because government

has been repaying subsidies for last couple of years, but this year, there would be a substantial

Gujarat State Fertilizers and Chemicals Limited

August 08, 2025

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increase and considering the cash flows, would they be able to repay on time or there could be a delay?

S. K. Bajpai: No, we are receiving the subsidy well in time, up to the July 2nd week, we have been receiving the subsidies, there is no delay from the Government side, and I hope that this will continue.

Munzal Shah: Sure, thanks a lot, sir.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. S. K. Bajpai for closing remarks.

S. K. Bajpai: Yes, so thank you, participants and I hope that our team and myself have given the satisfactory reply, whatever questions has been posed to us and it is good quarter for us and hopefully good season, rainy season is there, so we will come out with the better results in the coming quarter and till then, goodbye. Thank you.

Moderator: Thank you. On behalf of Gujarat State Fertilizers and Chemicals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

ffilFertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : 199999GJ L962P1C00112 1

NO.SEC/SE/TRANSi2025l8th November,2025

The Corporate Relationship Department

BSE Limited

1st Floor, New Trading Ring

Rotunda Bldg., P.J.Towers, Dalal Street

Fort, MUMBAI - 400 001

SCRIP CODE: 500690The Manager, Listing DePartment

National Stock Exchange of India Ltd.

'Exchange Plaza', C/1, Block G

Bandra-Kurla Complex

Bandra (East), MUMBAI - 400 051

SYMBOL: GSFC

Dear Sir / Madam,

Sub.: Transcript of the Investor ConCall held on Wednesday. 12th November' 2025

We refer our submission vide letter dated 4th November, 2025 wherein the intimation was made that the

Conference Call with Analysts is scheduled on 12th November, 2025 from 3:30 PM IST'

we are enclosing a copy of the transcription of conference call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd"

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: A15142

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Page 1 of 19

"Gujarat State Fertilizers & Chemicals Limited

Q2 FY'26 Earnings Conference Call"

November 12, 2025

M

ANAGEMENT : M R. S.K. BAJPAI – SENIOR VICE PRESIDENT , (FINANCE AND LEGAL) AND CHIEF FINANCIAL OFFICER – GUJARAT STATE FERTILIZER & CHEMICALS LIMITED

M R. S.V. VARMA – EXECUTIVE DIRECTOR , (AGRIBUSINESS , HRS & IR) – GUJARAT STATE FERTILIZER & CHEMICALS LIMITED

Gujarat State Fertilizers & Chemicals Limited

November 12, 2025

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Moderator: Ladies and gentlemen, good day , and welcome to the Gujarat

State Fertilizers & Chemicals Limited Conference Call for Q2 FY '26 Earnings. This conference call is being hosted by Anurag Services LLP on behalf of GSFC Limited.

From the management, we have Mr. S.K. Bajpai, Senior

Vice President (Finance & Legal) and CFO; Mr. S.V. Varma, Executive Director (Agri Business, HRS and IR) and other senior members from the management.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touchtone phone.

I now hand the conference over to Mr. S.K. Bajpai, (Senior Vice President (Finance & Legal) and CFO, GSFC Limited. Thank you, and over to you, sir.

S.K. Bajpai: Thank you. So good afternoon, everyone. Thank you for

joining us for Q2 2025-26 Earnings Call of Gujarat State Fertilizers & Chemicals Limited. It's always great to connect with all of you and share the key updates that we have from the quarter. I'm hoping you had a chance to review the financial results, media release and investor presentation available on the stock exchange s and also on our company's website.

If we see consolidated financial performance on Y-o-Y basis Quarter 2, revenue from operation expanded by 21% Y-o-Y Gujarat State Fertilizers & Chemicals Limited

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from (Rs.2,635 crores to Rs. 3,187 crores. PBT rose by 11% Y-o-Y from Rs. 387 crores to Rs. 428 crores and PAT by 9% from Rs. 298 crores to Rs. 324 crores.

If we see half yearly result Y-o-Y, revenue from operations grew by 12% from Rs. 4,798 crores to Rs. 5,372 crores. PBT rose by 23% from Rs. 500 crores to Rs. 613 crores and PAT rose by 20% from Rs. 386 crores to Rs. 463 crores.

And now if we look quarter-over-quarter, then being the high season for fertilizer segment, revenue from operation grew by 46% from Rs.2,184 crores to Rs. 3,187 crores. PBT jumped by 132% from Rs. 184 crores to Rs. 428 crores and PAT by 134% from Rs. 139 crores to Rs. 324 crores. I think you have also seen these results published, and I'm not repeating the numbers on a standalone basis. But it is more or less similar because, there is no much difference in consolidation and standalone numbers.

The company commenced the second quarter of current financial year with its strongest ever performance, registering total sales of Rs. 3,140 crores, up 20% on a year-over-year basis and profit after tax of Rs. 320 crore, marking 6% improvement over the corresponding period last year. The fertilizer business saw a 21% gain in revenue and increased sales volume from 5.47 lakh metric ton to 6.08 lakh metric ton, including significant DAP trading which was the main driver of growth.

However, due to sharp rises in the cost of imported raw materials like phosphoric acid by 20%, sulfuric acid by Gujarat State Fertilizers & Chemicals Limited

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123% and sulphur by 150%, EBIT moderated to Rs. 224 crores from Rs. 257 crores, offsetting the advantage of increased realization in P&K fertilizers. The 15% drop in urea realization put pressure on margins, although softer natural gas and ammonia prices offered some respite.

The Industrial Products segment registered a strong turnaround with sales up 13% year-on-year basis to Rs. 618 crores and EBIT improving from a loss of Rs. 17 crores to a profit of Rs. 54 crores. The improvement was led by higher sales of traded products such as ammonia and higher production volume of HX Crystal, which overcame the headwinds in caprolactam and other major industrial products. While the caprolactam benzene spread declined from \$620 per metric

ton to \$512 per metric ton. Cost optimization measures and product mix management supported profitability. Overall, the company maintained a healthy

performance in Q2, demonstrating resilience against raw material volatility and sustaining growth momentum across both business segments.

We continue to maintain a strong balance sheet with no long-term debt, healthy net worth and adequate liquidity. Our liquidity position has also been supported by the timely disbursement of government subsidies, reflecting a proactive fiscal approach by the authorities.

As of date, the company has received subsidy dues for P&K fertilizers up to third week of September and urea claims up to third week of October. This provides the foundation for advancing our capex roadmap as detailed in the investor presentation.

The Sulfuric Acid V project is slated to be commissioned in coming quarter of current financial year, providing both incremental capacity and cost efficiency benefits. The project will cater the requirement of Sulfuric Acid for manufacturing of Fertilizers like Ammonium Sulphate and Ammonium Phosphate Sulphate . Further, the steam generated therefrom shall be available for utilization at Vadodara Complex.

Against the backdrop of an ever-normal southwest monsoon and higher minimum support prices for key Rabi crops, healthy demand for agri imports is expected to sustain in the upcoming quarter. The Government has announced an NBS subsidy rates for second half of '25-'26 with a 10% increase in phosphorus and sulphur nutrients, aligning with the rise in the global raw material prices.

The country also enters the Rabi season with comfortable opening fertilizer inventories. During the third quarter, the company is well-positioned to achieve sales in line with availability built up through its domestic manufacturing capacities.

The caprolactam benzene spread is expected to remain under pressure in coming quarter amid oversupply conditions, a prolonged shutdown in China, enhanced US tariffs and continued influx of low-priced Chinese imports, which may keep prices across the nylon value chain subdued. Demand for melamine is projected to remain steady in both domestic and export markets. HX Crystal demand is likely to stay soft in the domestic market, though export volumes are expected to improve. Demand for other industrial product is expected to remain stable during the quarter, though pricing pressure may persist due to cheaper Chinese imports. Overall, the company anticipates a stable demand and turnover in the Industrial Products segment in the next quarter.

I'll now turn over the call for questions and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.

Nirav Jimudia: Sir, first is on our volumes for ammonium sulphate and ammonium sulphate phosphate. So last time when we interacted, you tell us on the conference call that our expected volumes for FY '26 would be close to around 10 lakh tons as against 11.5 lakh tons, which we have clocked in FY '25. So, since we have already done 650,000 tons of volumes in first half, are we revising that guidance in terms of the production and sales volume for both these grades?

S.K. Bajpai: Actually, total volume may be 6.55 lakhs tons. But in the last quarter, there was urea revamp . So availability of urea was lesser. And ammonium sulphate and ammonium phosphate

sulphate, the production is continuous. I don't think any lesser capacity utilization is there. However, Mr. Varma the ED Marketing will give more justification on that.
Sanjeev Varma: You are talking about overall..

Nirav Jimudia: Yes, yes. So even if you can guide for both these grades of fertilizer, what we are expecting for this financial year and also for Q3, that would be very helpful.
Sanjeev Varma: Actually if you see the overall fertilizer, next quarter, we are expecting this quarter, Q3, again, 5.5 lakhs tons to 6 lakhs tons this thing. But Q4 is again a lean season for fertilizers. And that is what we will be we have been a little conservative on that thing. But we are trying to see that our plants are running completely on 100%.
Nirav Jimudia: Okay. Okay. Because, sir, last year, Q4, we did close to around 350,000 tons of manufacturing volumes. So safe to assume that the number would be closer to that 350,000 tons in Q4?

Sanjeev Varma: Yes, yes.
Nirav Jimudia: Correct. Correct. Also, sir, this improvement in profitability on a sequential basis, though on a Y-o-Y basis, it is down on a per ton basis for Fertilizer segment as a whole and you rightly explained because of the increase in the raw material cost. So since the subsidy rates have been revised upwards for phosphoric for the P grade, are we expecting some improvement in the margin for Q3? Or should the similar number holds true for Q3 also?

S.K. Bajpai: There will not be much variation because only 10% phosphorus and sulphur content is increased. So that around 5% to 7%. 7%, in case of DAP increase, which is not a very big increase. However, if you see the prices of phosphoric acid has increased 20% and sulphur, you know that it is 150%. So we are commissioning Sulfuric Acid V project. So, sulfuric acid will be available for production of ammonium sulphate and ammonium phosphate sulphate in Vadodara complex. So that will give some type of relief while the increased price of sulfuric acid and sulphur. So that may have a positive impact on the profit margins of the ammonium sulphate and ammonium phosphate sulphate.
Nirav Jimudia: Correct. And sir, on the trading side, when we see our volumes, predominantly on the P&K side, like we did close to around 1,07,00 tons of volume. So was it more of the DAP side where government is compensating close to around 5% of the MRP as fixed margins to the players so that we can keep on importing the DAP? So is this because of the higher DAP volumes in the trading side?

S.K. Bajpai: Yes, you're right that around 1 lakh metric ton and over 1 lakh metric tons, we have imported DAP and government prescribed 4% return on the MRP. So that is a secure business. So we imported and to make DAP available in the Indian market, Indian farmers, we imported mainly DAP during the last quarter.

Nirav Jimudia: Correct. And sir, the sales guidance of this 5.5 lakhs ton to Rs.6 lakhs ton what you mentioned for Q3 also includes our trading volumes, right?

S.K. Bajpai: Yes.
Nirav Jimudia: Got it. Got it. Sir, second question is on, let's say, based on our current production of AS, ASP and let's say, the smaller amount of DAP, what we produced. Can you help us understand how much is our annual requirement for ammonia, phosphoric acid and sulfuric acid?
S.K. Bajpai: See, in case of our Sikka unit, we need around 3 lakh ton to

3.5 lakhs ton PA solution for running the plant at 100% capacity, the way we are running today and around 1.5 lakh tons of ammonia.

Nirav Jimudia: Okay. And Baroda complex, sir?

S.K. Bajpai: Baroda, we have our own manufacturing. So we are producing, we have been manufacturing PA and ammonia both here. So it's there. And we are not dependent on anybody here.

Nirav Jimudia: Correct. Correct. And sir, this improvement in industrial products, what you mentioned in your opening remarks, we had done some ammonia trading also, and from last one month, we have seen a substantial

increase in the ammonia prices.

So last quarter, you mentioned that we did something around

Rs.20 crores of profits through ammonia trading in first

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quarter. So if you can also help us to understand what was this number for Q2? And how we are seeing Q3 because of this increased ammonia prices?

S.K. Bajpai: No, our mainly long-term contracts for ammonia is based on the imported price plus delta. So whatever the increase in the price will not impact the margins in the ammonia trading.

And we are continuing the ammonia trading from the Sikka

Unit, whatever imports of ammonia we are doing for our

consumption, along with the volume for the trading we do it

from Sikka Unit. So, I don't think that there will be much

impact on our margins due to the price hike of ammonia.

Nirav Jimudia: Right. Any numbers you can quote for Q2 in terms of profitability from ammonia trading out of this Rs.53 crores what we have reported for Q2?

S.K. Bajpai: No, this Rs.53 crores is not only from the ammonia. The major part of the profitable product is HX Crystal, which we are producing in the Baroda complex and it comes under the IP segment. So the HX Crystal is a good product where the intermittent product HAS of caprolactam product is diverted to the manufacture HX crystal.

So that new plant has started the production, and we are getting a good margin on that. So caprolactam is not that much profitable because of the international prices of the caprolactam are squeezing to a bottom-line level. So we are producing and concentrating on other products like HX Crystal. So ammonia trading is one part of the IP segment, Gujarat State Fertilizers & Chemicals Limited

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but there are some more activities for improving this IP segment results.

Nirav Jimudia: Just to add here, like what's our current capacity of HX plant and what rate we are operating currently?

S.K. Bajpai: Capacity is 9,000 metric ton per annum. We are having two plants, HX Crystal 1 and HX Crystal 2. Both together, the capacity is 9,000 metric ton per annum. Our pricing, I would not like to share because it is a very sensitive pricing.

Nirav Jimudia: So it is operating at full?

S.K. Bajpai: Yes, it is operating at full capacity, sir.

Nirav Jimudia: Correct. Sir, last question from my side. Sir, we have already completed our urea revamp project, I think, sometime in

June 2025. So have we seen the benefit in terms of improvement in profitability? Last time you touched upon that we are in discussions with the government in terms of reimbursement of the cost what we have incurred for this. So any thoughts here?

Also, if you can share like any discussions with the

government in terms of the fixed cost reimbursement like since it is pending since long. So if you can just touch upon both these aspects that will be very helpful.

S.K. Bajpai: Yes. Urea revamping project, as you rightly said, has cut

down the steam consumption. And the government has still not fixed the subsidy. So it is under consideration of the government, and they will provide something whatever the Gujarat State Fertilizers & Chemicals Limited
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rate they are fixing for GSFC, for subsidy reimbursement. And we have already requested government to consider this return on net worth, what we have incurred the capital cost for the revamping project.

So it is under consideration on government. Second, fixed cost, it is also going on from the government level, and we have represented and given our fixed cost expectation and they are in dialogue with all the companies, not only from GSFC. So in fact, after a few days only we are having a meeting with the government to represent our case what is the fixed cost we are incurring.

Moderator: Thank you. The next question is from

the line of Saket

Kapoor. Please go ahead.

Saket Kapoor: Sir, in the case you alluded in your opening remarks that this has been the best quarterly performance for us. So going ahead, sir, how you are seeing the profitability will shape up for the second half? And how will the demand for the Rabi season will be there as the water reservoir levels are at an optimum level?

S.K. Bajpai: The fertilizer demand is always there. There is no problem.

There was some heavy rains in some pocket of India. But barring that, our business is distributed in 15 states. So we strategize placement based on that thing. So it is not impacted and we are small in fertilizer compared to the overall requirement. So business is not much affected.

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And as far as profitability of the current quarter is concerned, so whatever measures we have taken for cost optimization and like urea revamping and putting the solar plants and all other measures what the company has taken. So this is not a one-off its kind, but it will continue for a longer period. So I think this profitability will continue. There is no hindrance I am just now foreseeing for the next quarter or coming quarter and years.

Saket Kapoor: Okay. Sir, and what have we factored in, in terms of the subsidy received for this quarter?

Sanjay Bajpai: Subsidy received during the quarter?

Saket Kapoor: Yes, sir. And also that, the one which has been shared with the revenue from operations?

Sanjay Bajpai: Actually, subsidy disbursement is not the problem for us and the government reimbursed the subsidy very quick. So up to the last week of the last month, we have received the subsidy. Subsidy received during the quarter 2 is Rs.1,176 crores.

Moderator: There's a follow-up question from the line of Nirav Jimudia from Anvil Wealth.

Nirav Jimudia: Yes, sir, just a follow-up. Sir, since we are starting our sulfuric acid plant in Q3 with a capacity of 198,000 tons, would there be any surplus sulfuric acid available with us to sell in the open market?

Sanjay Bajpai: No. We may not sell in the open market because we need in Sikka also it's completely based on financial things we'll take

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the decision, but we can send it to Sikka because we need sulfuric acid there also.

Nirav Jimudia: Correct. Okay. And sir, with this expansion, if you can just help us understand like what is our current capacity of sulfuric acid at both the units also for ammonia and phosphoric acid?

Sanjay Bajpai: Ammonia is 1,350 metric tons per day which means it is around 4.4 lakhs tons. And current sulfuric acid 5.77 lakhs metric ton per day, ammonia is at 4.45 lakhs ton. And in case of phosphoric acid, we have here 60,000 metric ton only capacity.

Nirav Jimudia: Correct. Correct. And this 450,000 tons of capacity for phosphoric acid, what you mentioned, is that capacity operating at full because then we would be required raw.

Sanjay Bajpai: We are talking sulfuric acid. Both are different, Nirav. I think the sulfuric acid, we have 5.7 lakh tonnes capacity here in Baroda unit. We are adding 1.8 so it will be 7.5 approximately. And in case of phosphoric acid, we have only 60,000 capacity approximately in Baroda, not more than that. Ammonia also 4.45 lakhs in Baroda. In Sikka, we don't have any capacity there for production. It's completely imported.

Moderator: There is a follow-up question from the line of Saket Kapoor.

Saket Kapoor: Sir, the first point was about the Industrial Chemicals segment. As you mentioned that we have taken necessary steps to improve the profitability. And you did mention Gujarat State Fertilizers & Chemicals Limited
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about one of the components of the intermediate products that we are selling to avoid dumping more of caprolactam.

So how do we see this segment performing for the remaining half of the year?

Sanjay Bajpai: It will continue as it is, I think, because the HX crystal plant is running at full capacity, and there is no much change in the margins and sales of HX sulphate. But it all depends on the caprolactam benzene spread. If it improves, then further, there will be improvement in the margin of IP segment.

Other than that, there is a melamine product where the sales realization in India is not that great if you compare it with the export sales. So we have increased the export side of the melamine. So we are realizing at least 20% higher sales price by exporting the melamine. So that is one more factor, sir, that improves the IP segment margins.

Saket Kapoor: But sir, if you take the granular details of we did industrial products revenue of Rs.618 crores for the quarter and our PBT comes out at Rs.54 crores. So as you mentioned that the contribution has been from HX crystals and melamine. Can you further split into what are the major components to this profitability, which have contributed to the profitability?

Sanjay Bajpai: Main is the ammonia trading actually, whatever ammonia we are trading, it comes in the IP segment. Exact number it is difficult to share, but there are 3, 4 factors I have narrated.

One is the HX crystal, one is ammonia another one is ammonia trading. Third is melamine export, we have started,
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so there is better realization. All these factors coming together improves the margins of the IP segment.

Saket Kapoor: Okay. And what would be the ballpark contribution from ammonia trading and this activity we are going to continue going ahead?

Sanjay Bajpai: Yes, yes. This is long-term contract actually. So whatever import price is there, I have narrated earlier with some delta, we are providing ammonia to the corporate. So this will continue.

Saket Kapoor: Okay. Sir, can you give a color on the contribution for this quarter or for the first half?

Sanjay Bajpai: Contribution of which?

Saket Kapoor: Profitability from the trading of ammonia under the industrial products segment.

Sanjay Bajpai: Just now it is difficult for me to share the contribution and individual product contribution. So we will discuss some other time regarding these details because it is price sensitive to the market. We would not like to disclose it just now.

Saket Kapoor: But there are factors in continuity that will allow us to create these margins in the trading business going ahead also? Or this is any one-off period that we are enjoying this facility?

Sanjay Bajpai: No, no, this will continue. As I have narrated that it is import price plus delta. So it is a term contract. So that margin will always be available till the time our contract is there with the

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corporates. And we are supplying ammonia with the same margin.

Saket Kapoor: Sir, now coming to the capex part. What have been the capitalization for the first half? And sir, going ahead, our capital work in progress closing balance is Rs.413 crores. So if you could just give some color which projects you will be capitalizing for the second half?

Sanjay Bajpai: Second half is sulfuric acid V project, which is slated to be commissioned just within a month or so. So that work in progress must be lying in the capital work in progress. But apart from that, there is no major project to be capitalized in the near future. We have just started this in Sikka DAP trend to be converted for or having an additional facility to produce NPK grade of fertilizers. So that there is no much expenditure till now. But other than that, capital work in progress does not have much pending capital to be capitalized.

Saket Kapoor: Okay. And sir, lastly, there were news of

fertilizer shortages,

especially with the urea part for the last the kharif season. So

what is the current status of the same? And how you see the Rabi season preparation in terms of the shortages or the issues faced by the farmers with respect to the availability of fertilizers?

Sanjay Bajpai: See, the Rabi will be good. Government has done great work by arranging for imported DAP and urea in time. So I don't think there will be any issues for any fertilizer in the Rabi.

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Saket Kapoor: Okay. And sir, there have always been a land effect in terms of getting the price revision, as we have already mentioned. So where are we in terms of the raw phosphate -- sulfate prices and the RM prices and finished prices for the DAP?

So are there any revision pending?

Sanjay Bajpai: No. No revision pending as of now.

Saket Kapoor: Okay. And what has been the impact of last revision, sir?

That could have taken place when?

S V Varma: I think NBS has recently been done. So there is change in the subsidy for all the products for NPK fertilizers. As Mr. Bajpai said it is a down from 7% to 1% based on different proportion. So nothing is pending as such and market is going clear on that.

Saket Kapoor: Okay, sir. And sir, traditionally, Q2 -- Q3 is a lean quarter for this fertilizer segment, sir? And Q2 is...

Sanjay Bajpai: Q3 is a good season always. Rabi comes in Q3 only. Yes, Q4 becomes lean season for fertilizers.

Saket Kapoor: Okay. If we take, we are already 40 days into the quarter. So depending upon the requirement and the business environment, we see a sustainable growth in the sales for this season also, for quarter 3?

Sanjay Bajpai: Q2 was again a good season. Q3 is always good. So they will be in line. It's again dependent on the availability of the

fertilizer because imports -- there will be a proportion of
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import also. So it'll be a good season for Q2, Q3 normally
good for the company.

Moderator: As there are no further questions from the participants, I now
hand the conference over to Mr. S.K. Bajpai from GSFC
Limited for closing comments.

Sanjay Bajpai: Yes. Thank you, investors, for participation in this
conference call organized by A nurag Services. I hope that
whatever questions have been asked, we would have given
the satisfactory reply. And again, thank you for your
participation. We'll meet again after three months after the
end of quarter 3. Thank you very much.

Moderator: Thank you so much. On behalf of GSFC Limited, that
concludes this conference. Thank you for joining us, and you
may now disconnect your lines.

Call: Feb 2026

GUJARAT STATE FERTILIZERS & CHEMICALS LIMITED

ffifertilizernagar - 391 750. Vadodara, Gujarat, INDIA.

CIN : L99999CJL962PLC001-121

NO.SEC/SE/TRANS/202617th February,2026

Dear Sir / Madam,

Su.b.: Transcript of the Investor Concall held on Tuesday, 10th February, 2026

We refer our submission vide letter dated 28th January, 2026 wherein the intimation was made that the Conference Call with Analysts is scheduled on 10th February, 2026 from 3:30 pM IST.

We are enclosing a copy of the transcription of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

Kindly take note of the above.

Thanking you,

Yours faithfully,

For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai

Company Secretary &

Vice President (Legal)

Membership No.: AI5142

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"Gujarat State Fertilizers & Chemicals Limited GSFC

Q3 FY26 Earnings C onference Call"

February 10, 2026

MANAGEMENT : M R. S K BAJPAI – SENIOR VICE PRESIDENT (FINANCE)
& CHIEF FINANCIAL OFFICER , GUJARAT STATE
FERTILIZERS & CHEMICALS LIMITED
MR. S V VARMA – EXECUTIVE DIRECTOR
(AGRIBUSINESS , HRS & IR), GUJARAT STATE
FERTILIZERS & CHEMICALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Gujarat State Fertilizers & Chemicals Limited GSFC Conference Call for Q3 FY26 Earnings. This call has been hosted by Anurag Services LLP on behalf of GSFC Limited.

From the Management, we have Mr. S K Bajpai – Senior VP (Finance) and CFO, Mr. S V Varma – Executive Director (Agribusiness, HRS & IR) and other senior members from the management.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S K Bajpai – Senior VP (Finance & Legal) and CFO, GSFC Limited. Thank you and over to you, sir.

S K Bajpai: Good afternoon everyone. Thank you for joining us for Quarter 3 2025-2026 Earnings Call of Gujarat State Fertilizers & Chemicals Limited.

It's always great to connect with all of you and share the key updates that we have from the quarter. I hope that you had a chance to review the financial results, media release and investor presentation available on the stock exchanges and also on our company website.

If you see standalone financial performance, the company has delivered strong financial and operational performance in Quarter 3, demonstrating robust growth across key metrics.

On the production front, the company achieved the highest Q3, 5.07 lakh metric tons and in 9 months, 13.30 lakh metric ton volumes in the last five years. Revenue growth, sales increased by Rs. 139 crores, representing 5% year-on-year growth. Profit before tax rose by Rs. 27 crores, a healthy 18% increase. Profit after tax grew by Rs. 38 crores, marking an impressive 32% improvement. Operating profitability improved from 5.40% to 6.11%, reflecting enhanced operational efficiency. Fertilizer segment revenue increased from Rs. 2,172 crores to Rs. 2,298 crores in Quarter 3 on a YOY basis, our sales volume remaining stable at 6.27 lakh metric ton. Segment average moderated to Rs. 119 crores from Rs. 126 crores due to sharp escalation in key raw material prices like Phosphoric Acid up by 34%, Sulphur up by 130% and Sulphuric Acid up by 91%, which offset the benefit of higher realization in Phosphatic and Potassic fertilizers. The Quarter recorded the highest APS production and sales in the last five years, resulting in a net revenue increase that largely compensated for the decline in DAP sales. Industrial product segment delivered a resilient performance in Quarter 3 on a YOY basis, with sales rising from Rs. 583 crores to Rs. 596 crores and EBIT turning around to a profit of Rs. 9 crores, reflecting improved operational balance. Growth was supported by a strategic focus on higher Melamine exports, where realizations were stronger than in domestic markets, along with higher traded Ammonia sales. These measures overcame the headwinds in other major industrial products, Gujarat State Fertilizers & Chemicals Limited

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while the Caprolactam-Benzene spread declined to US\$495 per metric ton from US\$588 per metric ton, diversification and product portfolio management supported profitability.

Overall, the company maintained a healthy performance in Quarter 3, demonstrating resilience against raw material volatility and sustaining growth momentum across both business segments. We continue to maintain a strong balance sheet with no long-term debt, healthy net worth and adequate liquidity. Government of India's outstanding support on release of fertilizer subsidy has kept the working capital levels at optimum level. As of date, the company has received subsidy due for U

rea and imported P&K fertilizer up to 4th week of December 2025 and manufactured Phosphatic fertilizers up to 1st week of January 2026. This provides the foundation for advancing our CAPEX roadmap as detailed in the investor presentation. The Sulphuric Acid-V project was commissioned on 7th January 2026, providing both incremental capacity and cost-efficiency benefits. The project will cater to the requirement of Sulphuric Acid for manufacturing of fertilizers like Ammonium Sulphate and Ammonium Phosphate sulphate. Further, the steam-generated there from shall be available for utilization at the Vadodara complex.

Favourable season conditions and healthy Rabi sowing position, the country for a strong harvest with fertilizer requirement for this season largely addressed consequently, only limited incremental demand from the short duration hot weather crop is expected. While the industry may experience cost pressures from the elevated prices of key inputs such as Phosphoric Acid and Sulphur, the company remains focused on disciplined margin management, strategic priorities including optimizing market opportunities and ensuring calibrated inventory positioning to effectively serve demand for the upcoming Kharif season, thereby supporting

volume stability and supply readiness.

Government of India's ongoing trade facilitation measures, including recently executed FTAs and CEPAs with key companies, are expected to improve market access and competitiveness for Indian chemical exports subject to a product-specific tariff outcome. Caprolactam-Benzene spread are expected to improve in Quarter 4 2025-2026 providing a supportive margin environment. Product rationalization in other ASEAN countries across the Caprolactam-Nylon-6 value chain and at preventing oversupply and moderating price competition has led to a firmer realization in Quarter 3 2025-2026, a trend that is expected to lead near-term stability to the market. Melamine demand is expected to remain steady in domestic markets, with growth anticipated in export markets. HX Crystal volumes are expected to improve across both domestic and export markets. Demand for other industrial products is also likely to hold stable during the quarter.

Overall, the company anticipates consistent demand conditions and stable turnover in the industrial product segment in Quarter 4 2025-2026.

I now turn over the call for questions and answers.

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Moderator: Thank you very much. The first question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir. Good afternoon. Sir, I have a few questions to ask. Sir, first is on the guidance for the sales volume, if you can share for Quarter 4 and for FY26.

S K Bajpai: Sales volume in Rupee terms?

Nirav Jimudia: No. Guidance of absolute sales volume for Q4 of FY26, like any guidance which you would like to share as compared to what we have achieved in Quarter 4?

S K Bajpai: Actually, Quarter 4 is the lean season for the fertilizer industry. So, there is not that much sale and margin available in Quarter 4. As you can see from the history of the company also, during last two years, the Quarter 4 is not that great as compared to the other quarters of the financial year. Having said that, I have told that we have placed our DAP, Urea and other fertilizers in the market and as per the requirement, it will be provided to the farmers.

Nirav Jimudia: Sir, like if we see our manufacturing volumes, we are near to almost 1.5-1.6 million tons. I am talking from the manufacturing point of view. So, you rightly explained this time that there were cost escalations on the Phosphoric Acid, Sulphuric Acid, also on the Sulphur part for Sulphuric Acid production. So, if you just want to share your views, like if we just want to divide our volumes between let's say the

manufacturing volumes and the trading volumes what we do, what sort of EBITDA per metric ton which we would be generating on the manufacturing side?

S K Bajpai: EBITDA overall, we are generating 5-6% from the...

Nirav Jimudia: Sir, if you can share on the per metric ton basis, that would be very helpful because then the prices also keep on changing based on the subsidy and everything.

S K Bajpai: EBITDA product wise, like fertilizer, if you see the fertilizer, then Urea, DAP, NPK, APS, Ammonium Sulphate, everywhere there is a different EBITDA. It is not a combined figure available to me, but if you see overall that I can say 5%-6% EBITDA is there in the fertilizer segment.

Nirav Jimudia: Correct. And in terms of, because you rightly explained that Q4 generally is a lean season and we tend to provide some sort of discounts also to place our products in the market. But let's say going forward from next year onwards, with this kind of cost escalations which we have seen on the raw material side, how we are going to deal with this situation in terms of a) improvement in the margins and second in terms of improvement in our manufacturing volumes?

S K Bajpai: There are two raw materials or key inputs that has shown the abnormal increase in prices. One is the Sulphuric Acid and Sulphur prices, and another is Phosphoric Acid. Ammonia is also trending very high at around \$525 or \$530 per metric ton presently. But for Sulphuric Acid, we have made always in the long-term contract with the suppliers, so we can fix the total purchase
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price by keeping like a purchase price fixing in the inception of the financial year. Over and above, we have also capitalized Sulphuric Acid five plants at Fertilizer Nagar Complex which is producing near about 2 lakh metric tons per annum Sulphuric Acid. And it is running very nicely and production is also good. So, whatever the requirement of Sulphuric Acid will be met from our own production, so that is very cost effective and in comparison to the purchase price and the market volatility, we can cater maximum Sulphuric Acid requirement from our own production at Fertilizer Nagar Complex. As far as Phosphoric Acid is concerned, the prices are very high. But let us see how it comes in the next quarter and the government subsidy fixation

based on the Phosphoric Acid and Ammonia pricing in the next quarter. So based on that, our margins will be calculated, and margins will be there in the business.

Nirav Jimudia: Second question is on the chemical side. You mentioned that Capro-Benzene spreads have been improving and that could help us to a) improve our volumes, b) improve our profitability. So, let us say the spreads what we have achieved in 3rd Quarter was close to around \$500, let us say at what level of spreads our Caprolactam business should start seeing an improvement in the profitability, whereby let us say it should start covering our fixed and the variable cost?

S K Bajpai: Actually, now it is ranging about \$590 per metric tonne, the spread between Caprolactam and Benzene in January. So, it has improved drastically and it covers the variable cost. Now, why we are operating the Caprolactam, because we are getting the by-product Ammonium Sulphate, which is as a fertilizer, and it is a profitable product for us in fertilizer segment. So even if there is a little negative contribution in the Caprolactam, we do not shut the operation because it cuts the production of the Ammonium Sulphate also. So that is the logic we continue. But by increasing this Capro-Benzene spread to a comfortable level, now I do not foresee that there is a negative contribution in the Caprolactam business.

Nirav Jimudia: But at \$500, there was a negative contribution. So, is it safe to assume that at \$500, possibly we would be losing close to around \$100 at the contribution level?

S K Bajpai: No, not that much. I cannot say what is the negative contribution, but it is not much. It is a slight negative contribution in the Caprolactam. And we are also saving the cost by importing Anone because Anone cost is our own manufactured Anone is higher. So, we are importing anone and by cost cutting, we are cutting the negative contribution also in the Caprolactam business.

Nirav Jimudia: Also, sir, we have seen slightly a fall in the industrial products margin this Quarter. So, was it because of lesser Ammonia trading which in the earlier quarters were a significant contributor to our profitability?

S K Bajpai: That is up to one stage it is correct because the Ammonia prices are again high and our domestic requirement of Ammonia is there. But at that level of Ammonia, the few small players cannot afford to purchase the Ammonia and use that costly Ammonia for their products. So, there is a little less demand in the Quarter 3, but with some reduction in the margin, we also prefer to sell because there was a positive contribution and Ammonia trading is helpful for getting the IP segment in a profitable segment.

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Nirav Jimudia: Correct. So, let us say, sir, in Quarter 4, how do we see the industrial products? One, you mentioned about the Caprolactam part, but is there any further scope of improvement in the profitability from the industrial product side from other products? And also, how do you see Q4 shaping up in terms of the Ammonia part?

S K Bajpai: Ammonia prices are now stable, and we are going for long term Ammonia contract with the buyers. So that will firm up our delta on the Ammonia business and also the requirement from the suppliers, whatever Ammonia they want to purchase for the whole year. Second thing is that this FDA agreement signed by, executed by the Government of India with European Union and now the tariff concessions in America, so that will boost our Melamine exports, not only Melamine but also Caprolactam and HX Crystal products for the export purposes. And the export realization is better than the domestic market. So that is another area we are hoping for a better margin in the IP segment. Third one, we have also taken up with the Government of India because in domestic market realization is not that great and we are only the producer of Melamine, Caprolactam and HX Crystal in India. So, we have requested to Government of India that for protection of our industry and the Atmanirbhar concept of Government of India, there should be some protection available. Otherwise, we are manufacturing and exporting the product and on other side, the other countries are dumping into India. So, some minimum support price or some basic duty structure, we have requested Government of India to form in case of Melamine, Caprolactam and Nylon-6. So, if something comes out positively by the Government of India, then it will further boost up of the IP segment also.

Nirav Jimudia: Correct. So, sir, safe to assume here that our Melamine, Caprolactam and HX plant is operating close to 100%. So, whatever would be going for the exports would be a lesser volumes in the domestic market. Is the correct assumption to make?

S K Bajpai: Yes, that's correct.

Nirav Jimudia: Sir, last two questions from my side. So one, sir, based on our fertilizer production of let's say close to around 1.5 million tons on an annual basis, put together from both the complexes, how much Ammonia and Sulphuric Acid would be required on an annual basis?

S V Varma: For Ammonia for both the units you are looking for? See the requirement in both the units it varies between 5.5 lakhs to 6 lakhs tons per annum considering the capacity operations for 16 lakhs to 18 lakhs. Ammonia. And in case of Sulphuric Acid, it is slightly in the same range only.

Nirav Jimudia: 6 la

khs, right?

S V Varma: Yes.

Nirav Jimudia: The last question from my side, like anything we are hearing from the government in terms of revision in the fixed cost for the Urea business, also on the revision in the energy consumption norms, anything if you can share your thoughts, because I think some of the meetings have happened. So, if you can share your thoughts, it would be very helpful.

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S K Bajpai: Now fixed cost data as required by the Government of India, we have already submitted along with the other fertilizer producers. So now it is the Government of India's turn to come up with the final fixation of fixed cost, because till now this cost fixed by the government is very old and it is not sustainable. Any increase in the fertilizer fixed cost or Urea fixed cost will be further helpful for the Urea producers in fertilizer sector. What was the second question?

Nirav Jimudia: Revision in the energy consumption norms.

S K Bajpai: Energy consumption, actually we have already revamped our Urea-II plant. So, we are meeting with the Urea-II energy now fixed by the Government of India. And as per the minutes and best information available to me, we are continuing the reimbursement of subsidy for further three years on the same energy consumption. So that will be the additional benefit available to GSFC, because presently it is coming around 5.9 to 6 Gcal metric ton of production of Urea.

Nirav Jimudia: Thank you so much, sir, and wish you all the best.

S K Bajpai: Thank you. Thank you.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Sir, majority of everything has been covered by our learned participant. Thank you to him for very calibrately asking all the questions. Sir, only one point about the Sulphuric Acid plant which was commissioned in the month of January. What would be the benefit that we will be attributing to for this quarter in terms of the backward integration that would be for our capital use?

S K Bajpai: Sulphuric Acid-V project is commissioned in January, somewhere in the first week of January 2026, and it is operating nicely and the benefit will be available for the next two months in the coming quarter and again for the whole year next year. If you see that production capacity is 2 lakh metric ton per annum for the Sulphuric Acid plant, and as you know, the present Sulphuric Acid price is more than Rs. 17,000 per metric ton in the Indian market and more than \$500 per metric ton of Sulphur cost in the international market. So, till the time this ICM countries have banned the export of the Sulphuric Acid, that's why the prices are high, and this is a very good thing for GSFC that we have commissioned this plant at a very appropriate time. So, we will be having this, our own manufactured Sulphuric Acid available for the production of Ammonium Sulphate and Ammonium Phosphate Sulphate. So, that impact will be not that big as in the increase in the pricing of Sulphuric Acid in the Indian market. So, we will curtail certain portion of the cost increase by replacing our own manufactured Sulphuric Acid.

Saket Kapoor: That will not be a meaningful value, sir, on an annual basis, the savings that will be accrued?

S K Bajpai: Apart from this, steam is also available from the Sulphuric Acid plant, no? So, that steam is also useful for operation of other plants and our steam production from the boilers will be stopped, so natural gas consumption will come down. So, if you want to monetize this, I think it is near about Rs. 100 crores per annum advances available by commissioning of this project.

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Saket Kapoor: Right. Also, sir, we were also contemplating some de-bottlenecking and some changes

in our

fertilizer lines, wherein we would be able to manufacture, I think, so Ammonium Sulphate from the lines which were not being attributed to that. There were some things we were working on.

So, where are we, sir, in terms of that tinkering with the production lines that was anticipated?

S K Bajpai: Yes, there is one line, I think you are talking about this Sikka, where the DAP one time we were producing and we are converting it for the fungible production for ASP and DAP, whatever is the requirement of the market. So, that product is as per the schedule and we will be completing this by the end of September this year. So, that facility is available and we will be producing the Ammonium Phosphate Sulphate in the line of DAP whenever the requirement of APS is there in the market.

Saket Kapoor: Right, sir. Pardon me, I have not checked, but labour code, in fact, in terms of the employee cost, have you factored into our numbers or there will be any revision because of that?

S K Bajpai: You are talking about new labour code?

Saket Kapoor: Yes, the new labour code.

S K Bajpai: As per the information and notification available with us, so whatever we could get it clearly, we have provided liability provisions in our books of account in Quarter 3 for the fixed-term employment employees. However, most of the provisions we are already doing as a very

government-promoted company, we are meeting all the requirements as per new labour code. However, rules are still pending to be notified as soon as it comes. So, rest of the things we will see and make the provisions, there is no problem. But there is no huge impact as far as GSFC is concerned because we are already meeting most of the provisions.

Saket Kapoor: Sir, what I could gather from the previous participant's question and your answer that for IP, the environment is now conducive and the profitability barring the market conditions are expected to improve for the ensuing quarter. This is what the underlining factor, whether it is the Caprolactam-Benzene spread or the higher prices for Melamine. Is that understanding correct there, sir?

S K Bajpai: Yes, very much, because by putting little efforts in the export of Melamine, we have turned out to be positive margins in the coming quarter and in the next quarter and henceforth, since the Caprolactam-Benzene spread is improving and the FTAs signed by the Government of India with the European market and tariff concessions in the US, we are again looking for this export of Melamine and Caprolactam and third one is HX Crystal to this market where the realization is better than the domestic market.

Saket Kapoor: Okay. And sir, lastly, I think the HX Crystals where I think we were selling this product because of the lower prices for Caprolactam, correct me there. So, currently, how does the metrics work with the improvement in the spread? How are we placed in terms of this HX Crystal product
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because here also you have mentioned that volumes are expected to improve so if you could just explain the value chain?

S K Bajpai: HX Crystal product is our own R&D created product, and it is well accepted by the market, but we have the 100% capacity of the Indian market because we are only the producer. So, sometimes if the import is cheaper than our realization price, then we may look for the export of the HX Crystal. So, that is my sense that in export market, the realization is better than domestic market. So, that will provide an extra advantage for the new product and as far as Caprolactam is concerned, it is the Caprolactam and Benzene spread has reached to a comfortable level where the contribution is positive. So, that will again boost the IP segment result in Quarter 4.

Saket Kapoor: Okay, so just a small clarification, then where does HX Crystal fall into place in the value chain?

So, we were selling HX Crystal since the realizations were higher instead of selling Caprolactam or correct me there, how the metrics work here?

S K Bajpai: No, HX Crystal, the contribution is better, margins are better than the Caprolactam. So, we are trying to run the HX Crystal at the full level rather than the Caprolactam because when the Caprolactam price is not good, that is why we have developed this HX Crystal and we are diverting one of the intermediate product HS to the HX Crystal and where the margins are better than the Caprolactam. So, we always prefer to use the full capacity of HX Crystal and gain better margins rather than selling the Caprolactam at lower price.

Saket Kapoor: Well, thank you for all, in case any clarification, I will come back. Thank you to the entire team sir and all the best. Thank you.

Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments. Please go ahead.

Madhur Rathi: Sir, thank you for the opportunity. Sir, I wanted to understand regarding our Sulphuric Acid the one that we have commissioned and the one that is expected in FY28. Sir, so it seems that there is going to be a lot of Sulphuric Acid availability in Gujarat due to Kutch Copper Commissioning. Sir, so do we see that the payback period for these CAPEX decreasing once the production commercializes or Sulphuric Acid availability increases?

S K Bajpai: The market availability and supply factor is not fixed, it keeps changing. But our Sulphuric Acid plant is commissioned for meeting the own requirement of Sulphuric Acid in Ammonium Sulphate and Ammonium Phosphate Sulphate. So, we are not going to sell in the market whatever the price Sulphur is available at for the GSFC we produce Sulphuric Acid and consume it in the fertilizer production. So, there will not be a very negative impact whatever the price of Sulphuric Acid may be in the future. As far as payback is concerned that if Rs. 100 crores is really the margin available in the first year, so we will be payback in 2-3 years. So, there will not be any risk available for the company for the payback of the Sulphuric Acid plant.

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Madhur Rathi: Sir, so we don't see any scenario where due to production increasing at Kutch Copper, the next Sulphuric Acid capacity of 6 lakh metric ton that will be commissioning for that payback period to increase further?

S K Bajpai: I don't think so because I don't know when this chemical facility will be shaping up and the

Sulphuric Acid is coming in the market. But as far as we are concerned and looking to the present pricing of the Sulphuric Acid, we will be recovering our cost in 2-3 years.

Madhur Rath: Got it. Sir, we mentioned that currently Sulphur cost is Rs. 500 per metric ton and Sulphuric Acid is Rs. 17,000 per metric ton. Sir, do we see this prices to remain steady for the next 1 or 2 years or where do we see the realizations for both of these raw material as well as the finished product?

S K Bajpai: It is very difficult to comment upon because as you rightly said demand and supply position fixes the prices. If some new suppliers are coming in the market or other Asian countries like China and Russia start exporting the Sulphuric Acid, the Sulphur, then the prices of this Sulphur and Sulphuric Acid will come down drastically in the near future.

Madhur Rath: Sir, pardon my ignorance but why has the prices risen so much?

S K Bajpai: Because the other countries have stopped supplying in the international market. So, there is supply and demand gap. So, whatever Sulphuric Acid is required for the fertilizer as well as for other industries, it is not supplied by the other foreign markets like China, Russia, they have stopped supplying Sulphuric Acid.

I think in my opinion, this is one of the reason of this high prices of Sulphur and Sulphuric Acid.

Madhur Rath: Okay, sir. Sir, thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir. Thanks for the opportunity again. Sir, just a clarification on the Ammonia and Sulphuric Acid part. So, you mentioned that we require close to around 5.5 lakh to 6 lakh tons of Ammonia. So, how much of this would be met through our own production and how much we are importing?

S K Bajpai: Around 4.2 to 4.5 we are meeting from our production; rest we are importing.

Nirav Jimudia: Correct. And sir, after this expansion of 1,98,000 tons of Sulphuric Acid, how much is our capacity now for Sulphuric Acid?

S K Bajpai: Sulphuric Acid capacity will go to around, near to the 100% capacity requirement of Baroda unit and slightly we will be requiring it at Sika around 1.6 lakhs to 2 lakhs based on the product mix at Sikka.

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Nirav Jimudia: Correct. So, let us say for Sulphuric Acid, possibly also we will be producing the similar amount of 4.5 lakh tons and 1.5 lakh tons we are buying from the outside market, right?

S K Bajpai: Correct.

Nirav Jimudia: Sir, second question is on the Urea part. You mentioned that we have revamped and our energy consumption in Gcal per metric ton have come down, let us say from earlier 6.4, 6.5 to now 5.9 to around 6. So, how does it help us in terms of the profitability and also is this CAPEX what we have incurred for revamping our Urea part, are we getting some fixed compensation from the government like earlier they used to give us in a period of 4-5 years? So, if you can help us about these aspects that would be very helpful.

S K Bajpai: Urea plant was very old plant of 1969. So, anyway we have to revamp this plant because of the old technology and the very poor condition of the plant. So, we had to incur this revamp facilities at Urea-2. Urea-1 plant we have already stopped because that machinery is not useful and it is of 1967. Whatever the Government of India has been giving some money to other companies for this CAPEX, in case of GSFC we are not getting anything by way of fixed cost. However, they have acceded to our request of providing the subsidy at the old rate even after the consumption of energy at the old rate. So, that will benefit as a payback period of 5 years' time for GSFC of the capital expenditure of around Rs. 350 crores to Rs. 400 crores.

Nirav Jimudia: So, every year we would be possibly saving around Rs. 80 crores from the Urea.

S K Bajpai: That is up to you to calculate but I have told that around 4 to 5 years we will be recovering the cost.

Nirav Jimudia: Sir, also on the industrial product side, are we thinking of any newer products or expansion into the existing product line because HX plant has been consistently operating at around 100%. So, are we thinking any expansion there or introduction of any newer products?

S K Bajpai: In the IP segment, we have appointed one BCG consultant, Boston Consultancy Group and they are in the process of preparing this 10-year growth strategy and roadmap for GSFC. So, we have already acquired the land at Dahej. So, any further facilities of IP products will be put in there.

So, here in Fertilizer Nagar complex, there is hardly any space available to put any new facility.

So, now we are going to shift our production facilities at Dahej. So, as per this report, final report of the BCG and getting approval from the Board, we will execute this start of putting new facilities in the IP segment.

Nirav Jimudia: So, is this expected in next 6 to 12 months, this final report or it would take a slightly longer term?

S K Bajpai: No. It will come in the next 6 to 12 months. I

think the report will be there.

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Nirav Jimudia: And also, sir, this BCG, what we have hired is only for helping us in the growth path or would they also be helping us in terms of reduction in some of the operating cost?

S K Bajpai: Yes. In both the operational efficiency also, they are advising us. So, whenever there is a gap, so we are filling the gap and operational efficiency will be achieved and this growth strategies also they are submitting their report.

Nirav Jimudia: Okay. So, the areas for improvement in the operational efficiencies have been identified or they are yet to be identified, sir?

S K Bajpai: They have been identified. There are low-hanging fruits which we have already in the process of implementing. However, there are certain mid-term and long-term. So, that will be executed as per the scheme and implementation of the scheme in the near 6 months to 1 year time.

Nirav Jimudia: Sir, any quantification in terms of benefits if you can share, is it possible to share in terms of any quantitative benefits which could happen to us on an annual basis? Any thoughts?

S K Bajpai: At least 40 crores of operational efficiency, they have identified certain schemes and that will be achieved by the company in the near future.

Nirav Jimudia: Got it. Thank you so much, sir.

Saket Kapoor: Thank you.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. S. K. Bajpai from GSFC Limited for closing comments.

S K Bajpai: Thank you participants for the very good questions and elaborate questions on the performance of the company. It is a pleasure to talk to all of you and thanks again for participating in this conference call. Thank you very much.

Moderator: Thank you. On behalf of GSFC Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

NO.SEC/SE/REG-30/2026 27th May, 2026

The Corporate Relationship Department
BSE Limited 1st Floor, New Trading Ring
Rotunda Bldg., P.J.Towers, Dalal Street
Fort, MUMBAI - 400 001
SCRIP CODE: 500690 The Manager, Listing Department
National Stock Exchange of India Ltd. 'Exchange Plaza', C/1, Block G
Bandra-Kurla Complex
Bandra (East), MUMBAI - 400 051
SYMBOL: GSFC

Dear Sir / Madam,
Sub.: Transcript of the Investor ConCall held Monday 25th May 2026

We refer our submission vide letter dated 18th May, 2026 wherein the intimation was made that the Conference Call with Analysts is scheduled on 25th May, 2026 from 3:30 PM IST.

We are enclosing a copy of the transcript of Conference Call. The aforesaid information is also disclosed on the website of the company at www.gsfclimited.com.

You are requested to take note of the above.

Thanking you,

Yours faithfully, For Gujarat State Fertilizers & Chemicals Ltd.,

Nidhi Pillai
Company Secretary &
Vice President (Legal)
Membership No.: A15142
E-mail : investors@gsfcld.com

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"Gujarat State Fertilizers & Chemicals Limited
Q4 FY26 Earnings Conference Call"
May 25, 2026

MANAGEMENT : M R. S.K. BAJPAI – SENIOR VICE PRESIDENT , FINANCE
AND LEGAL AND CHIEF FINANCIAL OFFICER –
GUJARAT STATE FERTILIZER & CHEMICALS LIMITED

Gujarat State Fertilizers & Chemicals Limited
May 25, 2026
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Moderator: Ladies and gentlemen, good day and welcome to Gujarat State Fertilizers and Chemicals Limited, GSFC Q4 FY26 Earnings Conference call hosted by Anurag Services LLP. From the management we have Mr. S. K Bajpai, Senior VP Finance and Legal and CFO and other senior members from the management.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. S.K. Bajpai, Senior VP Finance and Legal and CFO, GSFC Limited. Thank you and over

to you, sir.

S.K. Bajpai: Yes, good afternoon everyone and thank you for joining us today. On behalf of Gujarat State Fertilizers and Chemicals Limited, I welcome you to discuss our performance in quarter 4 and Financial year 25-26. I hope you had a chance to review the financial results, media release and investor presentation available on the stock exchanges and also on our company's website.

If we see standalone financial results, the financial year 25-26, the sales were recorded at INR10,827 crores, which is 15% higher than the last comparative periods. PBT and PAT is also increased by 13% and 14% to INR838 crores and INR652 crores. If we see consolidated financial performance, the sales increased by 15% to INR10,945 crores.

PBT and PAT is increased by 14% to INR861 crores and INR673 crores respectively. If we discuss Quarter 4 result, then achieved, we achieved highest ever quarter 4 sales of INR2,622 crores. We also recorded highest ever quarter 4 fertilizer sales of INR1,985 crores. Industrial product segment reported highest quarter 4 EBIT in the last 10 quarters.

We maintained stable operations despite sharp volatility in global raw material prices arising from geopolitical disruptions. In case of financial year 25-26, sales increased by 15% Y-o-Y from INR9,429 crores to INR10,827 crores. Operating EBITDA grew by 24% Y-o-Y to INR781 crores.

PBT increased by 13% Y-o-Y to INR838 crores and PAT by 14% to INR652 crores. Fertilizer sales volume increased by 12% from 19.88 lakh metric ton to 22.31 lakh metric ton. Achieved highest fertilizer production in last 5 years at 17.59 lakh metric ton. IP segment delivered highest annual profitability of INR200 crores in the last 4 years.

We also capitalized major growth projects aggregating over INR670 crores, strengthening operational efficiency and future growth readiness. The fertilizer segment delivered a strong operational and market performance during both quarter 4 and financial year 25-26, supported by robust demand conditions and higher subsidy support.

During the year, segment sales increased by INR1,196 crores, while volume grew by 12% led by AS, APS and DAP. Quarter 4 performance was particularly strong with the company achieving its highest ever quarterly fertilizer sales. Despite significant escalation in prices of key raw materials such as natural gas, ammonia, sulfur and sulfuric acid due to geopolitical developments.

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The company maintained stable operations, optimized product availability and achieved highest fertilizer production in the last 5 years. The industrial product segment demonstrated a strong turnaround and profitability improvement during quarter 4 25-26 and financial year 25-26.

The segment achieved its highest annual profitability in the last 4 years and highest quarter 4 EBIT in the last 10 quarters. Revenue growth and margin expansions were primarily supported by higher sales of HX Crystal and traded ammonia, along with

improved export opportunities

in melamine aligned with the Government of India's trade facilitation initiatives.

While realizations in caprolactam and nylon products remained under pressure due to lower global spreads, the segment benefited from improved product mix, operational efficiencies and better market positioning across key products. We continue to maintain a strong balance sheet with no long-term debt, healthy net worth and adequate liquidity.

Government of India's outstanding support on release of fertilizer subsidy has kept the working capital levels at optimum level. As of date, the company has received subsidy dues for urea up to fourth week of April 26 and P&K fertilizers up to third week of April 26. This provides the foundation for the company to advance its capex plans aligned with the strategic growth roadmap. The company capitalized the projects worth.

Moderator: Ladies and gentlemen, please, the line for the management has been disconnected. Please wait while we reconnect them to the conference. Ladies and gentlemen, thank you for patiently holding. We have the management line reconnected. Over to you, sir.

S.K. Bajpai: Okay. So I will start from the outlook for quarter 1 26-27. The fertilizer segment heads into quarter 1 26-27 with raw material markets still unsettled. Geopolitical pressures in the Middle East continue to drive input cost availability. On the policy side, Government of India's revision of NBS rates for H1 26-27 with a 10% uplift across nitrogen, phosphorus and sulfur nutrients signals a deliberate intent to protect kharif season supply.

We will manage our position accordingly, balancing offtake timing, inventory placement and margins while staying in step with the Department of Fertilizer directives. Progress of the Southwest monsoon and possible emergence of the El Niño conditions will remain key factors influencing demand outlook during the quarter.

In the industrial product segment, the demand picture for quarter 1 26-27 is mixed and product specific. Caprolactam-benzene spreads are expected to recover during the quarter. However, the elevated caprolactam and nylon 6 prices levels seen in the quarter 4 25-26 are unlikely to hold,

leaving realizations under some pressure.

Melamine and technical grade urea face a softer demand environment with downstream industries running at reduced rates against a backdrop of higher input costs. HX Crystal domestic demand remains constant. Agrochemical and related sectors continue to absorb the knock-on effects of the geopolitical situation.

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Though export volumes are expected to hold, across the remaining industrial products portfolio, demand is expected to track broadly at current levels through the quarter. I now turn over the call for questions and answers.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touch-tone telephone. If you wish to withdraw yourself from the question queue, you may press star and two. Participants are requested to use handset while asking a question.

Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Participants, to ask a question, you may press star and one. Ladies and gentlemen, anyone who wishes to ask a question may press star and one on their touch-tone telephone. First question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Yes. Hello. Greetings, sir. Hope I am audible.

S.K. Bajpai: Greetings, Saket.

Saket Kapoor: Sir, the premise or the question for investing community and from my side in particular is only we want to understand as at today's current environment, how is our organization shaped up and what should investors expect in terms

of the business that we are in for a consistent set of numbers going ahead, since a lot of vagaries played out are getting played out in the segment as a whole, especially the fertilizer segment.

So, if you could just glide through us how the management feels for the current financial year on top of the type of geopolitical circumstances, the supply chain issues, we depending a lot on the import part also. So how are things shaping up and how is G SFC preparing itself to glide through this current financial year?

S.K. Bajpai: Okay. Thank you, Saket. It is a very obvious question that current situation is very abnormal. As I have mentioned that the prices of raw materials like ammonia, sulfur, sulfuric acid and other raw material inputs have increased manifold. So, it is a difficult situation for the company as well as for the country. But fortunately, we are having the ammonia plant and sulfuric acid plant in our Fertilizer Nagar complex.

So, we are getting ammonia manufactured through natural gas and there is no much increase in the natural gas prices. It is controlled by Government of India and they are prioritizing fertilizer and other priority sectors for supply of natural gas and RLNG. So, any price increase in the natural gas, it is absorbed by the Government of India by way of the subsidy.

As far as sulfuric acid is concerned, the sulfur prices are presently at \$850 in the international market. But we are having the sulfuric acid quantity available in our store, which is manufactured as per the old long-term contracts with the suppliers. So fortunately, immediately there is no problem for the quarter one that we will be having any short of sulfuric acid.

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But considering the overall situation of the raw material prices, we can only hope that this situation normalizes very soon and we will be getting the raw material inputs for the fertilizer production at the competitive rates.

Saket Kapoor: So, sir, can you give us the color on the number of days of inventory we are carrying and what is there in the pipeline currently in terms of replenishing the inventory that is getting consumed for the RM part? How is the pipeline currently shaping up?

S.K. Bajpai: Actually, ammonia, there is no problem. We are having 100% production at ammonia 4 and ammonia 3 plants. So natural gas is supplied by the Government constantly. So, ammonia, we are having the stock of around 16,000 metric ton at our Baroda complex and there is no price rise expected in the natural gas price in the near future. For sulfuric acid, we have also the inventory up to the full level of the sulfuric acid tanks.

So whatever sulfur we are having as per the long-term contract from the Reliance, Nayara, BPCL and IOCL, we are getting the sulphur. However, it is also to say that we are not getting 100% supply and it is a very high rate. So we are also trying to import sulphur from the international market at a competitive rate so that we can continue our sulfuric acid production for meeting the requirement of ammonium sulphate and ammonium phosphate sulphate in the Fertilizer Nagar complex.

Saket Kapoor: Sir, with respect to the trading for ammonia, are we in the process currently with the type of setup? Are we continuing with that trading aspect also?

S.K. Bajpai: Yes. We are importing actually ammonia at our Sikka Jetty. We are having our own jetty and storage facility at Sikka unit. So we are importing ammonia and whatever ammonia quantity is required by the industries down the line, we are importing that particular portion in the whole shipment for the trading purpose and we trade accordingly the ammonia from the Jamnagar plant.

Saket Kapoor: Right, sir. Sir, if I correct me here, sir, we were also looking for some retrofitting or some changes in sp

cification for our fertilizer plant so that we could have alternatively changed the mix of fertilizer. Correct me there, where are we, sir, in terms of, I think so there were two varieties of fertilizer which we were able to produce from the same unit by some minor changes. So if you could just give us some understanding and also for the current quarter, ensuing quarter, what is the outlook for both the segments?

S.K. Bajpai: Actually, there is one train of DAP at Sikka unit, which is having the production capacity of 1,300 or 1,400 metric ton per day. So that we are trying to convert it for the fungible production facilities for other grade of NPKs like ammonium phosphate sulphate. So this work is going on nicely as per the scheduled time and we are expecting this to be completed in July, somewhere in July or August this year only. So after completing of this technical changeover, we will be able to produce either APS or DAP from the DAP train.

Saket Kapoor: Right, sir. And to the second part of the question, sir?

S.K. Bajpai: What was that? Please repeat?

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Saket Kapoor: Sir, my question was how is the ensuing quarter proceeding with respect to both the segments, both fertilizer as well as the industrial segment and are we running at optimum levels?

S.K. Bajpai: Yes, as far as fertilizer is concerned, we are running at optimum level. There are some hiccups in the sulphur supply some time and we are maintaining our plant loads of ammonium sulphate to the maximum possible capacity.

But whatever the lesser capacity we are producing, we are arranging from the international market. So we are getting the shipment of ammonium sulphate very soon in the current month, this shipment is under loading and we will get the manufactured ammonium sulphate in granular form very soon.

So there will not be any production deficiency in the current quarter. As far as IP product is concerned, industrial product segment is having a very positive tone in the quarter four it is set up. And if you see the caprolactam-benzene spread, it is running more than \$800 per metric ton today, which was around 670 metric ton per, \$670 per metric ton in the quarter four. So it has nicely shaped up and industrial product segment will continue to perform in a better way in the coming quarter.

Saket Kapoor: And my last question then, I'll join the queue, sir. Then for the fertilizer per ton margin, what should we pencil in? In terms of the volume that we are factoring for the current year and also the per ton margin that we should be, on a blended basis, what should we model out?

S.K. Bajpai: Saket, it is very difficult to pen down the particular fertilizer segment margin because the things are changing very fast. Raw material price volatility is very high in the international market.

However, I can say that DAP and urea, two of the fertilizer products, there is no margin difference because it is fully protected by the Government of India.

Whatever additional cost in the gas or whatever production additional cost we are incurring in the DAP manufacturing, that is reimbursed by the Government of India by way of special package. So we are expecting to get this circular issued by the Government of India very soon and it will be protected.

So margin will remain same as in the past. However, in case of NPK grades, there will be slight here and there because we had increased the price of APS and other NPK grades. So that we may see plus minus 5% to 10% here and there in the margins. But whatever margin loss we will be having in the fertilizer will be compensated by the IP product segment as I told that it is shaping up very nicely the prices of the chemical side.

Saket Kapoor: Right. Thank you, sir, and all the best to the team. I will join the queue, sir.

S.K. Bajpai: Thank you, Saket. Thank you.

Mod

erator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. S.K. Bajpai from GSFC for his closing remarks. Over to you, sir.

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S.K. Bajpai: Yes, thank you, participants. I hope that I have given the satisfactory answers whatever is posed to me for the performance of this quarter, financial year and the next quarter, coming quarter.

And I thank you for associating with us in this con call. Thank you.

Moderator: Thank you, sir. On behalf of GSFC Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.